

Allied Blenders (ABDL)

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Allied Blenders and Distillers Limited

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November 7 , 2024

To,

BSE Limited

Phiroze Jeejeebhoy Towers

Dalal Street

Mumbai - 400 001

Scrip Code (BSE): 544203 National Stock Exchange of India Limited

Exchange Plaza, C -1, Block G,

Bandra Kurla Complex,

Bandra (E), Mumbai - 400 051

Symbol: ABDL

Sub.: Transcript of the Conference Call on Financial Performance of the Company for the quarter ended September 30, 2024 , held on October 30, 2024, Disclosure under Regulation 46(2) of the Securities Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, ("Listing Regulations 2015")

Dear Sir/Ma'am ,

Pursuant to Regulation 46(2) of the Securities Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached here with the Transcript s of the Conference Call on Financial Performance of the Company for the quarter ended September 30, 2024 , held on October 30, 2024 .

The aforesaid transcript is also available on <https://www.abdindia.com/>

The above is for your information and record.

Thanking you,

Yours sincerely,

For Allied Blenders and Distillers Limited

Ritesh Shah

Company Secretary and Compliance Officer

Membership no. ACS 14037

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"Allied Blenders and Distillers Limited

Q2 FY-25 Results Conference Call "

October 30, 2024

MANAGEMENT : MR. SHEKHAR RAMAMURTHY –EXECUTIVE DEPUTY CHAIRMAN ,
MR. ALOK GUPTA – MANAGING DIRECTOR ,
MR. ANIL SOMANI – CHIEF FINANCIAL OFFICER ,
MR. JAYATHIRTHA MUKUND – HEAD INVESTOR RELATIONS AND
CHIEF RISK OFFICER

MODERATOR : MR. ABHIJEET KUNDU – ANTIQUE STOCK BROKING LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to Allied Blenders and Distillers Limited Q2 FY - 25 Results Conference Call hosted by Antique Stock Broking . As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this

conference is being recorded.

I now hand the conference over to Mr. Abhijeet Kundu from Antique Stock Broking Limited.

Thank you and over to you, sir.

Abhijeet Kundu: Yes, thanks Luke. Hi everyone, it's our absolute pleasure to host the management of Allied Blenders and Distillers Limited for their results call for Q2 FY-25. Over to Mukund, Head of Investor Relations, Chief Risk Officer for further proceedings. Thank you.

Jayathirtha Mukund: Thank you, Abhijit. Good evening and thank you everyone for joining for our Q2 FY -25 results conference call. I hope you have received a copy of our results presentation. I would like to urge you to go through this along with the disclaimer slides. Today, we have from our management of Allied Blenders and Distillers Limited, Mr. Shekhar Ramamurthy, Executive Deputy Chairman, Mr. Alok Gupta, Managing Director and Mr. Anil Somani, Chief Financial Officer. I would like to hand over the call to our Managing Director, Mr. Alok Gupta, who will give you the summary of the company's quarterly performance before we open up a Q&A. Over to you, Alok.

Alok Gupta: Thank you, Mukund. Good evening, everyone. First of all, taking this opportunity to wish all of you a very Happy Diwali. Thanks for taking your time in this evening on the eve of a very busy, festive schedule and participating in our earnings call. Much appreciated.

This is our first result post our IPO listing on 2nd July. So, indeed, important from that perspective.

A little bit about how we see the Indian economy. During July to September '24, the Indian economy demonstrated resilience despite global uncertainties. While there have been improved investment trends, however, the consumer sector in particular saw a mixed performance. Urban areas experienced stable demand due to resilient income while rural areas were subdued, impacted by inflation.

Moving to our sector, some of the key highlights of the Indian spirits industry during the quarter. The quarter was overall subdued due to a lower than anticipated demand environment.

In the mass premium category, where our flagship brand, Office r's Choice Whiskey, has a dominant market share, witnessed lower single-digit year-on-year decline in growth at the backdrop of softening of consumption growth. In the P&A category, the industry witnessed slight decline in growth despite the ongoing trend of premiumization in which there is a consumer preference for high quality and innovative offering, rising income level and heightened consciousness of international trends.

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However, at ABD, we witnessed a strong growth in the category leading to an increase in the market share at a pan-India level led by a strong growth of ICONiQ White, which as you all know is the fastest growing spirits brand in the world in calendar year 2023 as per Drinks International Millionaires Club Report 2024.

Now coming to our performance during the quarter Q2 FY '25, this has been a quarter of overall strong operational performance and key strategic initiatives that were undertaken and implemented. Let me share about our consolidated financial performance for Q2 FY '25.

Total income at INR2,031 crores was higher by 14.8% versus INR1769 crores in Q1 FY '25 and was also higher by 5.3% over Q2 FY '24. Income

from operation at INR870 crores is higher by 14.5% versus INR759 crores in Q1 FY '25 and also higher by 2.1% as compared to Q2 of last financial year. EBITDA at INR105 crores is higher by 38.8% versus INR76 crores in Q1 FY '25 and higher by 46.6% versus INR72 crores in Q2 of the last financial year.

PAT at INR48 crores is higher by 325% versus INR11.2 crores in Q1 FY '25 and higher by 319% versus INR11.3 crores in Q2 of the last financial year. So, across total income, income from operation, EBITDA and PAT, there has been a growth versus the Q1 of FY '25 and Q2 of last financial year.

Moving a bit about our top line, from a volume perspective, overall, we delivered 8.3 million cases in Q2 FY '25, a growth of 14.8% versus 7.3 million in Q1 FY '25 and in line with 8.3 million cases in Q2 last financial year. While the consumer sentiment was subdued during the quarter following the strengthening of our balance sheet with IPO proceeds, our ability to service demand improved during the quarter and also enhanced our operational capability.

In Q2 of FY '25, our revenue saw a quarter-on-quarter growth of 14.5% compared to INR759 crores in Q1 FY '25, driven by robust growth in all the four mill ionaire brands which is Office r's Choice, Officer's Choice Blue, ICONiQ White and Sterling Reserve B7, which operate both across mass premium and the P&A categories.

On year-to-year basis, our revenue was 2.1% higher than INR852 crores in Q2 last financial year, primarily due to growth of our mill ionaire brands and especially led by ICONiQ White, which is now growing across all markets. The growth was led by premiumization of the portfolio

with continued increase in P&A volume salience to 39.7% in Q2 FY '25 as compared to 36.9% in Q1 FY '25 .

The Q2 P&A volumes at 39.7% were also higher compared to the Q2 FY '24 where the P&A salience was only 36.5%. The P&A value salience also increased to 49% in Q2 FY '25 as compared to 46.1% in Q1 of this financial year and 45% in Q2 of the last financial year. Additionally, our overall realisation per case improved by 4% to INR998 per case led by state brand optimization and premiumization efforts. These strategic initiatives have not only increased our market share in P&A category but also reinforced our commitment to deliver high quality products.

Now coming to our EBITDA performance, we delivered strong EBITDA growth led by strong improvement in gross margins. The gross margin improved to 42.9% in quarter 2 of FY '25 as

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compared to 38.7% in Q1 of FY '25 and 39.2% in Q2 FY '24. So, there is overall an improvement of roughly 300 basis points or more in our gross margin. While the E NA prices have been at a higher level as compared to H1 and Q2 of last year, we benefited at gross margin level through a combination of multiple factors. First, our continued focus on profitable state brand mix.

Second, strong growth in P&A category which was nearly 2x of the mass premium growth on quarter-on-quarter basis. Third, continued benefits from various packaging material cost initiatives undertaken in FY '24 . Other packaging material savings include continued improvement in market bottle utilisation which has gone up from 13% in FY '24 to 18% in Q2 FY '25 and lower pricing of various packaging materials especially in PET which we use for our Officer's Choice Whisky and others.

Fourth, post-listing, we have renegotiated our terms with the vendor and we have also been able to realise some price benefits on back of that. And finally, the routine price increase in various states during the course of the last 12 months. As a result of the above factors, we were able to deliver better gross profit with better gross margin as compared to both Q1 of FY '25 and Q2 of FY '24 .

At the opex front, the total operating

expenses as a percentage of income from operation is at

30.9% in Q2 FY '25 which is broadly in line with Q2 of FY '24 which was at 30.8%. Now, coming down to our interest cost. During the quarter with the receipt of IPO proceeds in the first week of July 2024, we repaid all our existing high-cost debt. We also paid all existing statutory overdues with a repayment of the above and availing working capital facilities for growth capital at a lower interest cost.

Our interest cost was lower at INR25 crores as compared to INR44 crores in Q1 of FY '25 and INR43 crores in Q2 of FY '24 . So, just at the cost of being repetitive, our interest cost in Q2 FY '25 is at INR25 crores versus INR44 crores in the previous quarter. Overall, we were able to deliver a net profit of INR48 crores in Q2 FY '25 which is a growth of 32.5% versus INR11.2 crores in Q1 FY '25 and similar growth versus the Q2 FY '24 largely driven by both expansion in EBITDA and reduction in interest cost.

Moving on to working capital and net debt position. The receivable at INR1,569 crores as on 30th September 2024 was higher as compared to INR1,244 crores as on 31st March 2024. This is mainly on account of ongoing delay in payment by one of the key southern states. While there have been regular representations by the industry bodies to the authorities, the payment to the ongoing supplier is being given on time, however, the outstanding is expected to be cleared over the course of the next two or three quarters.

The inventory at INR573 crores as on 30th September 2024 was higher as compared to INR419 crores as on 31st March 2024. This short-term increase is broadly on account of inventory build-up for the upcoming festive season in the third quarter and also to capitalise the opportunity which we see in the state of Andhra Pradesh.

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Overall, the current liability is reduced to INR1,055 crores in September 2024 as compared to INR1,374 crores in March 2024. This reduction is largely on account of repayment of all statutory overdues and vendor overdues from our IPO proceeds.

Moving on to our net debt position. Our net debt as on 31st March 2024 was INR749 crores and as on 30th June 2024 was INR711 crores . We received net proceeds of the IPO in the first week of July 24 and repaid the entire high-cost borrowing where the average cost of debt was roughly 11.4% and higher cost of interest on our statutory overdues. During the course of the quarter, we

re-raised short-term debt including working capital facilities for our growth capital resulting in our net debt position at INR606 crores which is lower as compared to March '24 and June '24 level.

The average cost of debt is now down to 9.3% as on 30th September 2024 representing nearly 2% or 200 basis point reduction in the interest cost. Additionally, I am happy to share that recently in the month of October 2024, we have received credit rating up grade to 'Ind A' from 'Ind BBB+', with a positive outlook by India Rating and Research.

Now let me update you about our new brand, Zoya. Post the successful launch in Haryana and Maharashtra, ABDL has expanded Zoya's presence in Goa and Rajasthan. Additionally, key markets and two new flavours are planned for launch in Q3 FY '25. The expansion aims to meet the growing demand for premium gin in major urban markets.

We will also be expanding Zoya overseas and it is currently in the process of being launched in UAE in the current quarter. To achieve the success of this launch, the specialized key account team which has been created has taken multiple initiatives. Our comprehensive digital and on-ground strategy features community engagement under the banner #ZoyaTales, targeting the right audience to generate strong word of mouth. Additionally, we are enhancing brand visibility through on-premise investment, social media campaigns, impactful signages and in-market events.

Moving on to ICONiQ White, the world's fastest growing spirits brand of 2023 ICONiQ White has been launched in five new states and the Union Territories of Rajasthan, Himachal Pradesh, Goa, Diu and Delhi, expanding its presence to a total of 22 states and Union Territories. Also, we have expanded its presence in the international market and ICONiQ is now available in four countries beyond India and we plan to expand its footprint further.

The growth momentum has been strong as it has helped us in increasing the market share in the P&A category across India, predominantly in North, West and South states. Tech-led consumer initiatives, impactful branding and influencer engagement have significantly increased ICONiQ White's market share. Our initiative including storefront branding, on-premise activation and community engagement have successfully driven consumer loyalty and word of mouth promotion.

ICONiQ White will enter the key market of Karnataka and Andhra Pradesh in Q3 of FY25. Currently the annual run rate is between 4 to 5 million cases which means that the brand is

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expected to double from its last year volume of 2.3 million cases. Moving on to some key strategic initiatives that have been undertaken post-listing.

We are creating a new business venture to offer premium to luxury portfolio and for this we have partnered with Bollywood superstar and pop culture icon Ranveer Singh in which he will be our business and creative partner. The creation of this would mark a strategic move for ABD allowing the new venture to focus on exciting world of luxury spirit while retaining the existing core brand in ABD itself. The business venture with Ranveer Singh in partnership will ensure quicker decision making, nimble adaptation to market trends and specialized marketing expertise for the luxury segment.

In doing so ABD separates its mass market product from its luxury offering elevating the value of each. With Indian drinking better and trending to luxury product this business is set to make a significant impact. The entity will launch its own brands, partner with promising Indian startups, work with majority international brands and use a strong ABD sales and manufacturing network with clear go-to market strategies.

ABD and Rouse Corporation one of the largest vodka producers in the world announced the launch of world's number one Russian premium vodka in India. The new strategic distribution agreement underscores ABD's commitment to offering premium and luxury products to the Indian consumers. By exploring the global markets ABD aims to expand its product portfolio and cater to the growing demand for unique and exceptional experiences in the domestic market. We'll be launching Rouse premium portfolio namely Russian Standard Original, Russian Standard Gold and Russian Standard Platinum. Just to share from a pricing perspective in the state of Maharashtra Russian standard original is expected to be priced at INR2,200, Russian Standard Gold at INR2,600 and Russian standard platinum at INR5,000. So, the product offers us a variant right from Absolut all the way to Grey Goose vodka.

Expanding horizons in the global market by increasing our export footprint to 22 countries from 14 countries in FY24 is mainly by increasing our presence in high growth markets of Africa. We have launched ICONiQ White, our latest millennial brand in four countries and are about to launch Zoya brand in UAE in quarter 3 of FY25. Now coming to the initiative undertaken for supply chain security as already stated to ensure the supply chain security of critical raw material

and packing material and improve profitability by enhancing backward integration capability.
Our bo

ard has approved the following key strategic proposals. To secure our ENA requirement in the state of Maharashtra which is among the top four states for us in terms of sales salience we'll be acquiring an existing ENA plant with 11 million litres per annum capacity in the strategic location of Aurangabad. Total consideration for the acquisition is INR72 crores. Post acquisition and related procedure that the acquiring company Minakshi Agro Industries Limited liability partnership will become a subsidiary of ABD. Post acquisition we'll be expanding the capacity of the unit to about 63 million litres per annum for which we'll be incurring a capex of INR240 crores which is spread over a period of three years. The current ENA plant in Telangana takes care of roughly one-third of our captive requirement.
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With commissioning of this project which will go live three years from now our overall captive consumption would be two-thirds of our requirement. So, this moves us in the direction of having control on our supply chain on a critical raw material of ENA. Secondly to enhance backward integration facilities in Rangapur, Telangana where we already have the ENA facility we'll be doing the following projects.

To cater to new products in the premium to luxury market in addition to ENA, malt spirit is a critical raw material. To secure its supply chain we'll be setting up a 4 million litres per annum capacity for the capex of INR75 crores which will again be done over a period of three years. To cater to the increased demand in southern states of PET bottles in our flagship brand officer's choice whiskey we'll be setting up a 6.15 million bottle per annum capacity plant.

We'll be investing about INR115 crores over the next 9 to 12 months and expect the plant to be fully operational in about a year's time. Other capex includes supporting and enabling infrastructure related capex of about INR20 to INR25 crores. So overall we will be investing about INR525 crores of capex over a period of three years which will be funded through a combination of internal accruals and debt.

In current year FY25 we'll be incurring about what we expect a 300 basis point improvement in the EBITDA margins over the same period and would be ROCE accretive. Now on the fifth initiative to enhance our overall corporate governance framework we've appointed Deloitte to further strengthen our enterprise risk management framework. This will help us in aligning to global industry standards of risk management.

Also to have a central compliance and regulatory framework in place we are deploying a platform called Komrisk, a cutting-edge regulatory compliance management software which will streamline the compliances across all manufacturing locations and improve risk mitigation with better reporting and analytics. Overall, these initiatives have been built around our future ready framework which is to develop a world-class organization with process excellence delivering shareholder value creation through a sustainable profitable growth model along with a robust corporate governance framework in place.

The key elements of our sustainable profitable growth models are: top-line growth is ahead of the industry driven by premium to luxury portfolio build-up, growing market shares of existing four mill ionaire brands and expansion in selective export markets. Profitability and industry parity through continuous operating efficiencies and supply chain backward integration. Maintain a prudent capital allocation improving free cash flow and overall enhancing our return on capital employed that is ROCE.

Now coming to the near-term outlook for the second half of the current year.

First a little bit about the industry as we move into the festive season, we anticipate a positive

shift in consumer sentiment which is expected to drive market growth. The reopening of the Andhra Pradesh market is a particularly beneficial for established pan-India players like ourselves providing a new growth opportunity. The trend towards experience-driven
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consumption is significantly boosting the premium and P&A category with high demand propelling sustainable growth.

However, we foresee an inflationary trend in place for ENA while the cost of glass and PET are expected to remain stable. ABD outlook looking ahead to the second half of FY25 we are confident in maintaining our profitable growth momentum. We project more than doubling our

volume in AP state from FY24 level of 1.7 million cases on an annualized basis. Our focus of introducing unique product proposition in the premium to luxury category aims to delight our customers and drive growth. We are committed to sustaining profitability through gross margin improvement driven by premiumization, a profitable state brand mix and packaging material initiatives. While at the same time we will be investing in new brands to foster category growth. We are also increasing our A&P spend to leverage the festive season demand. Additionally with the completion of one-time working capital reset our vendor payable cycle has normalized. Our overdue payments through key service state continue to impact the industry though and we expect normalcy by end of Q4 FY25.

We are also optimizing our working capital cycle by enhancing supply chain efficiency. Finally, I would reiterate that post successful IPO in July 24 and delivering a strong overall quarterly performance coupled with taking strategic initiative under the ABD future ready framework we are increasingly confident in our capacity to achieve sustained growth and shareholder value creation. With this I end this note and we will open the floor for any questions.

Moderator: Thank you. We will now begin the question and answer session. The first question comes from the line of Harsh Sheth from DAM Capital. Please go ahead.

Harsh Sheth: Hi, thanks for the opportunity and congratulations on good turnaround. A couple of questions. So firstly, the volume growth is healthy on sequential basis but kind of flat on Y-o-Y basis. Now I understand the slowdown in March segment but I wanted to check if there is more dirt. So, if you could share how Telangana is shaping up for us in terms of payment related issues and are we sort of limiting our exposure to Telangana which I believe is roughly around 25 %-30% of our sales just to manage our capital more efficiently?

Alok Gupta: Right, thank you very much for this question. Telangana as we all know is the largest market in India. We also have a 60 million litre capacity distillery there so it becomes of strategic importance both in terms of the market share that we hold across segments and also in the capacity utilization of the distillery which also makes it a very profitable state. So that's point one.

Point two is that the industry had a meeting with the ministers, with the required administrators and we were given a clear guidance that starting October, which is this month, we should start expecting regular payments and they will also create a schedule of payment for the overdues. What we have seen in the last 15 days is that payments are coming now on a daily basis. So, fingers crossed. We are hopeful that the promise that was made to us when we met with the required officials will come through. So, I think right now we are waiting and watching patiently

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and if the current payment trend continues, I think by the time we end this quarter, the current quarter three, I think we will be in a better shape.

So, for now we have a

hold position in Telangana given the fact that we have our distillery there and we have significant shares across all segments and the fact that we have started to see some green shoots on the payment.

Harsh Sheth: Understood. And secondly, in the presentation, you mentioned about scope for 2x volume growth in Andhra, because of decent policy actions. So, could you throw more light on this?

What was the number in around FY19? I just wanted to understand what could be the actual potential here? And secondly, how does the profitability here compare to other states?

Alok Gupta: Right. So first of all, on the profitability bit, as of now, the E DP, the existing price at which you are currently billing is the same that you are billing as per the current policy. So there is no change in E DP.

Therefore, there is no impact on profitability. It is a profitable state and it continues to have the same per case profitability. As you are aware, the Government of Andhra along with E&Y have set up a committee to understand the pricing model.

That committee is currently understanding the pricing model across various southern states and non-southern states. The good news here is that they have engaged the industry and have invited participation in terms of suggestions and how should Andhra be doing the pricing. The dialogue in our experience so far has been open and progressive. So we only expect a positive outcome. The new pricing is likely to be announced by end of quarter 3 and only then we will get to know if there is any impact. But so far, the process, as we have experienced, is highly engaging and progressive. So we hope that they will come up with a win-win pricing formula. As regards the volume, did you say that what was the volume in FY19 and where we are today? Did I get your question right?

Harsh Sheth: So I actually wanted to understand what was the actual potential here?

Alok Gupta: So last year we did roughly 1.7 million cases in the state of Andhra Pradesh. What we have seen in the last 2-3 months after the new government has taken over as the operation, we are currently

running at about, I would say, an ARR of about 3 million cases, right? So which is nearly double from last year's actual of 1.7 million cases. And coming into a lot more policy clarity because the retail trade is just about coming in, our feeling is that we should be looking at doubling our volumes in Andhra Pradesh versus last year, which is FY25 over FY24, we should be looking at a 2x over the base of 1.7 million cases.

Harsh Sheth: On this one, how does the long-term potential hold here? I mean, if I'm not wrong, it's 33 million case market.

Alok Gupta: You're right. So our volume would translate to about a double-digit share, right? And this double-digit share is without ICONiQ, which will get launched in the month of November. It's

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a significantly large segment there, as we've seen in the recent past. So on back of ICONiQ, we should see market share improvement in the state of Andhra Pradesh.

Harsh Sheth: Understood and lastly, if you could share the outlook on E NA prices. I mean, you did mention in your opening remarks that prices are high on a YoY basis, but what is our outlook for the same?

Alok Gupta: Well, we had sort of anticipated the H1 E NA prices to be equal to the exit price of last financial year. And by and large, we are range-bound on that. We are expecting the H2 E NA prices to be about 2%-2.5%. I mean, this is just a broad estimate at this point of time, but we expect it to be higher between 2%-3% in H2 versus H1. So that's our current sense of what's happening. Having said that, the silver lining is that, there are positive news around FCI releasing rice for milling, and that will improve the availability of broken rice. So it's a wait-and-watch, but that's h

ow we

have projected our H2 in terms of E NA costs.

Harsh Sheth: Understood. Assuming FCI rise comes down to, say, from 28 to 25, while it could possibly result in, say, INR36 crores to INR40 crores going through EBITDA, ceteris paribus at 6 crores ENA capacity, would it also result in volume growth for mass segment because it may improve your contribution margin by quite a bit? Is that understanding, correct?

Alok Gupta: So as far as consumer is concerned, consumer is buying a product at a certain price, and therefore in the consumer's mind, there's a certain price-value equation. What happens in the backend in terms of E NA prices which impact profitability really does not impact the customer. So, I do not see any uptick as a result of customer preference. Having said that, there will be some selective opportunities in high-margin state for us to take up, if the costs were to indeed go down, to try and take better shares in those markets.

Harsh Sheth: Understood. Thanks for that, and I'll rejoin the queue for the follow-up questions.

Moderator: Thank you. The next question is from the line of Sunny from MK Ventures. Please go ahead.

Sunny: Yes, thanks for taking my question, and congratulations on a fantastic set of performance for the quarter. My first question is related to your margin performance. So in this quarter, we have delivered very strong gross margin and EBITDA margin. However, in one of the media interviews, we have said that we will meet the INR350 crore s EBITDA guidance for FY25 against our already achieved number of close to INR180 crores in H1. So what I wanted to understand is, is there any kind of one-off in the Q2 gross margin or EBITDA margin? Because like simple math with second half being seasonally very strong, it suggests that your FY25 number s should be far better than what you have guided.

Alok Gupta: Sure. So I think the question in the morning from the media was, will we meet INR350 crores, to which the response was, we meet or exceed. And if you go back to that interview, I did talk about the fact that our Q2 EBITDA is 105 Crs and that will also play a role in terms of what the final EBITDA is. So, I will just keep it at there. You might want to see my response that is meet or exceed.

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Sunny: Sure, that's very helpful. And would it be fair to assume that you achieve double digit EBITDA margin of almost 12% in the quarter? Would it be fair to assume that with Andhra Pradesh kicking in, operating leverage kicking in, and any further benefits from your vendor renegotiations also kicking in, this kind of becomes the base going forward, unless obviously any unforeseen raw material movements. But does this become the base and we work towards improving on this? Or are there any cost elements which could negatively surprise us in the coming quarters?

Alok Gupta: I think as of now, it's a fair assumption.

Sunny: Got it. That's very helpful. My second question is related to the debt and the working capital.

So, like you had guided during the IPO that you had to do one-time readjustments with all the vendors in terms of your stretched payable cycle, which largely seems to be behind in H1. Going forward, do you see net debt gradually coming down or with the cap ex and the incremental growth in volumes, this level of working capital and capex will keep the net debt at the current level of INR600 crores, which was reported in September 24?

Alok Gupta: We are hopeful that the Telangana situation would resolve significantly by Q4 of the current financial year. And if that was to happen, we will see an improvement in our net debt position and it should come down.

Sunny: Sure. Got it. I'll come back in the queue. Thanks for the detailed responses.

Moderator: Thank you. Thank you. Next question is from the line of Darshika Khemka from AV Fin

corp .

Please go ahead.

Darshika Khemka: Thank you for the opportunity and congratulations. So I would like to delve on the Telangana topic a little deeper. In the first Q1 con call, you had given us a number of the receivables from Telangana, which was around INR384 crores, if I'm not wrong. What is the current number?

And what is the kind of reduction that we are expecting by the end of Q3 and by the end of Q4?

Alok Gupta: So at the end of Q2, the overview are by and large in the same range, about INR350 odd crores.

So there has been some change, but not significant. And again, if we were to go by the guidance that we received from Telangana, we do expect a significant reduction. I am not in a position to give you a number at this point of time, because all that we were advised that we will reduce your overdraft instalment over the next few months. So, I don't want to read too much into it, but we should see a significant reduction in our receivable position from Telangana.

Darshika Khemka: Also, could you please help me with a breakdown of the receivables of INR1,500 crores by state, if possible, or probably by the entity? Like, basically a broad breakdown of the entire receivable.

Alok Gupta: You are looking at the breakdown of the overdue receivables, right? Did I get it right?

Darshika Khemka: Yes, that's correct.

Alok Gupta: Yeah, so there are only three states. The first state is Telangana, where I've given you the number of INR350 crores. There is the state of Delhi, which has a number of about INR14 crores -INR15

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crores, but that was largely on account of the port al challenge they were facing. It's been regularized, and there was a small number on account of Andhra Pradesh, which also we've been paying. So really, as far as the receivable overdue are concerned, largely it's a Telangana challenge.

Darshika Khemka: All right, thank you for that. And I sort of missed out on the breakdown of the capex number.

Please sort of reiterate that, it'll be great. I think acquisition of INR75 crores, we're doing a capex of INR240 crores there. The bottling unit for INR110 crores, I think there's another INR100 crores that's missing in this calculation.

Alok Gupta: So, the total capex is about INR525 crores, which is spread across three years. In year one, we need to provide for INR185 crores only. So, of the INR527 crores, year one is INR185 crores.

Year two will need about INR220 crores, and year three will need about the balance INR 120 crores. So that is a spread of 525, 185, 220, and about 120.

Darshika Khemka: Okay, and where will this be spent? Could you please reiterate that?

Alok Gupta: So, there are five key projects, and I will briefly touch upon them. The first set of projects are in Rangapur, our distillery in the state of Telangana. First is our single malt distillery there. This should be India's first single malt distillery, which is designed keeping a product that we would launch three to five years after the distillery is ready. Plus, it will also provide us sufficient malt, which we are currently buying from third parties . So it gives us supply chain security.

It also gives us margin security, because we'll be producing our own malt. And today, as far as malt is concerned, there are shortages of aged malt available. So, the first project is Telangana malt, which will need a total of INR75 crores. It will be commissioned by the end of 2027, and we'll start producing sometime in the financial year 2027-28.

The second project is the PET project. It has a capacity of 615 million bottles. We are currently consuming about 590 million bottles a year. So the plant will run at near 100% capacity utilization. The Telangana project will take INR114 crores as capex. It's got a fairly short cycle. It will take about nine months for us to commission the pla

nt. And the payback period is also

very short at about three and a half years. So this is a project that will start creating, will be cash and EBITDA accretive in FY26 itself.

The other investment is in the state of Maharashtra, where we have a sizable volume and also is our export hub. So our bottling here is a combination of what we sell in the state of Maharashtra, some of it that we export to Daman, and also what we export to across the world to 22 countries.

This project, we are starting with a current ENA plant, which has a capacity of about 10 million litres annualized, which of course is captive to us because our current requirement is not so bad. And we will be commissioning an additional distillery of 150 KLPD, taking to a total capacity of about 63 million litres. And that is, it would mean roughly 50% of this 63 million litres will be captive and the balance will be sold to third parties who are looking at buying high quality ENA. The total investment here is about INR325 crores. This will take us all of 26, 27 to commission the project.

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And we'll finally see the results of the 63 million litres, 10 million litres is ready production that we will start consuming from the month of November itself. The incremental 53 million litres will take about -- will take us about 26, 27. So 63 million litres will be available to us from financial year 27, 28.

Darshika Khemka: This is really helpful. Thank you so much. Thank you.

Moderator: Thank you. The next question is from the line of Manoj Menon from ICICI Securities. Please go ahead.

Manoj Menon: Hi, team. I've got a few questions or clarifications rather. The first is actually on the comment about the macros impacting Officer's Choice volumes specifically. Is this something which you started noticing off late or it's been there for a while and then it kind of, let's say, exacerbated recently?

Alok Gupta: So there are two drivers as far as OC volume is concerned. One is a macro driver which is around premiumization, therefore sluggish growth on the mass premium segment. In the H1 of this financial year, we have seen low single digit degrowth. And the second thing on OC volume is we have taken a very clear position to exit from states or SKUs, which do not meet our gross margin criteria.

As you know, this brand is currently at a 40% gross margin. So essentially, some bit of volume we have by design, we are not servicing because it does not meet the gross margin criteria and overall, the segment in H1 has been sluggish. To your question that whether this trend is evident only in this year, I would say this trend has been evident over the last 2-3 years where the growth in the segment is lower than the growth in the P&A segment. So fewer customers are coming in this segment versus the number of customers that are coming in the P&A segment. So that's really where the macro position is and macro position is that we are picking and choosing markets that meet our gross margin criteria.

Manoj Menon: Loud and clear. Thank you. And just on the - if I can use the word restructuring of the portfolio or let's say exiting businesses or segments or SKUs, which doesn't meet threshold, that's a smart thing to do. Where have we in that journey? Is it like 30%, 50%, 80% just from a time series model?

Alok Gupta: So at the end of H1, we have implemented a model across all our markets. Therefore, we are at 100% of the journey.

Manoj Menon: Okay. So but that said which means there are, let's say, three more quarters in which this will be there in the base and this just need to LAP right. Three more quarters to go?

Alok Gupta: What we will see now is that what will be good for us to see is quarter-on-quarter growth on OCW, whereas it may show some lag versus last year.

Manoj Menon: Understood. Thank you. And

secondly any commentary on pricing, given that FY24, you know was a pretty decent year over the last decade. How do you see pricing, let's say, over the rolling 12 months from now?

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Alok Gupta: And by pricing, you mean EDPs.

Manoj Menon: The price growth which you get, essentially the increases which you will be able to take in pre-market or the ones you likely get granted. So let's take a volume, mix and price. I'm just trying to understand how are you looking at the price growth for the rolling 12 months?

Alok Gupta: So I think there are some positive trends as far as pricing is concerned. We know in the state of Telangana, again, a big market for us. We do more than 10 million cases there. We know that a price committee has already been put in place which is looking at the price increase that needs to be given to the industry. So that's the good news indeed. In the state of Maharashtra, after a gap of 2 - 2.5 years, we are seeing that the industry itself has taken price increase.

So that's a good sign for the industry and for us. So for now as we see things, I think even for the coming financial year, we expect price increases to be no different than what we have seen

in the current financial year. There could be an odd state that could behave differently, but overall at a mixed level, we see the trend to continue.

Manoj Menon: That's great to hear. Lastly, on the capex top process and thanks for the detailed presentation slides on that. Just one clarification would be super helpful. Essentially, in a make or buy decision, let's say you have chosen for make option versus the buy option. I completely get the supply security part, but quantitatively speaking up after all these investments, let's say three years out, do you expect the current mid-teens ROCE overall for the company would be a tad lower than 15 or higher than 15 or remaining at 15 or put it differently, what sort of economic value add in terms of spreads, which you think the capex will quantitatively generate?

Alok Gupta: So we have a distillery in Telangana which has been operating for a fairly long period of time. And if you look, what we did was do an analysis of - we consume about 40 million litres of alcohol for our own brands and we sell the balance to the local manufacturer including likes of Radico and Pernod and many others in the state. So we have a very clear view of what is the spread between the price we realize from third-party sale and the price at which we produce. And when we run a statistical analysis, it gives us a figure of arbitrage which is per litre arbitrage between a INR10 to INR16 rupees. So we basically picked up INR12 is what we believe statistically is an arbitrage that we can make a INR12 a litre is an arbitrage that we can make from an E NA plant over a long period of time. So it can go high, it can come low, but over a period of time, from a model perspective it has 12 arbitrage rupees a litre.

If you look at a 150 KLPD plant, for example, the one that we want to set up in Maharashtra, that's roughly 50 million litres of alcohol. And if you multiply that by 12, you'll get a INR60 crore's cash margin from an investment that we are planning to make in Maharashtra.

Manoj Menon: Just sorry, I'll probably take it offline. Just one last bit. What I'm just trying to understand is does these businesses or these investments rather, does it have the potential to generate 300, 400, to spread or put it differently, 15% threshold ROCE on its own?

Alok Gupta: Yes. So I think the ROCE basis on this calculation, our ROCE is about 15% plus.

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Manoj Menon: Okay. Thank you so much and good luck.

Alok Gupta: Thank you.

Moderator: Thank you. The next question is from the line of Swechha from Whitestone Financial Advisors.

Please go ahead.

Swechha: Thank you, sir, for giving this opportunity. Sir, I had a few questions. My first one was I wanted to understand some more details about the venture that we've started with Ranveer. I just wanted to understand specifically what kind of arrangement it is. Are we going to give some equity to him in this new venture and is this going to be a part of ABDL or is it going to be a separate entity? So just wanted to understand that, sir, first?

Alok Gupta: Absolutely. So it's a separate entity. It has, it will be - the name of the entity is ABD Maestro. Essentially, this entity will focus on the luxury portfolio and in terms of the infrastructure that we are building, the people skills that we are building, the focus is on our luxury portfolio. So that's about the entity. As we have made - as we provided declarations I think this is Ranveer will hold 20% equity in this venture. ABD will hold 80%, it will be a subsidiary of ABD. So that's the sort of high-level structure and the purpose of this venture. Any follow-up on this?

Swechha: Yes so just wanted to understand, so there is no endorsement fees that will be giving to him, under this entity. It is just only equity is what we are giving him?

Alok Gupta: So Ranveer comes in as a business and creative partner which means his involvement in terms of the entire portfolio of brands that will be sold under the ABD Maestro umbrella. So it is not an endorsement deal where he stands in for a brand over a period of time. The whole, the entire genesis is about a long-term engagement from a superstar like Ranveer and he continues to provide both his creative inputs and also the fact that he has global reach.

He has 47 million Instagram subscribers and growing. So it's not like a typical endorsement deal. It is pretty much he's part of the business, actively involved in curating the portfolio and how they're positioned and how they're sold and also a social media influencer for the entire portfolio of brands.

Swechha: So my second question was just wanting to understand out of the INR525 crore's of capex, how much of it would be funded through debt and how much would be through internal accrual?

Alok Gupta: Just give me like 30 seconds on this. So, like I said earlier the INR525 crores of debt is spread across three years. INR185 crores in year 1, INR220 crores in year 2 and about 100 balanced debt in year 3. This will be funded out of internal accrual and on debt and we believe from our planning perspective, I think our peak debt for this project will be about INR200 crores. So balance will be funded out of internal accrual and also out from the margins that some of the projects like PET project will start running up in the next nine months.

Sweccha: Right, right. So just to follow up on this now, we've just refinanced our high-cost debt. And now we plan to again do further capex and obviously we'll be taking debt for it. So just wanted to understand on a steady state basis, what kind of interest cost run rate can we see? Because in Allied Blenders and Distillers Limited
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this quarter, the interest cost has obviously come down significantly. But now as we subsequently again take the debt, how much the interest cost can go up from here on a quarterly basis?

Alok Gupta: So the interest cost should actually come down and I'll tell you why. If you look at the peak debt that is required for our project financing is out of INR 200 crores and we roughly have INR350 crores of overdue from Telangana. As the overdue gets paid out, the amount of debt that we pay off versus the debt that we need to take in. So I see our overall debt to come down and therefore interest will also come down.

So we don't see the interest going up. I mean, we see over the next two, three years the interest will only come down.

Sweccha: And so similarly, even our employ

ee cost has gone down. So just wanted to understand, is this

one off for this quarter and or we are expecting some more reduction in the employee cost?

Alok Gupta: So I think we are through with the restructuring that we had to do. So we do not expect any further reduction in employee cost.

Sweccha: And so just I have two more follow-ups if I can ask you right now.

Alok Gupta: Okay.

Sweccha: So on EBITDA guidance, in the presentation we have mentioned that EBITDA will increase by 300 basis points over three years. But just wanted to understand with all the new initiatives and the acquisitions and launch of new products that we are doing, obviously the cost is also going to come down. So what kind of incremental EBITDA, how do we see this EBITDA going up on a quarter on quarter basis? How do you see this panning out?

Alok Gupta: So just to sort of put a simple framework to it, if you see our Q2 EBITDA is roughly 12%. And if you look at the economic value that the capex project will add over the next two or three years, so they hopefully live about two and a half years from now. So the incremental EBITDA that this project will deliver is roughly 300 basis points.

So if you look at the Q2 exit EBITDA and you look at the value that this project will bring in, we'll get us to that 15% EBITDA. That's what we have benchmarked as an industry parity EBITDA. So that's sort of a simple way of looking at it. As far as, and we're talking percentage terms, right? So overall EBITDA as an absolute amount will be higher. So that's part one. Part two on the new brand launches, as you know that the new brands will require investments ahead of the curve. And therefore, they will be what we call a cap neutral, which means contribution after A&P. But they may not necessarily contribute to EBITDA in the short run. Right. And as they start becoming cap positive, that's where they will also start contributing to EBITDA.

The cycle could be between 18 months to three years.

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And therefore, it is better to stay conservative that from our luxury portfolio brand and our premium brand edition, this will be EBITDA neutral, right? But you know, if things turn out like it has turned out for ICONiQ, which has gone from 1 million to 2.2 million to hopefully 5 million this year, you know, we could start seeing them to be EBITDA accretive in 18 months. But it's better to stay conservative.

But back off our current EBITDA Q2 and 300 basis point expansion from this project. We believe that we are in the strike range.

Swetha: Right, right. Okay. So just last question, would you be able to give me the volume breakup, you know, category wise, for H1 for Officers Choice, Officers Choice Blue, Sterling Reserve, ICONiQ White, Chiron and Zoya, sir?

Alok Gupta: Most certainly, but is it okay if we provide the sheet to you after the call?

Swetha: Yes, sir. Yes, sir. Yes, sir. Thank you. Thank you, sir. Thank you so much. I really appreciate this.

Alok Gupta: Thank you so much. Thank you. Thank you for your questions.

Moderator: Thank you. The next question comes from the line of Kunal Shah from Jefferies India. Please go ahead.

Kunal Shah: Thank you for the opportunity. My first question is on this mention in the PPT of better outlook

for demand in second half led by Festivals. So I mean, one month has passed in the October. Do you see any change in sentiment versus what was the case last quarter?

Alok Gupta: Industry data typically comes out by 15 in the next month. So at an industry level, I'm unable to provide you with what's it looking like for others. For us, we are seeing a positive outcome as far as October is concerned.

Kunal Shah : Understood. Understood. And the second question was on the two newer brands. So how is the Sterling Reserve brand doing in general? I mean, in the last one year

or so, is that also delivering good growth?

Alok Gupta: So Sterling Reserve, we have launched the all new Sterling Reserve about two months back. It is currently getting rolled out nationally. It is backed by a very unique go-to-market in terms of recapturing the customer imagination. So the brand is north of 4 million cases, has been sluggish on growth. But we are hopeful on back of the all new SR B7 relaunch. We are expecting to trigger growth back in the brand.

Kunal Shah : Understood. And the last bit was on ICONiQ White. So can you give us some sense of the distribution opportunity in this brand? I know you are present in 22 states and entering two more. But in terms of, let's say, outlet reach, is there a material headroom for you to get into more outlets?

Alok Gupta: I think from a distribution perspective, the growth will come from two levers. One is addition of new markets. So, we are in quarter three, launching Karnataka and Andhra, which are, again, Allied Blenders and Distillers Limited
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large volume markets for us. So that really is one lever of growth. The second lever of growth is going to be what I call distribution width and not distribution depth. Because in markets where brand is already there for the last 12 months, it has reached the optimal width.

But what we are seeing now is distribution depth, which means it's able to get newer customers to come back and experience. And then some of those customers keep coming back as permanent. They like the brand and they keep coming back. One point that I think I covered in the last call also is that ICONiQ White is positioned between an Imperial Blue and a Royal Stag. And our thesis was that both the Imperial Blue and McDowell's number one customer, should provide a source of upgrade to ICONiQ . And also, consumers of Royal Challenge and Royal Stag could see ICONiQ as a new contemporary option to try.

So one of the things that we track when there is a retail market is where the customer, where ICONiQ White is getting customers from each of our brands. It's very heartening for us to know that it is getting customers both from the deluxe segment and the semi -premium segment. Of course, it gets more consumers from the deluxe. So I think it is positioned very intelligently to be able to get share of growth from two segments. And also, of course, on the back of new geography and newer customers, we see this brand continue to grow.

Kunal Shah: Understood. Thank you so much. That's all for my side.

Moderator: Thank you. The next question comes from the line of Amansingh Sahajsinghani , please go ahead.

Amansingh S.: Hi, sir. Congrats on good set of numbers and thank you for the opportunity. I wanted to understand further about the venture with Ranveer Singh that we are doing. So we have given away 20% of the equity to Ranveer Singh. So, I wanted to understand further on what value add does Ranveer Singh bring in and how is it different from appointing Ranveer Singh as the brand ambassador for the company? Because the business we will do in this venture would be the luxury segment, which could have been the value add or the growth driver for the standalone ABDL entity . So, this is the first question I want to understand.

Alok Gupta: Right. So I think the key difference between a brand ambassador versus a shareholder is quite evident that in the first, it's transient. It could last a year, two years, three years. It's a transient relationship. But when you're a shareholder, the tenure of the relationship is in theory, in perpetuity. And I think that really is the big power idea here that with a superstar like Ranveer, who as you know does even Gucci as a brand.

So he brings in consumers from very diverse ethnicities, from very diverse demographics, both in India and overseas. So, the social, the reach is able to influence consumers across ethnicities,

across geography. It's something that will be extremely powerful. In addition , I think he has a very keen, creative mind. And therefore, not only are existing brands, they're also working on a brand that we will create, especially within this new venture. I think the creative inputs will be extremely valuable.

So, these are the three or four things that we believe is a unique way of engaging a celebrity versus a sort of I mean, there's no harm in a commercial model where there is an endorsement

fee, but this is more a partnership arrangement, which should deliver value for both Ranveer and us.

Amansingh S.: Okay, got it. So, one clarification here. So will we do the luxury segment in the company with Ranveer Singh only, or it can coexist in ABDL and the joint entity in both the companies?

Alok Gupta: We would like to consolidate our luxury portfolio in the new entity so that the infra that we're building, whether it is people infra, distribution infra, which is premium h oreca, there is a very focused and a concentrated approach on the luxury portfolio.

Amansingh S.: Got it. The second question would be on the gross margin side. So we have increased gross margins by around 400 basis points. So it could be very helpful if you can break down the improvement in gross margins into the benefit that we have derived from lower packaging cost, better P&A mix, and there would be obviously some drag from the higher E NA cost, which would be on gross margin. So if you can break that down.

Alok Gupta: So, what I'll do is I'll give you a very high-level response and then maybe we can share the numbers offline if that's okay with you. On the E NA, the Q2 cost of E NA is higher than the Q2 cost last year. So, E NA cost does not have a role to play in our gross margin expansion. Gross margin expansion has happened on back of better state mix. It has happened on back of product mix. And also I think a point that I covered earlier is that post IPO, we have repaid all the overdue s to our vendor.

And as part of that entire exercise, we've also done a rate reset that, what we call as timely payment. We will do timely payment and we've been able to get, you know, a reduction in our buying rate. So these are the three levers. If it's okay, we can publish a waterfall on this later.

Amansingh S.: So, sir, we can take this offline. Just two small clarifications from what you said earlier. Can you state the A &P spend as a percentage of sales or absolute number for this quarter?

Alok Gupta: For this quarter?

Amansingh S.: Advertising, yes.

Alok Gupta: About, it's about between 4% and 5%. But you keep on in mind that Office's Choice is a brand that does not dazzle a lot of A &P and our entire A &P goes into the P&A segment and all our luxury brands. So my request would be to read the numbers with respect.

Amansingh S.: Sir, can you please repeat the number?

Alok Gupta: I'm sorry?

Amansingh S.: Sir, can you please repeat the number?

Alok Gupta: I'm saying the A &P spend is between 4% to 5% of our net sales value. But the important point to note is that Office's Choice does not guzzle a large A &P. So this entire A &P is behind our P&A portfolio and our luxury portfolio.

Amansingh S.: A small question. After the capex that we have planned, so after 3 years, so we will have the 100% capacity of P&A that we will be utilizing or I guess in your opening remarks you said we will have two-thirds of the capacity.

Alok Gupta: With the facility that we are putting in Maharashtra, we will get to about two-thirds. We will need to at some point of time also need to invest in another 150 KLPD plant to get to 100%.

Amansingh S.: Got it. Thank you so much.

Moderator: Thank you. The next question comes from the line of Abhijeet Kundu from Antique Stock Broking. Please go ahead.

Abhijeet Kundu: Yeah, hi. Congrats on a great set of numbers. The margin expansion has been quite substantial and we believe that this margin expansion will sustain and, in fact, improve going ahead. My question was on the brand part. You said that Sterling Reserve B7 would be relaunched and that has been a successful brand earlier as well. But what happens to, what are plans with Srishti, X&O Barrel? Where are we in terms of marketing them and driving their volumes? Where are we in that journey? Because these are the brands which will improve your overall standing in P&A.

Alok Gupta: So, as you know, all brands do not necessarily succeed. So, what we did was we launched three whisky brands, which is ICONiQ White, Srishti and X&O at the same point of time. Of course, ICONiQ White has gone on to take a pole position in terms of growth. On Srishti, we are currently selling in three markets. We sell it in the state of UP, we sell it in the state of West Bengal and we sell it in the state of Haryana.

We are quite happy with the playbook that we are building on Srishti and we believe that in the

quarter or two, we will be ready to take Srishti on in a few more markets. In our industry, it can take anything between 12 to 18 months for us to get national rollout, like was the case with ICONIQ as well. So, with Srishti, I think now that we are happy with the playbook, we will take it forward. On X&O, still more work is required before we have a playbook that will allow us and give us the confidence to invest more money and expand the distribution.

Abhijeet Kundu: And in case of Zoya, the initial response has been good, what I believe, from our chances as well. So, what are the plans with ramping up across states? Where and how much time will it take?

Alok Gupta: So, by quarter three, we should be in about eight top -Gin markets. By end of quarter four, we will be in the 12 top -Gin markets. And in addition, the focus is also on exporting Zoya to relevant markets. We have already done that for Dubai. We believe that the Zoya footprint across India, could be between five to ten more markets in the next two quarters. In addition, we are also trying to lift this brand in duty -free.

So, the focus on Zoya and our entire luxury portfolio would be across four channels. One is domestic, second is duty -free, third is export, and also get into the defense sector with approvals both for paramilitary and C SD. So, a lot of work is currently happening to make sure that we get all our approvals and go to market in place.

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Abhijeet Kundu: This could be a potentially strong million cases market over a period of time, 3 years. I know the segment is, I mean, the category is smaller when compared to a whisky. But this could be also a millionaire brand over 3, 4 year periods.

Alok Gupta: We're talking about Zoya,

Abhijeet Kundu: right?

Alok Gupta: Zoya unlikely will be a millionaire case brand. It will be smaller. But as we've always maintained that the good thing about Zoya, we are operating at a gross margin of more than 70%. Therefore, we believe it can short, it can, at a very quick pace, from being cap -neutral, start becoming an EBITDA accretive brand.

Abhijeet Kundu: Okay. And also your Russian, tie -up with Russian leader, Roust, that will also start kicking in, right? I mean, that plan will also be there to scale it up?

Alok Gupta: So, I think yes. The answer is yes. But more importantly, when we are talking about premium Vodka, given the rage that any bar today carries, I think our ability to offer multiple choices to the premium Vodka, starting with Zoya to Russian Standard. As we speak today on 5th of November, we are a

iso launching our Blended Scotch malt. Therefore, the portfolio is getting better. And our ability to therefore offer to both premium customers and offline and to premium Vodka will be significantly enhanced.

And also, as you understand, the cost of sales will also come down. So, this portfolio will expand every quarter. We're looking at adding at least one new luxury brand. So, we've done Zoya, we've added Russian Standard, and we have now added, in the month of November, we are adding Art Haus, which is our Blended Scotch malt. And hopefully, in quarter four of this financial year, we'll add one more brand to our portfolio.

Abhijeet Kundu: Great to hear that. Actually, the 2200 average pricing of Vodka is quite enticing because that segment is seeing good amount of traction. So, all the best to you.

Moderator: Thank you. The next question is from the line of Sunny from MK Ventures. Please go ahead.

Sunny: Thanks for the follow -up question. My question is related to the tie -up that we have done with Russian Standard Vodka. It will be helpful to get a perspective on what's the category size, who are the relevant peers at that price point, and what is our aspirational market share in the next 2 to 3 years from this brand?

Alok Gupta: So, the portfolio spreads across from Absolut to Grey Goose. It allows us to operate across various price points and therefore take shares from all the three price points, which are operating in the market. The aspiration of the market share, we're hopeful that we should get quickly to double digit and we'll grow from there.

Sunny: What would be the underlying? So, Vodka as a category is about 14, 15 million cases, but the price points that you mentioned, what proportion of Vodka, would be these price points in terms of the underlying size?

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Alok Gupta: Well, you're absolutely right. This price point will be less than 10%.

Sunny: So, like 1.5 million cases, you mean, is the underlying market potential?

Alok Gupta: Yeah, just give me 10 seconds, I'll give you actual numbers, but yeah, it's not more than a million cases at this point of time.

Sunny: Okay. So, basically, do we have aspirations to then maybe move one price point lower, which is say the magic moments verve Vodka or similar price category, which will have a larger addressable market? And then basically in that perspective, capture the whole P & A category of Vodka, which is, as one of your peers mentioned, also growing at high double digit growth rate. So, is there any thought process around that?

Alok Gupta: I think these are two independent initiatives. I want to share one data point with you that of the 412 million cases that were sold last year, right at the top, there is about 12, 15 million cases that account for more than 30% of the industry profits. And the Russian standard portfolio plays in that category, right?

So, we'll have to keep in back of our mind that there will be two kinds of opportunity. One is scale opportunities, like you mentioned, in terms of magic moment, which does about 7, 8 million cases. And second opportunity is going to be in high gross margin, high per case profit, where for every case you make maybe five or six times what you make on a normal product, but the volumes are small. So, I think this will require the two independent approaches, not one common approach.

Sunny: Got it. One related question to this, in case of brands where we do licensing agreements with global brand owners, how should we look at the margin profile? Is it better than the company average currently? Maybe at a stable state, I understand initially there will be significant investments which will go into A & P.

And till you attain a reasonable size, these may not contribute to that extent in the EBITDA, but at a stable state with reasonable scale, will

these be low double digit, mid double? So, how

should we look at margin of these licensed brands or the BIO brands that you will look to introduce over a period of time?

Alok Gupta: I think we've already stated that over the next couple of years, we want to get to industry parity EBITDA. Any business initiative or any partnership or any new brand that we introduce has to fit into that framework. So, for now, I would say that partner brands like Russian Standard will actually help us get there faster.

Sunny: Got it. That's very helpful. Thank you.

Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to the management of Allied Blenders & Distillers for closing comments.

Alok Gupta: Thank you once again for your time and for your questions, much appreciated. We look forward to this quarterly interaction even though it is virtual. Thank you for your time and let me take
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this opportunity to wish you and your family a Happy Diwali and the very best for the festive season. Thanks once again.

Moderator: Thank you, sir. Thank you, everyone. On behalf of Antique Stock Broking, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Jan 2025

(no extractable text — likely a scanned image PDF)

Call: May 2025

(no extractable text — likely a scanned image PDF)

Call: Aug 2025

Allied Blenders and Distillers Limited

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August 0 5, 2025

To,
BSE Limited
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Dalal Street
Mumbai - 400 001
Scrip Code (BSE): 544203 National Stock Exchange of India Limited
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex,
Bandra (E), Mumbai - 400 051
Symbol: ABDL
Our Reference No. 48/2025 -26 Our Reference No. 48/2025 -26

Sub.: Disclosure under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Transcript of the Earnings Call to discuss Q1 -FY26 earnings of the Company , held on July 30, 2025 .

Dear Sir/Ma'am,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 201 5, please find enclosed the Transcript of the Conference Call to discuss Q1FY2026 earnings of the Company, held on Wednesday, July 30, 2025 .

The above transcript is also available on the website of the Company : <https://www.abdindia.com/>

The above is for your information and record.

Thanking you,

Yours sincerely,
For Allied Blenders and Distillers Limited

Sumeet Maheshwari
Company Secretary & Compliance Officer
Membership No. ACS – 15145

Enc: a/a

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“Allied Blenders and Distillers Limited Q1 FY '26
Earnings Conference Call”

July 30, 2025

MANAGEMENT : MR. ALOK GUPTA - MANAGING DIRECTOR
MR. ANIL SOMANI - CHIEF FINANCIAL OFFICER
MR. J. MUKUND - HEAD INVESTOR RELATIONS AND CHIEF RISK OFFICER

MODERATOR : MR. ABHIJ EET KUNDU – ANTIQUE STOCK BROKING LIMITED

Allied Blenders and Distillers Limited
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Moderator : Ladies and gentlemen , good day, and welcome to the Allied Blenders and Distillers Limited Q1 FY '26 Results Conference Call hosted by Antique Stock Broking Limited .

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you for asking questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Abhijeet Kundu. Thank you, and over to you, sir.

Abhijeet Kundu: Thanks. It is our absolute pleasure to host the management of Allied Benders and Distillers Limited for the Q1 FY '26 Results Conference Call. Over to Mr. Mukun d, Head of Investor Relations and Chief Risk Officer, for further proceeding. Thank you.

Mukund: Thank you, Abhijeet . Good evening, everyone, and thank you for joining our Q1 FY '26 Results Conference Call . I hope you have received a copy of our Results Presentation . I would like to urge you to go through this along with the disclaimer slides.

Today, we have with us from the Management of ABD, Mr. Alok Gupta – Managing Director and Mr. Anil S omani – Chief Financial Officer.

Now, would like to hand over the call to our MD, Mr. Alok Gupta, who will give you the summary of the Company's quarterly performance before we open up for Q &A. Over to you, Alok.

Alok Gupta: Thank you, Mukund. Good afternoon, ladies, and gentlemen. Thank you for all joining us today for the Q1 FY '26 Earnings Call of Allied Blenders and Distillers Limited .

This quarter marks approximately one year since our public listing, and I am pleased to share that ABD has entered FY '26 with strong momentum. We have delivered our fourth consecutive quarter of profitable growth, validating our strategy of prioritizing profitable volume growth, portfolio premiumization, cost focus, and agile investment in backward integration to enhance margins.

Our consolidated income from operations reached Rs. 930 crores in Q1 FY '26 , representing a 22.5% increase over the same period last year. EBITDA grew at 56.4% year-on-year to Rs. 119 crore, with EBITDA margin expanding to 12.8%, an improvement of 277 basis points on a year-on-year basis as compared to 10% in Q1 FY '25 .

Profit after tax for the quarter surged 5x to Rs. 56 crores as compared to Rs. 11 crores in Q1 FY '25.

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In the quarter, we delivered 8 .5 million cases, up by 17.2% on a year-on-year basis, accompanied by a 6.2% increase in realization per case, driven by favorable product mix and price optimization.

In the Mass Premium category, the overall volume growth was stable, with sales volume maintained at 4 .6 million cases in Q1 FY '26 as compared to Q1 FY '25 , mainly due to controlled sale on account of continued adoption of state profit governance metrics.

However, the P &A portfolio volume growth continues to outperform the industry, reflecting consistent progress in our premiumization agenda. The P&A category witnessed a strong growth of 46.9% across multiple markets. This growth resulted in increasing our overall P&A salience to 46.2% in volume terms and 55.8% of the sales value in Q1 FY '26 as compared to 36.9 % and 46.1% respectively in Q1 FY '25 .

Overall, the growth was not only witnessed in opening up of markets such as AP and Delhi, but also certain well -established states of North India.

Now coming to our overall EBITDA performance :

The year-on-year performance was driven by continued strategic focus on maintaining a profitable brand mix across key states, continuous cost benefit on back of rate reset, packaging efficiency, stable commodity prices, particularly on ENA ,

resulting in improved gross margin

by 448 basis points to 43.2% in Q1 FY '26 as compared to 38.7% in Q1 FY '25 .

On the OPEX front, the employee cost is at Rs. 50 crores in Q1 FY '26 , which is 5.3% of our income from operation as compared to Rs. 46 crores in Q1 FY '25 , which was 6.1% of our

income from operation, which is mainly on account of setting up of A BD Maestro in Q1 FY '26 and our new distillery in Maharashtra, which was acquired in third quarter of last year. The other OPEX cost of this Rs. 238 crores in Q1 FY '26 is higher by 37.2% as compared to Rs. 173 crores in Q1 FY '25, mainly on account of higher promotion, sales and distribution of established brands, and new brands in the Super -Premium to Luxury portfolio, and certain increases in the state level.

Overall, on a net basis, the EBITDA margin improved to 12.8 % in Q1 FY '26 as compared to 10% in Q1 FY '25.

Now let me discuss about the performance of our key brand :

ICONIQ White , the fastest growing millennial spirit brand globally for second year in a row, continued to expand its reach across Indian market, and has now earned 7 international markets. In just 30 months since launch, it has joined the ranks of the top 20 global whisky brands, resonating strongly with the younger consumer and supported by our extensive retail Allied Blenders and Distillers Limited

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distribution. During the quarter, the brand witnessed growth across all states in India, and we expect the strong growth momentum to continue.

Our flagship brand, Officer's Choice, retained its number one position in the Indian Mass Premium category and continues to be India's #1 exported spirit brand. It remains a critical driver of our profitability and cash flows, generating 40% plus gross margins and benefiting from scale, brand strength, and efficient trade spends. We remain sharply focused on sustaining high margin performance through continued operational discipline.

For our regional power brands, Officer's Choice Blue, we are focusing on key markets to strengthen its presence , while launching fresh and an engaging campaign to connect better with the consumer.

For the 4th Millionaire brand, Sterling Reserve B7 , we are currently focusing on driving new consumer trials and deepening engagement through sharp strategic campaigns. We recently did a campaign in Maharashtra, and based on the encouraging response, we are expanding this initiative to 5 other big states.

This quarter also had significant progress in expanding our premium offering. We launched Golden Mist, a new prestige brandy, in Karnataka in the month of April 25, and more recently, in July 25 in Telangana. The brand is crafted using French oak cask aging and designed to cater to the evolving premium consumption preferences.

Meanwhile, ABD Maestro, a Super -Premium and Luxury brand subsidiary, is scaling rapidly with expanding presence in key Indian cities and select international markets. Brands such as Zoya Gin, Arthaus Blended Malt Scotch Whisky, and Woodburn Whisky are gaining traction among aspiration driven consumers and are well -positioned to capture high margin growth opportunities.

We also expanded into the Super -Premium and Luxury vodka segment with launch of Russian Standard Vodka through a partnership with Roust Corporation. This global brand is now available in key markets of Maharashtra, Goa, and West Bengal.

On the international front, ABD global footprint has expanded from 14 countries to 27 countries, nearly a 2x expansion, complementing our strategy to build a strong consumer franchise across geographies.

In addition to our presence in Middle East and Africa, we have secured approvals for export to Canada, South America, New Zealand, and to European Union region.

Moving to our CAPEX program :

Our Rs. 525 crore CAPEX program is progressing well, and we are on track. The PET manufacturing facility

in Telangana is on track for commissioning in Q2 FY '26 . We expect the

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commercial operation to start from September '25. The margin accretive benefits would start flowing in line with the expectation.

The single malt distillery is progressing well towards a Q4 FY '26 launch in commercial operations. We will witness margin accretive benefits to start flowing from April 2026 onwards. The ENA Distillery in Aurangabad acquired in December '24 commenced operation in February 2025 and is currently operating at 100% capacity. Regulatory approvals for capacity expansion are under process.

As already stated, these backward integration initiatives are margin accretive and are expected to support approximately 300 basis points of EBITDA margin improvement from Q4 FY '27 onwards.

At the working capital front, strong focus on collection and inventory management has resulted in reduction in overall net working capital. We incurred CAPEX payout in line with the planned CAPEX phasing.

With strong profit performance, net working capital optimization, and planned CAPEX related payout, we generated free cash flow, which helped in marginal reduction in our net debt to Rs. 754 crores as on 30th June '25, as compared to Rs. 766 crores as on 31st March '25. This led to a marginal improvement in net debt to equity to 0.47x in June '25 as compared to 0.49x in March '25, and net debt to EBITDA to 1.5x in June '25 as compared to 1.7x in March '25.

We continue to maintain tight control over working capital with strong focus on optimizing receivables. Additionally, industry wide receivables from Telangana state is anticipated to normalize gradually, further supporting working capital stability.

The external environment continues to support our strategic direction. Consumer sentiment remains upbeat, with the experience-led consumption expected to fuel Premium category growth.

The new tax regime has enhanced disposable income, further encouraging trading up behavior. Input costs, including grain, ENA, and glass, remain soft and are expected to stay stable. Most states have finalized regulatory updates, resulting in relatively stable policy backdrop.

The anticipated UK FDA is expected to improve margins, particularly beneficial for ABD as one of the largest importers of bulk scotch and will enhance accessibility of our Super-Premium and Luxury offerings.

As we look ahead in FY '26, ABD will remain focused on driving net sales value growth, strengthening operational excellence, advancing portfolio diversification, optimizing working capital, and ensuring on time execution of our projects.

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We are confident that ABD is well-positioned to participate meaningfully in India's evolving premium consumption story and deliver sustainable value creation. Thank you once again for your continued interest and support.

We now open the floor for questions.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Abneesh Roy from Nu vama. Please go ahead.

Abneesh Roy: Thanks and congrats on very good numbers. My first question is on Golden Mist. You have entered the prestige category. So, wanted to understand which markets you will be focusing, which are the key competitors here. And if you could also comment on Maharashtra, I did hear your media interview. But in Maharashtra, post tax hike, have most of the players passed it to the end customer? or in many cases, the companies are absorbing the tax hike, which could impact the margins? That is first question.

Alok Gupta: Thank you, Abneesh. Golden Mist is a brandy in the Prestige segment. The two key competitors in this segment are Napoleon Brandy and Mansion House. As we know that more than 95% of brandy sale comes from

4 southern states. We are currently available in Karnataka and in Telangana and are looking forward to launching this brand also in the state of Andhra Pradesh and other smaller territories like Pondicherry and Odisha, where we see sale of prestige brandy. That should all happen within this financial year.

As regards Maharashtra, I think most of the marketers have passed on the tax incident to the customer, some reduction in the margin. And by and large, all the key competitors, the key players have tried to retain and protect their margins and minimize margin losses wherever they could.

Like I said in several media interviews, I think for us to be able to give a view on the overall volume and margin impact, I think the only way to do is by having a greater clarity on the MML policy, which is yet to be announced by the government.

Abneesh Roy: Second question is post-IPO last few quarters; we have seen very good recovery in your margin profile in the P&A salience. So, if you could talk about feet on street, what is the change in the last one year? And similarly, in terms of point of sale and on trade premises, your visibility, what has gone in terms of effort, what has gone in terms of the investment? And next two years, as you further scale up in terms of all these niche investments in terms of the brands and more launches, where do you see the brand spend point of sale and feet on street also?

Alok Gupta: We have roughly 500 people feet on street. That is the total workforce involved in our sales operation. We cover more than 90% of the outlets, which are permitted to sell alcoholic beverages.

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Fundamentally, post IPO, three changes have happened. Change number one that happened immediately prior to IPO, but got implemented in the IPO year, is that we moved from volume target to profitable volumes to margin governance metrics, and we redefined the brand and the SKU in each state where we wanted to grow to make sure that the capital is allocated behind profitable state brand SKUs.

The second change that we made was that we realigned the sales promotion incentive for our sales team from volume to value with focus on P&A .

And the third change that has happened starting this financial year is that we have launched a new sales incentive initiative called Tee t, which covers pretty much 90% of the workforce. We have put it on an app where each TS E can actually see the performance that he or she may be recording during the course of the month and essentially create greater visibility and greater pull and push towards their target. We have also, instead of annual targets move d to quarterly payouts.

So, essentially, these three things have happened. Focus has gone from volume to value within that focus on P&A , and now on back of the new program that we put in place, with better incentive, faster incentive, we are hopeful that we continue to drive the growth that we are seeing in our business.

As regards on-premise , I will broadly divide on premise into two types. One is key accounts and premium on -premise. The coverage of key accounts and premium on-premise will be done by ABD Maestro. Just as an example, now we have got listing with three of the largest national hotel chains where the luxury products should get placed in their bars and in the mini refrigerator in the rooms. The traditional on-premise will continue to be covered by the ABD 's team . I hope that answers your question.

Abneesh Roy: Yes, quite useful. Last question, India is seen largely as a whisky market. Now , your two new developments, one is Golden Mist is a brandy offering, and similarly, Russian Standard Vodka, again, vodka . Those are smaller opportunity, and both have very strong entrance players.

Brandy, obviously, Tilaknagar is a big player, and vodka Radico is a big player.

So, wanted to understand why these smaller opportunity. And within these smaller opportunities, are you targeting essentially, again, a bit more of the premium end where you would be able to really expand the market? And long term, how do you see your own whisky contribution to sales? What is the plan in terms of the diversification? Are these more of niche opportunities or you think over five years, the whisky contribution w ould be lesser in terms of diversification?

Alok Gupta: Well, at a macro level, contribution from whisky over the last 30 years has remained about 65%.

So, I think we continue to love and enjoy whisky as a flavor . And we do not expect significant changes in the flavor mix basket. Whisky will continue to be north of 60%. Other brown spirits, brandy and rum will be about 30% and 5% is white. So , I think pretty much that is a stable state over the last 30, 40 years.

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If you were to slice the industry, of the 410 million AlcoBev cases last year, roughly 160 million cases were at the prestige price point, which is a price point of, let's say, between Rs. 700 and Rs. 1,000 . Of this 160 million , roughly 40 million is non -whisky , which is brandy and vodka. Golden Mist operates at a prestige price point, which is roughly 16 million to 18 million cases, growing high double digit, excellent margins . And by and large, it has got a sales concentration in the Southern region.

So, Golden Mist is a brand that will operate in a high margin, high growth, prestige brandy market. In the Southern region, we also have a reasonably strong distribution. So, it is not as large as whisky , but in 16 million cases, a double -digit market share gives us an opportunity to create yet another millionaire brand.

Similarly, when we were to look at Prestige Vodka, which is another 14, 15 million cases , again , a reasonable double -digit market share , gives us an opportunity to build another millionaire brand. So , I think these are smaller as compared to whisky , but each of these opportunities gives us the ability to create another millionaire brand.

As regards Russian Standard , Russian Standard competes with Super -Premium and Luxury vodka across the world. They sell this brand in almost 60 countries . And they compete with the global leading Super -Premium and Luxury vodka. Therefore, this brand helps us on the luxury side provide consumer another exciting option, whether it is in the form of a sipping or cocktail or any other mode of consumption. So , the Russian standard does not compete with Magic Moment . It competes more with the like of Tito, Absolu t, and Grey Goose .

Abneesh Roy: One quick follow -up, last question. In both these two sub -segments, you mentioned double -digit market share. That will be a very good achievement, but obviously not easy. What will lead to this? Because this is obviously largely a media dark industry, and obviously current entrenched players will not let it go easy. So, what will lead to this double -digit share? And what is the confidence level in this?

Alok Gupta: So, if you were to look at two trends in the AlcoBev industry, first trend is premiumization about if you were to go a little bit on the street, premiumization was more visible in whisky as a flavor. But if you look at last two- or three -years' trend, premiumization is happening across all flavors. Therefore, it is happening in rum, it is happening in brandy, it is happening in, of course, all white s.

Secondly, if you look at the growth of flavored variants within even rum and brandy, that indicates that consumers are increasingly wanting to experiment and experience newer variants. So, I think the way we see the opportunity is that, yes, there is an established player there, but the consumer, especially the younger consumers, would be looking at experiencing newe

r experiences . And therefore, the way we are positioning, for example, Golden Mist, is more to Allied Blenders and Distillers Limited
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talk to the slightly younger consumer who have adopted brandy as their preferred choice, but it talks to them in a language that they would relate with.

So, yes, it's an up hill task, but we are quite committed to make progress here. As regards to confidence level, we would not have launched this brand if the confidence level i n our key consumer insight and our go -to-market strategy , we didn't believe we had a good chance of success.

Moderator: The next question is from the line of Aditya Soman from CLSA . Please go ahead.

Aditya Soman: Two questions from me. Firstly, thanks for your sort of detailed presentation, which really is fairly transparent and gives out a lot of data. But I wanted to just ask on you have laid out the pricing structure for P&A and Mass Premium and other brand and other price points. But I just want to understand how the margin structure also v aries as we move from sort of Mass Premium to Prestige . If you can answer it on sort of a price per bottle or in terms of percentage margins, that would be supe r useful.

Alok Gupta: Sure, Aditya. So , if you were to look at some of our listed peers, you would see that , I mean, if you look at listed peers where the P&A share of sale is between 70 % and 90%, the gross margins are roughly about 42 % to 44% , right? So , our Mass Premium segment, which is Officer's Choice, operates at a gross margin of north of 40% . So, it makes the same margin as a percentage that any other P&A whisky does.

When we look at our Prestige segment in whisky and in brandy , as we speak, we are currently just a shade below 40 . And a quick response to that is that some of the brands are new. As you know, function of the margin here is in terms of market bottle utilization, some bit of LPB rationalization. So , over the next few quarters, we are of the view that we should be able to cross the 50% hurdle rate on the P&A brand.

As regards Premium and Super -Premium is concerned, that portfolio runs at gross margin close to about 55%.

Aditya Soman: That's very clear . And just in terms of the opportunity on the Super -Premium and, let's say, Super -Premium and Luxury , could you give us some sense of where you see this entire space being in terms of the number of cases for ABD in particular over, let's say, 5-year period or what your aspiration would be?

Alok Gupta: So, the segment , the Super -Premium to Luxury segment, a price point of Rs. 2,000 and above is roughly 3% of the 410 million case market. So , say about 12 million cases , right? It is growing at the highest rate in the AlcoBev space, high double -digit.

On back of the India, UK FTA, some reduction in the BIO and the BII prices, and some bit of margin improvement in the BII scotch prices, our view is that this segment could more than Allied Blenders and Distillers Limited

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double in the next 4 years. Therefore, from a 12 million case, the segment could be sitting north of 20 million cases.

For us, this is a year of getting our portfolio ready, building capability in terms of distribution on key on -premise and understanding social media space and mixology and cocktails, and we have built this whole team under ABD Maestro. I think the way we are looking at is that of this 20 million cases, if we can get a high single -digit market share over the next two or three years, we will be in a good space , right?

However, I think by Quarter 3 of this financial year, you will have sort of a better sense on trend and timelines because we are now just about getting into distribution expansion.

Aditya Soman: That's very clear.

Alok Gupta: Thank you, Aditya.

Moderator: Our next question is from the line of Kunal S

hah from Jefferies. Please go ahead.

Kunal Shah: My first question is on your volumes and the benefit that they have received from Andhra Pradesh and Delhi, which you mentioned in the opening remarks, if you can quantify it in some way, probably both on P&A and overall ?

Alok Gupta: Let me have somebody work on this number. Is there another question that you have? Otherwise, allow me maybe a minute to come back to you on this.

Kunal Shah: Sir, the next question is, what is the total, let's say, cost base or OPEX that ABD Maestro will incur, let's say, on a full -year basis? And let's say, 2, 3 years down , what are your revenue aspirations for this business, if you can give some directional insight on both?

Alok Gupta: So, I think here is an interesting data point. For every 1% volume contribution from the ABD Maestro portfolio, the value contribution is really 9%. So , that is the impact it has in terms of the value growth , right? This year, it is all about getting the portfolio right and building the go -to-market in terms of distribution and special services that or special skills that it requires in terms of cocktail and mixology.

We have five brands ready now, and we are looking at adding two or three more brands to this portfolio within this year. So , that we believe will give us the portfolio width that we have been wanting. It is a combination of whisky , both scotch whisky , non -scotch whisky , Indian whisky , gin, vodka, and one other major white that we are looking at.

And like I was responding to, I think, Aditya earlier that our outlook is that how do we build a high single digit to a double digit , I would say high single -digit, double -digit market share over the next couple of years. So, the segment is currently 12 million cases and growing north of 20 % year-on-year. We expect this segment to get bigger and bigger.

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So, like I said, I think by H2, we will be in a better position to provide some indication on where we stand . But so far, the distribution expansion is on track.

Kunal Shah: And any comment on the cost structure? I mean, let's say, on operating cost that this entity would have on a quarterly basis or yearly basis?

Alok Gupta: So, the brands that are part of the ABDM, which are luxury brands, we are, for the next two years, following a very simple thumb rule that they need to be whatever money they make at a contribution level, we will reinvest in the brand . And therefore, the only expenses that will come is towards running the organization. And Year 3 is when the brand or the business will become EBITDA positive. So , first 2 years going to be the years of investment.

Kunal Shah: The second question is on Sterling Reserve . So, I remember last call you had mentioned that the brand had seen declines in FY '25 . And I heard your opening remark on some initiatives you are taking, but can you give more details and by when do you see this brand turning around?

Alok Gupta: Well, I think on SR B7, we have put a very clear path, stabilize, and grow. I think by end of H1, we are already in Quarter 2 , we should see the brand stabilizing. And towards the festive season, we are hopeful with the marketing program we put behind this brand, we should start seeing the green shoots.

On your earlier question of , let me understand. Your question is that what part of our growth will come from Delhi and AP, or individually, what will be the growth in these states?

Kunal Shah: No, sir. Let's say, if I were to take these two out, what would have been the growth for the business in volume terms?

Alok Gupta: If that's the question , just another 30 seconds. Sorry. We I think the data then came to me was what is the growth in the respective states.

Kunal Shah: No worries. We can probably take it later.

Alok Gupta: Yes. No worries.

Kunal Shah: An

d then just one last bit on ICONiQ White . I mean, 5 million cases plus last year. Any sense you can give on where you see it this year? I mean, do you see any initial signs of now incrementally the brand plateauing out? Or, I mean, anything on those lines that you can share?

Alok Gupta: No, the brand continues to grow. It is on a very strong wicket. We are seeing quarter -on-quarter growth. And I will just request what is the Q1 number for ICONiQ ? So, just to answer your first question that if you were to take Delhi and Andhra out versus the 17% volume growth, our growth would have been about 13%. So , that is the contribution of Delhi and Andhra in the overall growth.

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And Q1, the brand has done roughly 2 .3 million cases. As you would recall, last year we had done 5.7. So , in Q1, the brand has done roughly 50% of what we sold in full year. That will give you some indication of where the brand could head this year.

Kunal Shah: That's very clear. And just last one, bookkeeping question . I see a very sharp reduction in excise

duty in the quarter. Any specific reason? I mean, is there some state changed there from ...

Alok Gupta: Yes, this is a state of UP where the onus of excise duty has moved from the manufacturer to the wholesaler. Therefore, essentially, this is reflecting in the reduction of our gross sales value.

On like-to-like basis, if there was no change in the UP, you would have seen an incremental Rs. 300 crores, Rs. 350 crores of GSV. But we are happy with this change because it also means that we have been able to release some of our working capital from the state of UP.

Kunal Shah: That's all from my side.

Moderator: Thank you. Our next question is from the line of Sanjay Manyal from DAM Capital. Please go ahead.

Sanjay Manyal: I have few questions, specifically on ICONiQ White. So, just want to understand what would be the contribution from the state of Maharashtra, and what would be the impact of this excise hike, which has happened last month?

Alok Gupta: I will just give it to you. See, on Maharashtra, I deeply believe that only once you get the MML pricing will we really get to know where does IMFL sit. So, very difficult to speculate what will happen to the industry, right?

ICONiQ in the state of Maharashtra was operating at a price point of quad price point of Rs. 680, and now it is moving to roughly Rs. 900. So, that is a change in the pricing. Relative competitors are Imperial Blue, which has also gone from Rs. 680 to Rs. 880, and McDowell's No.1, which has gone from Rs. 640 to Rs. 900.

So, from a relative MRP parity, it continues to be competitively priced versus the benchmark competition, but there is about a 25%, 30% increase in the MRP. So, we are yet to see what impact it will have on the segment.

Sanjay Manyal: And from a Maharashtra state perspective, means ICONiQ White is a bigger brand. So, what kind of contribution you have from the Maharashtra state?

Alok Gupta: So, Maharashtra contribution is less than 10%. The number that I shared earlier of about 2.3 million, less than 10% comes from Maharashtra.

Sanjay Manyal: Secondly, you have launched this new brand.

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Alok Gupta: Just one point. If I can just one point about ICONiQ Maharashtra specifically. Like I said, I will wait for the MML duty structure to be announced. I think the way I am looking at ICONiQ specifically in Maharashtra is that it has got the high price point has moved from Rs. 780 to Rs. 1,070. So, I think the way we will have to understand this cascade in Maharashtra, not at a price point level, but what will happen to consumer who are earlier at Rs. 780, who are now moved to Rs. 1,070? Will they take something like an ICONiQ at 900 or spend Rs. 1,100? So, I think consumer will be fa

ced with these choices, and our view is that, fingers crossed, ICONiQ could actually benefit a little bit from this price change because as consumers from higher price segment start looking at what their alternatives are, ICONiQ being a newer and a fresher brand could benefit, but like I said, the jury is out.

So, just also keep in mind that the Royal Stag price point is moving from Rs. 780 to Rs. 1,070, Royal Challenge moving from Rs. 780 to Rs. 1,070. So, movement from Rs. 780 to Rs. 900 is relatively easier versus Rs. 780 to Rs. 1,070. So, just keep this in back of your mind. However, like I said that, what choices consumer make, we will find out.

Sanjay Manyal: You mentioned 2.3 million cases for the quarter means...

Alok Gupta: Yes.

Sanjay Manyal: Can we say the saliency of means for the quarter -on-quarter is similar? So, are we looking at anywhere between 9 million to 10 million cases for the year or maybe lower?

Alok Gupta: I wish I had a crystal ball to answer the question. But I have said this earlier. I will say it again. This brand has the ability to be a market leader. So, I mean, if you can see the performance of the brand even in this financial year in context of where I think this brand could be, that may just answer the question.

Sanjay Manyal: So, secondly, on the overdue, what is the expectation that this overdue from Telangana, by when we can expect that the full payment we can get?

Alok Gupta: It is status quo in Telangana. So, regular payments are being released. Overdue, very tiny portion was released in the month of April and May, but June and July, we have not seen release of any overdue payment.

So, I think clarity will emerge after the Panchayat election, which are stated in the month of August. So, that is when the government will be available for re-engaging on the Telangana overdues at industry level. That is really what our understanding is at this point of time.

Sanjay Manyal: And one last question I have about the UK FTA. What I believe that the custom duty reduction is very gradual over the next 10 years. So, you think really it will benefit given the fact that over the next 10 years, this can be offset by the excise hikes by the respective state governments because it is really a very ...

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Alok Gupta: The custom duty reduction is from 150% to 75%, and thereafter, reduction to 40% over the next 10 years. So, there is one big reduction now to 75%.

Sanjay Manyal: And that is immediately, you are saying?

Alok Gupta: Immediately. And then over the next 10 years, 75 needs to come down to 40. So, from our modeling perspective, we have taken the first 75 reduction. What happens thereafter, we still not baked into our model into our projection.

Sanjay Manyal: That's all from my side.

Moderator: Our next question is from the line of Kaustubh Pawaskar from ICICI Securities. Please go ahead.

Kaustubh Pawaskar: Most of my questions have been answered, sir. I just have a question on one of your initial comments of 300 bps expansion in EBITDA margins from Q4 FY '27. So, you mean to say whatever benefits which you are going to derive from backward integration will start flowing in from Q4 of FY 2027. Is it a right understanding? Because some of the facilities we are going to start from Q2 FY '26.

So, initially, the view was, like, from Q2, some of the benefits should start flowing in and the incremental benefits, what we are expecting, should come in from your Q4 of FY '27. So, just wanted to understand on that.

Alok Gupta: You are absolutely right. The full benefit will come, the full benefit will accrue from Q4 FY '27. Partial benefit from our ENA distillery in Minakshi in Maharashtra have already started to accrue, and the PET project will start in September '25. So, that benefit will start accruing. And by Q4,

FY '26, our single malt distillery will be up and running. So, benefits will start accruing.

We will start seeing EBITDA, positive EBITDA impact starting Q2 FY '26, and it will scale up gradually, but the full impact will be visible to us in Q4 FY '27.

Kaustubh Pawaskar: So, a follow-up question on ICONiQ. This quarter, we have seen 2.5 million cases of sales volume. So, is it mainly because of the fact that we are expanding into rural states or even the repeat attraction to the brand is quite strong? So, any understanding on that?

Alok Gupta: So, from a footprint expansion, ICONiQ was launched across all states of the country in the last financial year. So, footprint expansion is largely now in the international market. We have now shipped ICONiQ to about 7 new countries, and we will expand the footprint going forward. But from a domestic play perspective, we had finished our entire national rollout in the last financial year. So, the volume that you are seeing is just repeat consumer and newer consumers that are coming in.

Kaustubh Pawaskar: Sir, any thought process on the other launches, what you have done in past six to seven months, which of the brand you expect to be, I am not saying that it will be a next ICONiQ, but a little closer to that where you are seeing good traction?

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Alok Gupta: So, I think we are excited about all new brands. However, if you were to pick brands that can give us scale in terms of volume and are also high margin, then I would say Woodburns is a brand we are extremely excited about. It is a Rs. 3,000 MRP product. It is what I call a daily affordable luxury, which is Rs. 100 a day kind of a thing. So, I think that is a brand we are really excited about.

If you look at our Golden Mist brandy that we have recently launched in a large 15 million segment, high margin, high growth, we are extremely confident about that it can give us scale and the margin.

We also have a hidden gem in our portfolio brand called Srishti, which is an Indian brand with an Indian soul. We are currently selling it in three markets of North. We are extremely happy with the early results that we have and the playbook that we have on the brand, and we will expand it in the course of the year.

The idea of picking up these three brands is largely from the fact that these three brands offer a scale and high margin. Of course, the work that is happening on Zoya with its two flavor variant, which is Watermelon and Espresso, has started to deliver good results for us. So, we are excited about I think these three brands will give us scale and margin bump up.

Kaustubh Pawaskar: Also one final question on Maharashtra. You said that it is very difficult to comment on the impact as of now on the excise duty hike, maybe from the customer point of view. But on the HORECA, are you seeing any kind of impact of saying like they are maintaining lower inventory? Or is there any down trading as you were talking about as an opportunity for you in institutional or HORECA side of the business?

Alok Gupta: See, if you look at the Premium, Super-Premium and Luxury segment, the increase in MRP is marginal. It is single digit from 3% to 5%, right? So, the structure of excise duty is such that it

is increasing , it has increased the excise duty on the Mass Premium and the Prestige price point, has offered MML as a category, be it more affordable MRP. But in Premium , Super -Premium , and Luxury , there is hardly any change in MRP. Therefore, from a HORECA perspective, we do not expect that this policy will impact any which way the current consumption pattern. Moderator: The next question is from the line of Harsh Shah from Bandhan AMC. Please go ahead. Harsh Shah: Hi, Alok. Firstly, if we look at your volume s ex of ICONiQ this quarter, there would be a volume de

growth , right? And a question here is that even in the previous question, you have spoken about the brands you were excited about , right? Woodburns and Zoya and the other brands. But, I mean, how do we think of, let's say, brands which are already, let's say, which has crossed million cases like OC Blue or Sterling Reserve ? How do we think of those brands? Because even, I mean, they are also, let's say, how do we think of expanding millennial brands? How do we think of getting growth back in those brands?

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Alok Gupta: So, Harsh, my earlier response was in context of the question that amongst the new brands that we are launching, which are the one we are excited about . So, the response was in context of the new brands, not in context of the portfolio . So, that is an important point I wanted to make , right? If you were to ask me a brand that we are excited about, we are extremely excited about Officer's Choice. It is our flagship brand, largest exported brand out of the country. The margin governance framework has got our gross margin north of 40%. This brand requires fairly low levels of LPB and promotional support . So, net retained cash is very high. And we have our guidance is single -digit growth with focus on our gross margin because this really is a cash co w. So, very, very excited. We are doing some ...

Harsh Shah: This is Officer 's Choice or Officer 's Choice Blue ?

Alok Gupta: This is Office r's Choice. I will cover our brands . So, there are different reasons. For each brand, there is a different reason to be excited about . So, that is Office's Choice. We are doing some very interesting work in terms of innovation on this brand, which hopefully, Quarter 3 we can talk about . So, as market leaders, we are thinking about how do we expand the segment, how do we bring in excitement in the segment . So, we are working on that.

Officer's Choice Blue , it used to sell more than a million cases in the market of Delhi. And because there was policy uncertainty in Delhi, we had taken a back step in Delhi, and our volume were down to about 10,000, 12,000 cases a month, which is about a 150,000 cases a year. Now that the policy for Delhi has been announced for the next 9 months, we are ramping up Delhi in terms of our market share. And therefore, Officer's Choice Blue has always been a regional powerhouse, and therefore, there are two or three states. Delhi, of course, is the leading state here where we will see volume gro wth coming back on Officer's Choice Blue.

The third brand, SR B7, we have covered, stabilize and grow . And we are targeting towards H1, able to stabilize the brand. And then from H2, we will start seeing some green shoots on the brand. So, that those really are our 3 core brands. I have covered Golden Mist and Srishti , which is a new brand in our portfolio.

One more notable mention here would be that two of our Premium brands, especially Kyron , where we have 25% share in the domestic market, this brand is approved in the defense vertical. And this year, SR B10 and Kyron , we will focus on CSD as a channel.

From the export footprint, again, the growth will come up in the entire pieces of India and beyond, not just India. We have grown our footprint from 17 countries in FY '24 to 23 countries in FY '25. We are already operating in 27 countries, and we are looking at expanding our footprint further . So, from 17 countries in FY '24, by end of the year, we are looking at least a 2x increase, which means at least 33 to 35 countries where we start exporting .

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So, like I said, different brands give us different opportunities. As far as ICONiQ is concerned, the market share it is getting, it is getting market shares from brands like McDowell's No.1 and Imperial Blue, and needless to

say, even OC Blue. So, we also see the two brands together as to how OC Blue and ICONiQ together are getting market shares . So, I hope that provides you a response to the question that you were looking for.

Harsh Shah: No, it is very helpful. Secondly, basically, I mean, when I look at your presentation, we are currently at 46 % in terms of P&A volume share , right? And you have called out an aspiration to reach 50% P&A volumes in 3 years , right? That is something which, let's say, given that the slide on your new launches, everything we are doing is in prestige. Right?

So, this 50% would , I mean, it is something which we should be there, I think, by the end of this year, right? And so, in terms of target, I think, wouldn't the P &A volume contribution be much higher given what we are talking about doing in terms of ABD Maestro and currently that what we are seeing in ICONiQ as well over next three years? And 50, I mean, it is very I think a low number. What are your thoughts on that?

Alok Gupta: No. When we had indicated that we would like to be 50%, at that point of time, we were only 37% of P &A, right, which is FY '24. Of course, we ended the year with about 42 %. We are at 46%.

So, we continue to grow the way we are growing, and especially with the addition of Golden Mist and roll out of Srishti in many markets , we should be looking at closing down the gap between 46% and 50%.

There is massive amount of work that we are currently doing on Office's Choice as a brand, and we are hopeful that and this is largely in the space of innovation and sort of engaging the consumer differently.

So, we are also hopeful that we are able to stimulate growth in this price point or in this segment, which is high single digit. So, honestly, if we are able to get Officer's Choice to grow high single digit, we will be quite happy with hitting 50% because it is really a big cash generator for us.

Harsh Shah: And just even in terms of your margin bridge , right, so we are currently TTM basis, we are at 13% EBITDA, and aspiration is 15%, right, over next 3 years. So, will that margin bridge be linear in a way that we see expansion every year, or as you previously commented that this is a year of building your AB D Maestro portfolio, which would also mean that you would want to invest more in terms of brand building this year , right? So, I mean, will it be, like, taking one step back and then two steps ahead, or will it be a linear journey?

Alok Gupta: I think let's put it this way. We are currently, let's say, at about 13% EBITDA margin. There are two big levers of margin expansion. One is FTA, which, let's say, Q 4 of this financial year should come into play . That itself should add about 200 basis point margin improvement.

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And second is the backward integration, which we have said by Q4 FY '27 , we should realize the full 300% benefit , right? So , it is a stage d, so it is not linear in many way. It is linked to very specific milestone.

In addition, there are two areas of investment. One is on brands. Both the A BD portfolio, we are looking at improving our A&P as a percentage of NSV by 75 to 100 basis point this year, another 75 to 100 basis point next year to ensure that brands like OC Blue and Sterling B7 and ICONiQ continue to get the A &P support .

So, the numbers that I am sharing with you is after providing for that investment, and also A BD Maestro, like I said, for the first two years, is likely to lead investments . And therefore, going from 13% to north of 15% is after providing for investments in the brand and also people, process, and tech infrastructure. We are strengthening. We are moving from ECC to HANA, for example, this year. That is a big transition for us in terms of the tech platform.

I earlier spoken about that how we are putt

ing our sales force practices, including our sales

incentive program, Jee t, as part of our automation program, our risk factors. We are looking at investing in our S &OP digitization practice .

So, the numbers , the outlook that we have given on EBITDA is after providing for investments on our co -brands, investment on ABDM, and also investment in people, tech, and processes . So, you will see over the next balance 7 quarters, you will see gradual progression on the EBITDA numbers.

Harsh Shah: And just one data point on I think one previous participant asked you about the operating, let's say, cost structure for AB D Maestro. I mean, can you share a number there? I mean, in terms of annual basis, FY '26, FY '27, what would be the kind of cost structure there in terms of OPEX ?

Alok Gupta: I think little early days. Like I said, I think on ABD Maestro, let's talk in Quarter 3 . We will have a better sense on ABD Maestro. Right now, the focus in H1 is the portfolio. We are building two hubs for manufacturing. One is in Aurangabad , which is Maharashtra to service the market of West and South. The second hub is in Haryana. You know, Haryana is the largest market in North . So, second hub is in North, which is Saha, our unit in Haryana, which is going live this month, has gone live this month .

So, brand s, manufacturing, the team is in place, listing is on key accounts. We already have three large national hotel chains where we have got our listings . So, I think the focus right now is just about getting the fundamentals in place so that we can grow from there. But I think Q3 onwards, we should be able to talk a lot more about numbers there.

Harsh Shah: And just one last question from my side. I mean, after this, excise duty hike in Maharashtra , what is the consumer behavior which you are picking up in the last one month?

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Alok Gupta: Too early. The retail still has stock of the old prices, right? I think towards 1st week of August, the new MRP inventory will roll out. We are as keen as you are to understand what will happen in Maharashtra, but these are early days.

Harsh Shah: Fair to say July had no, July had very less primaries?

Alok Gupta: July, it is not about primaries. The distributor and the retail outlets were carrying enough and more inventory. So, from a consumer point of view, let's say retailer was carrying x week of inventory and the distributor was carrying y week of inventory. Therefore, from a consumer point of view, even now, in many markets, old MRP stocks are available. We have started to see the new MRP stocks coming on the shelf.

So, I think by 7th and 10th of August, we will start getting the retail order in terms of what's happening to consumer behavior. Anything that I tell you right now will hold no good because it is a mix situation, old MRP, new MRP.

Harsh Shah: No, my question is more from the primary, your sales to distributor, right? So, was that impacted in July because of the stocking up of old MRP?

Alok Gupta: Everybody is impacted because...

Harsh Shah: Everybody.

Alok Gupta: Everyone wants to understand what will happen in the market. Absolutely. Goes without saying.

Moderator: Our next question is from the line of Akhilesh Bhatte from IKIGAI Asset. Please go ahead.

Akhilesh Bhatte: Sir, congratulations on a good set of numbers. I just want clarification regarding your guidance for working capital this year. So, you mentioned that Telangana receivables are again coming at a very slow pace. So, how should we look at working capital this year? Would it be a big drag similar to what it was last year?

Alok Gupta: No, not at all. I think, operations, the EBITDA that we generate this year should be more than sufficient to meet the entire growth capital requirement for the business. In fact, it will leave free cash on the

table. So, the only reason we may need to borrow is for our projects that we have already discussed.

But from an operation point of view, the business is self-sufficient and will generate free cash.

And if the Telangana money was to go in, we will see significant reduction in our net debt as well.

Moderator: Our next question is from the line of Nikhil Kapoor from LIC Mutual Fund. Nikhil, sir, please go ahead.

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Nikhil Kapoor: Just one question. Most of my questions have been answered. Just one thing. I know too early days, but this new category of Maharashtra made liquor, which was talked about in the excise policy, would we be able to quantify if any benefits that will flow to us under this category?

Alok Gupta: The answer is yes. We have what this category will need is capacities, and we have geared up and ramped up our capacities in MML. So, we definitely see an upside on the volumes.

Nikhil Kapoor: But difficult to quantify it too early days.

Alok Gupta: Policy is not out. So, the reason is that policy for only the duty structures announced, which is 270 days price, but until we don't get to see contours of policy, it is very difficult to understand.

Nikhil Kapoor: That's all from my side.

Moderator: Our next question is from the line of Dhiraj Mistry from ICICI Securities. Please go ahead.

Dhiraj Mistry: Hi, Alok. Hi, Mukund. Sorry, I joined a bit late, but I would like to know what is the growth rate excluding, let's say, AP market and Telangana, Delhi market, which was kind of a one-off and that market has reopened? Sorry if you have answered that question.

Alok Gupta: Not at all. I am happy to answer the question again. Our Q1 growth is 17%. And without Andhra and Delhi, this growth would have been about 13%, 14%.

Dhiraj Mistry: And see, more from this, like, new product launches, so, yes, definitely, we have increased our aggression in terms of product launches in Luxury and Premium segment. But now that the incremental many players have been coming in this segment and this space is any which way is getting more crowded in a way, what is the growth trajectory, let's say, going ahead you expect from this? And how does saliency of this or, let's say, the profitability of this segment would move in three to four years period of time, especially when we are into investment phase in this segment?

Alok Gupta: Your question is related to the Super-Premium, Luxury segment?

Dhiraj Mistry: Yes.

Alok Gupta: So, like I said, of the 410 million cases, the volume sale is about 3%, transforming to about 12 million cases. It accounts for 20% of industry profit. A typical case NSV is about 8x to 10x versus brands that operate in prestige segment. Gross margin profile about north of 55%.

Our outlook is over the next two years, whatever money we make on the brands, we will reinvest in the brand s. Therefore, we do not expect these brands to contribute to our EBITDA. There will be some costs associated with the organization and manpower, but the brand will take care of themselves from a marketing A &P point of view. And Year 3 , we are targeting the EBITDA for it to start contributing to EBITDA.

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But from just a unit economics comparison, NSV is about 8x of the prestige segment. Margins for us are, let's say, 40 -odd percent on our ABD portfolio where margins are about north of 55%, but that too on a much higher NSV. Therefore, if over the next three or four years, we can get to a single -digit market share of 15, 20 million case segment, that's about a million cases , it should make significant difference both in terms of top line and bottom line.

Dhiraj Mistry: And for next three years basis, it would be more of a margin dilutive from the portfolio level point of view or, let's say, o

n an aggregate basis level?

Alok Gupta: For the first two years.

Dhiraj Mistry: For the first two years. Got it. And, sir, lastly on this backward integration, the benefit of this, let's say, the PET bottle, which should be finished in, let's say, couple of month of time, what kind of saving we are expecting on an annualized basis from this project?

Alok Gupta: The PET project alone , the annualized addition should be north of 30 crores.

Dhiraj Mistry: That's it from my side. And once again, congratulation on good sets of number.

Moderator: Our next question is from the line of Nikhil Gupta from Vayu Capital . Please go ahead.

Nikhil Gupta: My first question is, I think, related to Rock Paper Rum . I think it is quite some time we have approved the investment . So, what is happening on that front? Can you please elaborate?

Alok Gupta: Thank you for this question. It's just been getting the Q1 on track and growing . Nothing else. Just a matter of finding time . And hopefully, we will announce soon.

Nikhil Gupta: So, the investment has been already made, or it is still in the signing phase?

Alok Gupta: No. We have not made any investment in the business so far.

Nikhil Gupta: So, that is what I was trying to ask. I mean, I think we approved in the Q4.

Alok Gupta: Like I said, I think just we just got busy with our Q1 operations, and therefore, it just, you know, we felt that let's just right now put all our energy behind getting Q1 off on a good start and depending closure and the investment thereof, we will focus in Q2 now.

Nikhil Gupta: And what is our target? Like, how many cities we want to expand that ? And what's the dream? Like, what is the target strategy before that?

Alok Gupta: So, this brand operates in sort of a Premium , Super -Premium rum segment. The size of segment is roughly 3 million cases. It has one notable competitor . So, the idea would be over the next couple of years to target a double digit or a higher market share. The relevant market in terms of numbers would be about 10 to 12.

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The brand is already registered and operating in 7 of those 12 markets. The balance 5 we will need to open up over the next few quarters, and we have distribution in place . So, once we get this brand up and running, we should see quick results coming off.

Moderator: Our next question is from the line of Naitik from AV Alpha Fund. Please go ahead.

Naitik: Sir, my first question is when I actually look at your numbers and I compare Q -o-Q, while our revenues are sort of similar, but our expenses have increased . So, just wanted to , if you could quantify where we have spent the extra amount, that would be really helpful.

Alok Gupta: So, we have had a slightly higher expense on people, creation of the ABDM team, also our Minakshi Distillery, also announce e the increments for FY '26 . So, there has been an increase in our people cost. The second big element is the higher investment in the in the A &P behind the brands. The se are two big ticket items where bulk of the investments have gone in.

Naitik: And sir, just wanted one clarification. You mentioned that due to the UK F TA, the import duty coming down, the benefits would be closer to 400 basis points. Is that correct?

Alok Gupta: 200 basis points.

Naitik: 200, right.

Moderator: Thank you. Ladies and gentlemen, as there are no further questions, I now hand the conference over to the management for closing comments. Please go ahead. Thank you, and over to you , sir.

Alok Gupta: Well, thank you once again for taking the time out. I hope we have been able to provide you data queries and clarifications to the extent possible. However, if there is anything that remain unanswered or you need a follow -up, please reach out to Mukund . We will be happy to provide the data. Thank you once again for

taking the time out.

Moderator: Thank you. On behalf of Antique Stock Broking Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2025

Allied Blenders and Distillers Limited

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November 11, 2025

To,
BSE Limited
Phiroze Jeejeebhoy Towers
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Mumbai - 400 001
Scrip Code (BSE): 544203 National Stock Exchange of India Limited
Exchange Plaza, C-1, Block G,
Bandra Kurla Complex,
Bandra (E), Mumbai - 400 051
Symbol: AB DL
Our Reference No. 89/2025- 26 Our Reference No. 89/2025- 26

Sub.: Disclosure under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Transcript of the Earnings Call to discuss Q2-FY26 of the Company , held on November 06, 2025.

Dear Sir/Ma'am,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the Transcript of the Earnings Call to discuss Q2-FY26 earnings of the Company, held on Thursday , November 06, 2025 .

The above transcript is also available on the website of the Company : <https://www.abdindia.com/>

The above is for your information and record.

Thanking you.

Yours sincerely,
For Allied Blenders and Distillers Limited

Sumeet Maheshwari
Company Secretary & Compliance Officer
Membership No. ACS – 15145

Enc: a/a
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"Allied Blenders & Distillers Limited
Q2 and H1FY '26 Earnings Conference Call "
November 06, 2025

MANAGEMENT : MR. SHEKHAR RAMAMURTHY – EXECUTIVE DEPUTY CHAIRMAN
M R. ALOK GUPTA – MANAGING DIRECTOR
M R. JAYANT MANMADKAR – CHIEF FINANCIAL OFFICER
M R. J. MUKUND – HEAD, INVESTOR RELATIONS AND CHIEF RISK OFFICER

MODERATOR : M R. ABHIJEET KUNDU – ANTIQUE STOCK BROKING LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Allied Blenders & Distillers Q2 and H1 FY '26 Post Earnings Conference Call, hosted by Antique Stock Broking Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note, this conference is being recorded.

I now hand the conference over to Mr. Abhijeet Kundu. Thank you, and over to you, sir.

Abhijeet Kundu: Hi. It's our absolute pleasure to host the management of Allied Blenders & Distillers Limited for the second quarter of FY '26. Over to Mr. Mukund, Head of Investor Relations and Chief Risk Officer, for further proceedings. Thank you.

J. Mukund: Thank you, Abhijeet. Good evening, everyone, and thank you for joining our Q2 FY '26 results conference call. I hope you have received a copy of our results presentation. I would like to urge you to go through this along with the disclaimer slides.

Today, we have with us from the management of ABD, Mr. Shekhar Ramamurthy, Executive Deputy Chairman; Mr. Alok Gupta, Managing Director; and Mr. Jayant Manmadkar, Chief Financial Officer.

Now I would like to hand over the call to our MD, Mr. Alok Gupta, who will give you the summary of the company's quarterly performance before we open up for Q&A. Over to you, Alok.

Alok Gupta: Thank you, Mukund. Good evening, ladies and gentlemen. Thank you all for joining us today for the Q2 and H1 FY '26 earnings call of Allied Blenders & Distillers Limited. I'm pleased to share that this quarter marks our fifth consecutive quarter of strong performance post listing with consistent improvement in premiumization of our portfolio and margins as well.

The sustained success underscores the effectiveness of our approach which centres around driving profitable growth, enhancing our premium product offering and investing in backward integration to optimize margin and required supply chain security.

Our consolidated income from the operation was Rs. 995 crores in Q2 FY '26, representing a 14.4% increase in Q2 FY '25. EBITDA was at Rs. 130 crores, a 23.6% growth compared to the same period last year and with an improved margin of 13.1%. On profitability, our PAT grew by 32.3% to Rs. 63 crores.

In this quarter, we sold 9 million cases, marking an 8.4% year-on-year increase, coupled with a 3.8% rise in realization per case, driven by an improved product mix and price increases. Our Mass Premium category grew at 4.3% in Q2 versus Q1 FY '26, along with gross margin improvement due to profitable state brand SKU mix, but witnessed degrowth of 5% versus Q2 FY '25, which was primarily due to a regulatory intervention at an industrial level in one of the Allied Blenders & Distillers Limited

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southern states that will have a short-term pipeline impact. We expect the industry to come back to normalcy within this financial year and especially within Q3 FY '26 itself.

At the industry level, the Mass Premium Whisky segment witnessed degrowth during H1 FY '26. However, our flagship brand, Officer's Choice gained incremental market share during the same period, indicating continued growth momentum from Q1 FY '26.

Officer's Choice continued to lead the Mass Premium segment in India, holding its position as a top-selling brand. It also remains country's top exported brand, delivering gross margins of over 40%. The brand plays a crucial role in driving both profitability and cash flow for the business.

Our Prestige & Above category maintained the growth momentum with 8.3% versus Q1 FY '26 and 28.8% on year-on-year volume basis, which resulted in

improvement in salience of

P&A segment to 47.1% as compared to 39.7% in Q2 FY '25. The strong performance of P&A

portfolio highlights the continued success of our premiumization strategy and value-driven approach.

ICONiQ White has been a standout performer, maintaining its strong market momentum for the second consecutive year. It has been recognized as the fastest-growing spirits brand globally. The brand has successfully expanded its footprint, now available in eight international markets in addition to the growing presence across India. ICONiQ White continued to double its volume organically with 2x growth versus Q2 FY '25 and winning market share from legacy brand and also becoming the brand of choice for the new LDA consumer, which means consumers of legal drinking age.

Coming to our next billionaire brand, Sterling Reserve B7. We recently launched a refreshed blend with enhanced smoothness and taste and rolled out a nation-wide campaign titled 'So Smooth Must Be Magic'. We have also done a unique digital collaboration with cricketer Shreyas Iyer for enhanced consumer engagement. This initiative has helped in gaining consumer traction in some of our critical markets. This momentum highlights the growing popularity of our brands and reflects increasing consumer interest across various markets. It reinforces ABD's commitment to innovation, product excellence and deepening consumer engagement, all of which are the key to sustaining our growth and expanding our market share. The campaign was effective in reversing degrowth trend in our priority markets, and we plan to extend this campaign now nationally.

Now coming to our Super-Premium to Luxury category. During the quarter, ABDM brands in the portfolio have continued expanding its presence in addressable markets. During the quarter, it has successfully debuted in the duty-free markets of Bangalore and Delhi. The brands have garnered global recognition, securing prestigious award from the Concours Mondial de Bruxelles and Spiritz Conclave & Achievers' Awards, both in the year 2025.

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Coming to our international markets. ABD's strategic expansion across international market has been impressive, with the company increasing its reach from 14 to 30 countries within just 18 months. In the current year itself, it has expanded its presence to seven more countries across the continent. This rapid growth highlights the success of the asset-light, high-margin export model, which delivers profitability of higher than the domestic market and operates with much less working capital per case.

By Q4 FY '26, ABD targets to increase its international footprint to reach 35 countries. The company remains committed to maintaining its market share in the GCC region while continuing to expand its distribution into Africa with a goal to reach 1 million cases by FY '28. ABD is also broadening its presence in Latin America, Europe, North America and the Southeast Asia. ICONiQ White, the brand's latest millennial success is now available in eight countries, while Luxury portfolio brands such as Arthaus and Zoya Gin have also debuted in the UAE market.

Let me give you an update on our capex program. In September 2025, we also successfully commissioned our EBITDA-accretive PET bottle manufacturing facility in Rangapur, Telangana. This facility with a capital investment of approximately Rs. 115 crores. The facility is set to produce over 600 million PET bottles annually.

This investment is a key part of our strategy to strengthen backward integration by manufacturing PET bottle in-house, which has significantly enhanced supply chain efficiency, reduce packaging costs and improve overall operational control and also adding to our gross margins. Additionally, it supports our margin expansion goal through cost optimization while advancing

sustainability efforts with energy-efficient and recyclable packaging solution.

Our other capex project, namely the single malt distillery at Rangapur, Telangana and ENA distillation capacity expansion of Aurangabad, Maharashtra are on track and are expected to be operational in Q4 FY '26 and Q4 FY '27, respectively.

Moving on to our balance sheet and cash flow update. Our H1 FY '26 financial performance reflects a strong operational cash flow generation and all leverage ratios remain well within our stated guidelines even during the peak capex phase.

Operating cash flows of INR147 crores were generated in H1 FY '26 due to high profitability and working capital discipline. Our net debt position as on 30th September 2025 was Rs. 893 crores versus Rs. 766 crores on 31st March 2025. The increase in net debt of Rs. 127 crores is primarily on account of our capex, which I have already explained.

It should also be noticed that the average cost of borrowing has reduced by 140 basis points to 8.2% in H1 FY '26 versus 9.6% in H1 FY '25 at the backdrop of two credit rating upgrades first one in October '25 and within nine months in July '26, driven by strong financial performance.

Also in the month of October 2025, the processing of long overdue payment has been initiated by Telangana market and ABD along with other industry players have received certain payments. Overall, industry view is optimistic about progressive clearance of remaining dues. Moving on to the future outlook. On the industry front, the Indian Alcobev industry is witnessing strong growth driven by premiumization with P&A segment leading the way through portfolio expansion, innovation and route-to-market reforms. Premium and Luxury segment, including whiskeys and craft gin are outperforming as consumers increasingly seek high-quality products.

Key growth drivers include regulatory reforms in the state like Andhra Pradesh, which has facilitated volume recovery. The industry is benefiting from stable raw material environment, supporting margin stability, while operational efficiency and brand investment continue to enhance profitability. However, state level regulatory changes and the rise in local brands in certain regions represent a potential challenge in a couple of states.

As we enter the second half of the year, we anticipate a positive outlook driven by the festive season in Q3 FY '26. We continue to optimize working capital and ensure timely execution of key strategic projects that are crucial for our long-term growth. Furthermore, we are committed to advancing sustainability initiatives and investing in R&D.

With these efforts, ABD is set to play a key role in India's growing premium consumption market and continue to deliver long-term value. Our focus will continue to be on margin by focusing on unit economics, volume growth, continue to keep our portfolio customer-centric and deploy capital with discipline.

Thank you once again for your continued interest and support. We now open the floor for questions.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Abneesh Roy from Nuvama.

Abneesh Roy: Congrats on good numbers. I have three questions. My first question is on the capex, which you have just put up on the PET. The question, sir, what kind of a dvantage or gross margins you will enjoy versus a third-party PET supplier because that PET supplier can have a lot of economies of scale versus much lower scale for you. So if you could clarify on that way. And is it a common practice for Alcobev players to put this?

Related question is in terms of glass bottles, we understand that there is a lot of extra capacity, low utilization for the industry. So in the glass raw materials, how do you see the coming quarters? Is that quite favorable for you and the industry?

able for you and the industry?

Alok Gupta: Thank you very much for your question. The PET manufacturing largely works on producing and shipping within a short distance as the logistic cost can be painful. So the arbitrage -- your Allied Blenders & Distillers Limited
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first question was on what is the arbitrage. This is an investment of Rs. 115 crores. As we have outlined earlier, this investment will add roughly Rs. 30 crores plus to our gross margins, translating to about 75 basis points, let's say, on current year volume. So that's the impact on our gross margin and absolute EBITDA in terms of the contribution that this unit will make. Secondly, on economies of scale, we do not have any disadvantage on economies of scale because the PET manufacturing is not centralized unlike the glass bottle manufacturing. PET manufacturing is fairly decentralized. So we have enough scale because we are producing 600 million bottles at this facility.

Moving on to your question as regards glass bottle, we expect glass bottle to stay neutral to stable. We do not expect prices to move up. As this is a festive season and demand will grow for P&A segment and the Luxury segment, the demand for glass bottle in this quarter is likely to be higher than H1. So if at all, there's an opportunity to reduce the glass prices, it will offer only in Q4.

Abneesh Roy: Sure. One follow-up here. So you mentioned that in terms of PET, it's more of a smaller radius where the supply makes sense. So will this be more for Telangana and maybe the adjoining states? And in the long-term, would you need to put more such PET factories in any of the other states in the longer term?

Alok Gupta: So by design, we've chosen Telangana, because our Telangana consumption is roughly 65% of our total PET consumption. So we've gone to the biggest market. And you are absolutely spot on that this unit will feed Telangana and the adjoining markets of Andhra and pretty much the

entire capacity will get used up in these two states.

Once we have started realizing the benefits from this PET plant, then perhaps we'll see if there's any other market that can justify scale and volume. But I think for now, we're quite happy with this one unit in Telangana.

Abneesh Roy: Sure. My second quick question is on the Super-Premium Luxury to p end of the P&A. You are doing a lot of interventions there. I also see almost every other player listed, unlisted also do a lot of stuff there and almost everyone seems to be succeeding. So my question here is, is this just mostly upgrading from the lower end or is it that there is some market share gain you are seeing, because we are seeing good numbers from almost every player. So I wanted to understand that a bit more.

Alok Gupta: Sure. I think there are three or four key trends that we need to understand. First is that Indian consumers are now happy consuming, serving and gifting Indian brands. And that is the trend that you will see across the entire F&B and many other consumer categories. And therefore, consumers are giving Indian brands as much a chance that they will give to an international brand. So that one barrier is removed. There is, in fact, a positive bias for Indian brands. So consumers are happy trying Indian brands.

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The second thing is that launching a brand in the Luxury segment is required, but it also needs continuous flavour offerings to be made to the consumer. So just to give you an example, Zoya Gin was our first Luxury brand that we launched in January '24. Six months down the line, we followed up the launch with Zoya Watermelon and Zoya Espresso Martini. Today, 30% of the brand volume comes from our flavour extension and the brand is growing almost 4x since April this year itself.

So what, the discipline that a Luxury portfolio

requires is also continuous product

development. I think third thing is that we have to think of India and beyond, not just to rely on the Indian market. So like I had explained earlier that we have opened up UAE for Zoya, UAE for Arthaus. We are opening up travel retail. Bangalore is up and running and many more will be up and running in H2. So I think sort of reengineering distribution, continuous product development, I think, are two important things to succeed in this segment. And that, I think, is what we believe our right to win.

Abneesh Roy: Sure. Last question. What will be your thoughts on Maharashtra made liquor, the pricing seems quite aggressive in my view. So what gets adversely impacted? Is there some silver lining for you also? And on Andhra, if you could tell us that entire market is booming. How do you see the second year? And in terms of Q2, how has been the growth in Andhra?

Alok Gupta: I would say as far as Maharashtra is concerned, it's a little bit early to form a view. Of course, the IMFL volumes have come down by about 20%. But I think it's a little early. We should give it this quarter before we can come up with sort of an informed view. All we know for now is that IMFL volumes have come down. And there have been no additional revenue for the state.

So if the very purpose of the policy was that state wanted to make more revenue, we have not seen any evidence of that. Of course, at an industry level, we are continuously engaging with the policymakers that this policy is not delivering on the objective that you had laid out, but I would say we have to give it this quarter before we can take a more informed view on the market.

Moving on to Andhra. We have pretty much more than doubled our volumes in Andhra and we stay optimistic on possible growth. While the tender has been -- the tender conditions have been announced, we are hopeful that in time to come, new brand introduction will also be allowed and we have a very interesting line up of brands for the Andhra market. So we are looking forward to seeing higher growth coming from Andhra as a state.

Abneesh Roy: Any initial views on MML, Maharashtra-Made Liquor?

Alok Gupta: No initial views on MML.

Moderator: The next question is from the line of Nitin from Emkay Global.

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Nitin: My first question is around like the impact in Mass Premium you highlighted, I guess it is to do with the Telangana. So maybe if you can highlight how do you see the market or like the retail structure evolving?

Alok Gupta: Sorry, can I request you to repeat your question again?

Nitin: Yes. Sure. So my first question is around the Telangana market, because of this retail licensing, I guess, your popular segment growth has got impacted on a Y-o-Y basis. Any incremental viewpoint you want to offer there?

Alok Gupta: No. This is not just -- as far as Telangana is concerned, on back of the licenses because the retailers are pretty much buying what is getting sold. So this has impacted all segments, not just Mass Premium. Now the good news is that the lottery has been concluded. The new owners have been identified. And from 1st December, this will be business back as usual. And the pipeline correction that has happened, we see significant part of the pipeline correction to correct itself in the month of December itself. So we are gearing up to meet that demand.

Nitin: So everything will normalize in Q3?

Alok Gupta: Mostly, it will normalize in Q3. That is right.

Nitin: Sure. Second, with respect to this ABD Maestro, like, we are expanding sort of a market and like in terms of revenue contribution. So by when is there any sort of a benchmark when you will start highlighting about the ABD Maestro? I know that for three years, you will be reinvesting in the business, but my point is that if the sales is coming in and we are investing,

will it have an impact on the margin for the overall company?

Alok Gupta: Sure. So I think first, maybe a trivia point, for every 1% volume contribution from ABDM in future, it should have an 8x impact on our top-line. So the impact is fairly significant. And of course, it will take us maybe six quarters, eight quarters to be able to reach to that milestone. The good news is that ABD Maestro is currently running on -- its revenue run rate is now about Rs. 40 odd crores, right? And we expect this to pretty much grow at a very fast pace quarter-on-quarter basis.

So I think when we talk -- we connect again at the end of quarter four, we'll be able to give you a reasonably good view on where and how our projections are. But so far, I think we are on the right track.

Nitin: This Rs. 40 crores you are highlighting, is it for this quarter or you are talking about the first half?

Alok Gupta: I'm saying the run rate. The run rate...

Nitin: Understood.

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Alok Gupta: Is already at about Rs. 40 crores ARR and it is growing month-on-month. So by end of this financial year, we'll be able to give you a very clear idea on what our future ARR, annual run rate, would be all about. I think it will give us a much better view. But like I said, currently, we're on track.

Nitin: Sure. This is helpful. My last one question is around ICONiQ White. Would you like to call out the volume for first half?

Alok Gupta: It's just about 5 million cases, shade under 5 million cases.

Moderator: The next question is from the line of Sanjay Manyal from DAM Capital.

Sanjay Manyal: Hi, sir. Congrats on a good set of numbers. You spent a lot of time in your commentary about the international market. So I just want to understand what kind of a run rate we are sort of doing at this point in time? And what are our plans over the next two years? Is there any certain number we have sort of a target over the next two years, three years for our international business?

Alok Gupta: I think there are two key initiatives for our global market. One is mid-to-long-term. If you were to go back FY '24, we were in 14 countries largely concentrated in the GCC space, where we are now is we have 30 countries expanding. Apart from GCC, we are building Africa which is a very, very important market. And like I said in my call also, we are looking at building a 1 million case business in the Africa market.

In addition, we have also opened up critical markets towards the western hemisphere. So we opened up Canada and USA. We have opened two markets in Europe. We are also considering creating a hub in Europe for supplies across countries within Europe. We have opened up Australia, hopefully opening up New Zealand and we have opened all of Southeast Asia. Therefore, if you look at our distribution footprint, this will support brands like Officer's Choice, which cater into the Indian diaspora, largely in the GCC market. It will cater into our P&A segment, especially in the Africa market because products are very well spec'd. And the footprint that we are expanding into the western hemisphere will really be relevant for our ABDM portfolio.

So what we are really doing is to build the product portfolio and the distribution expansion hand in glove, right? So that's really where we are in terms of our strategy. Currently about 8% of our value, our top-line comes from our international market. We believe that once the ABDM portfolio rolls out, which is significantly higher NSV, we believe that the contribution

share from our international revenue could be between 12%-15% of our -- total value.

Sanjay Manyal: Right, sir. Secondly, I have a question on ICONiQ White. I think your run rate is close to 10 million cases for annual number. I believe with this kind of run rate you might just achieve that this year itself. You again -- is it the

growth because of the distribution expansion? I think a

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number of states where you have entered this year itself. So will we be sort of -- when we'll be lapping the overall distribution as far as ICONiQ White is concerned?

Alok Gupta: So as far as domestic markets are concerned, our national rollout got finished sometime November, December last year with opening up of Andhra and Delhi. So with that, we have finished or concluded the rollout domestically. International market, we are currently in about eight markets. We believe this brand has relevance across 25, 30 markets.

So we are expanding the global rollout as we speak. I think in our view this brand has legs to be a market leader. So how we take this brand forward with the consumer is something that we're looking at. So we stay very optimistic about the growth of ICONiQ White even in the near future, both domestic and in overseas market.

Sanjay Manyal: And we will be top five brands -- I mean ICONiQ White will be top five brand currently whisky brands in India?

Alok Gupta: Yes. It should be top five brands. That's right. But I think the aspiration is to at least move two notches up.

Sanjay Manyal: Right. Right, sir. And lastly, on Telangana overdues, if you just can spare some time on what is the status at this point in time? I believe last quarter, we heard that some dues have started -- overdues have started coming. What's the current status and when do you expect this entire thing to get resolved?

Alok Gupta: So I think we'll have to take the Telangana overdues on a month-on-month basis. I think the engagement with the corporation and with the respective policymakers is fairly intense and we have seen some results of that coming in the month of October. But we'll have to take month-on-month rather than sort of -- rather than have a clear outline of where the position, the money will get paid. But I think from what we hear and our engagement with the government through the industry body, I think, this issue is at the centre of discussion and we see continuous reduction in the overdues.

Sanjay Manyal: Okay. Possible to give an exact number overdue currently?

Alok Gupta: For the industry level, I have to really pull it out. It's not handy with me at this point of time. But if I was to go by a press report that I read a couple of days back, the number is north of Rs. 3,000 crores.

Moderator: The next question is from the line of Anuj D from Antique Stock Broking .

Anuj D: Hi, team. Just a couple of questions from my end. So ICONiQ has now delivered 4.9 million cases in the first half. So when I look at it as a percentage of P&A, it has moved up to roughly 60% from the previous year's 43%. So are we seeing a decline across the other major brands such as Officer's Choice Blue, SRB7 and SRB10? And I know you had called out that the

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blend has been revamped for SRB7. So sort of what is the trend moving ahead for these three brands?

Alok Gupta: So on SRB7, like I covered, I think we have put together this entire program on 'So Smooth Must Be Magic' with the focus being at the blend at the heart of our communication. Very happy to share with you that in our priority market, we are back on the growth track, and we are expanding this program nationally. And therefore, we see this brand coming back on the growth track by end of this year.

ICONiQ operates at a price point identical to OC Blue. The market share that ICONiQ White has been able to garner comes from established brands in the same price point, be it Imperial Blue or McDowell's No. 1 and also from OC Blue. So there is a bit of cannibalization. But the way we look at the segment is that what percentage of the segment we have combined between OC Blue and ICONiQ. So when you put together

, our market shares have only moved up.

Anuj D: Anything on SRB 10?

Alok Gupta: SRB10 was always a very small brand. We do close to about 150,000 cases. It was never a big contributor. However, the good news is that we are looking at strengthening this brand in the

defense channel, both in CSD and paramilitary. So the growth will be driven by focusing now in the defense channel. But overall, SRB10 only contributed about 150,000 cases in our P&A. Moderator: The next question is from the line of Ishaan, an individual investor.

Ishaan: Yes. My -- few question. My first question is that we have seen a de-growth in the Mass Premium category. So, would you like to comment on what is the reason for the degrowth in the Mass Premium category? Is it the competition or the adversity? My second question is ...

Alok Gupta: I think -- sorry. Please go ahead.

Ishaan: Hello. Yes.

Alok Gupta: Please go ahead.

Ishaan: My second question is -- yes. Yes. My second question is regarding the Prestige & Above category. So we are seeing that ICONiQ White brand is contributing almost more than 50% of P&A category. So are we like getting too much on ICONiQ White growth comes down in the ICONiQ White that it will negatively affect the top line?

Also I think that we have the guidance for the P&A negative 50% by the end of FY '28. But we are at already I think 48% P&A contribution? So would you like to revise some guidance for FY '28 for P&A category, sorry?

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Alok Gupta: Again the guidance for the P&A, 50% by 2028. We are at 47% and you rightly pointed out. I think if there's a need to revise this guidance, we will certainly do so, by end of this financial year. So allow us to come back to us on new guidance.

As regards to the Mass Premium segment is concerned, I think we covered both the point on this call. MML, which is the MML policy in Maharashtra has an impact on the entire Alcobev market, especially on the Mass Premium. Secondly, the temporary pipeline correction that we've seen in Telangana. So degrowth largely is on account of these two factors.

So Telangana situation, we expect to majorly course correct by December as the new licenses, we know who the new licenses are. They will be signing up the new shops and moving forward. Maharashtra, of course, is a bit of a wait and watch. So only by end of this quarter, we will be able to figure out as to which way the IMFL sales are settling down.

Ishaan: Okay. And what about your view about the ICONiQ White is contributing more than 50% of the P&A category, right? So we are like the ICONiQ White is too much concentrated over P&A. So should we focus on diversification of retail barriers too much?

Alok Gupta: If you look at the industry construct, the industry is about 400-odd million cases, of which 160 million is what we call as the P&A or the Prestige price point. Of this 120 million cases is whisky and about 40 million cases is brandy and vodka. The way we are architecting our portfolio strategy is with SRB7, ICONiQ and OC Blue, continue to get market shares from the 120 million case whisky Prestige market and introduce brand in the Prestige brandy and the Prestige vodka segment.

So Prestige Brandy, we've already launched Golden Mist, which is at the early stages of launch, currently available in the state of Telangana and the state of Karnataka. And we are hopeful, like I had explained earlier, that we should be able to get brand approvals in the state of Andhra.

So the 40 million cases, which is Prestige brandy and Prestige vodka, one brand has already rolled out, and we are also looking at rolling out a Prestige vodka in the next few quarters. So the idea is get profitable shares of the 160 million Prestige price point through a combination of whisky, brandy and vodka. Therefore, overall portfolio will expand,

not just in whisky, but

it will become a multiple flavor portfolio.

Moderator: The next question is from the line of Sunny Gosar from MK Ventures.

Sunny Gosar: Congratulations on a very good set of numbers. I have a couple of questions. First is with regards to the state of Telangana. In the presentation, you had mentioned that in the month of October, you started collecting some overdue amounts. So if you can give some color on what's the outlook in terms of overdue receivables in Telangana? And second, on the state of Telangana, like is there any possibility of price hikes or any pricing committee, which has been formed? So that's my first set of questions.

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Alok Gupta: Right. So the pricing committee has been formed. The pricing committee has already given a price increase to the Beer segment. This will be followed as we understand the BIO, followed by IMFL and the logic being that we got a price increase in May '23, which was roughly two

years back and the other segments got price increase about four or five years back.

So the price committee is up and operational, have already concluded beer, in the process of looking at BIO and then we look at IMFL. So we are in active discussion with the corporation in terms of taking up the case of the IMFL industry as soon as we can. On Telangana, in the month of October, the money that got released against the old overdues, the money that got released is about Rs. 100 crores towards the old overdues.

Sunny Gosar: Got it. And in terms of clearing of the overdues, is there a pathway or visibility in terms of -- or any timeline that the government has indicated to basically reduce this substantially further?

Alok Gupta: The government has given us an assurance that they will, every month, give us not only clear current dues, but will also release a part of the overdue. They have not given us a quantum and neither have they given us a time frame. So like I said, we'll have to take each month in a stride and just make sure that we are continuously having a dialogue so that every month, this position becomes better and better.

Sunny Gosar: Got it. My second question is on the capex program. So our overall capex program was about Rs. 500-odd crores. What I would like to understand is how much of this has already been spent till say, September '25? And what is the pending cash outflow over FY '26 and FY '27?

Alok Gupta: Okay. So if you recall in the earlier call, I had outlined roughly 25% of this Rs. 527 crores was invested last financial year. 60% of this Rs. 527 crores will be invested in this financial year and the balance 15% will be invested in the next financial year. So the capex investment is broken 25% last year, 60% this year and 15% next year.

Sunny Gosar: Got it. So Rs. 300 crores approximately in the current year and about maybe Rs. 100 crores to Rs. 125 crores in the next year?

Alok Gupta: Yes. You're right, Rs. 100 crores in the next financial year. And like I said earlier, I'm reconfirming that all the three projects are on time. We have said PET project will start in Q2 FY '26. We started production in Q2 of FY '26. The plant is now running to capacity of 600 million bottles a year, which is 50 million bottles a month. And the Maharashtra ENA facility is also on track and so is the single malt plant in Telangana.

Sunny Gosar: Got it. And one last question is on the A&P spend. So what is the current percentage in terms of A&P spend? And basically, what is -- as your P&A mix increases, what is the normalized level of A&P spend that you're looking at, say, over the next one to two years?

Alok Gupta: So the A&P spend, the demand in the Mass Premium segment is pretty low. So when we look at our A&P spend, it is roughly 4.5%, 5% of the P&A NSV. So our P&A NSV is, we invest Allied Blenders

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about 4.5% to 5% as A&P. The way we are looking at is to increase our A&P investment between 75 basis to 100 basis points year-on-year for the next two or three years.

Sunny Gosar: Got it. So basically, on a blended basis, this will be lower than 3%, right, assuming Mass Premium and P&A?

Alok Gupta: Just about 3%.

Sunny Gosar: Got it. And this 3%, again, on a blended basis should go to, say, between 4.5% to 5% by FY '28. Is that correct?

Alok Gupta: Little lower than that.

Moderator: The next question is from the line of Kunal Shah from Jefferies.

Kunal Shah: My first question is on ICONiQ White and specifically on profitability of that brand. So if I remember correctly, you had highlighted a few initiatives, use of market bottles, removal of mono cartons in this brand to improve profitability. I wanted to get an update on where are we in that journey? How much is left? And in the markets where you have done, let's say, removal of mono cartons, have you seen any impact on, let's say, brand perception or growth or anything like that?

Alok Gupta: So let me take the easier one first. The markets where we have removed mono carton, there is no impact. I think numbers speak for themselves. We did about 5.7 million cases all of last year. We've already done 4.9 million cases in H1. So the brand continues to grow organically. I think what is really working well for the brand is what we would call in classical marketing term is word of mouth.

I think consumers really love the blend, but they like the packaging a lot, but they love the brand and that word is spreading. So that's part one. On the mono carton removal, you will recall I said within 12 months of launch we removed. Our last market of launch for November and December last year. So it's really Andhra and Delhi.

So by December, the entire exercise of mono carton removal will be concluded. On the market bottle utilization, while our overall market bottle utilization is north of 20%. ICONiQ has really ramped up, and it's at about 16% and we are hopeful by the time we're finishing this year, the market bottle would also be operating at about a 20% level for ICONiQ White.

Kunal Shah: Just to clarify, there's no plans of any change in pricing or liquid profile as a part of your margin improvement in this trend, right?

Alok Gupta: What we're focused on is to really work on price variants and work on flavor variants, which means really in a meaningful manner, see how we can extend the brand equity of ICONiQ in

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your price point and your flavor. But the core ICONiQ White will continue to play by and large, between the Deluxe and the prestige price points. I think that positioning will maintain.

Kunal Shah: My second question was on the Srishti brand. Any update you can share on how is that brand tracking? What's been the response till now? And any progress that you expect in the near-term?

Alok Gupta: We are very happy with Srishti. We are currently selling it in two markets only in UP and in Haryana. I think we have a clear go ahead from the customer in terms of the brand proposition, which is the Indian brand with the Indian soul. As you know, this brand has a unique botanical that comes from -- which is unique to India.

However, I think some interesting points were in terms of our packaging. So we are looking at reengineering some of the design semantics and get back to the market in Q4 and thereafter roll out in the top 10 markets of India.

Kunal Shah: And lastly, a bookkeeping question. Any one-offs in the employee cost? Or we should continue to assume that this run rate continues?

Alok Gupta: There is a one-off, which is the payment, which is the VIP, which is a variable component that got paid out in H1. And therefore, that is the only one-off

in H 1.

Kunal Shah: So on a normalized basis, let's say, Rs. 50 crores, Rs. 55 crores a quarter should be the right number or?

Alok Gupta: It's good. I think it's a fairly good estimate.

Moderator: The next question is from the line of Karan Kamdar from Choice Institutional Equities.

Karan Kamdar: Congrats on a very good set of numbers. A forward-looking question is that at what stage do you see as future areas of growth, especially for ICONiQ White and Srishti, the brand that we are betting big on?

Alok Gupta: So as far as ICONiQ White is concerned, the brand will continue to grow organically. It continues to get share both from the Deluxe price point and the prestige price point. A point that we made earlier is that it's seen as its franchise is very strong among the younger consumer. So India is adding about 12 million to 13 million consumers of legal drinking age. Some of them will take an informed decision to enjoy alcoholic beverage, and they will look for a brand that is trending amongst the younger consumer. So ICONiQ White also gets a larger share of the growth that is coming from newer consumer.

And on back of -- and therefore, the ability to get consumers both from Prestige and Deluxe and the newer consumer is a continuous growth engine on the brand. In addition, we are also looking at in a meaningful manner, looking at price and flavor variant to grow the brand

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franchise. And we are already in about seven or eight markets internationally, also to grow its footprint from seven, eight markets to hopefully in 20 markets in time to come.

Karan Kamdar: One last question, if I can, is what are any updates on on-trade sort of efforts that we are making? Last quarter, you gave an update that we started going out and doing some on-trade activity. Any update on that front?

Alok Gupta: Absolutely. We are now ABDM products are now available on 2,000+ outlets. So it's been a fairly aggressive rollout of the brands in the premium on-premise. In addition, we have listing from three of the large hotel chains in India, and that itself will give product and excellent exposure to those who stay in the hotel and an opportunity to try the products.

And thirdly, like I said earlier, we've been able to -- we are looking at the travel retail channel very seriously. We've been able to open up two travel retail within India and H2, hopefully, another two or three travel retail will open both in India and overseas market. So on-premise, key accounts and travel retail will continue to be a very important area of distribution focus, especially for our Luxury portfolio.

Karan Kamdar: Any key brands you would like to highlight, which we are pushing for on-premise?

Alok Gupta: Well, the on-premise focus, I would largely say as far as the key accounts and premium on-premise travel retail is concerned, the focus is going to be on Zoya, Art House. The entire portfolio of the ABDM is going to be a big focus area. As far as brands like SRB7 and

ICONIQ are concerned, these are also brand franchised at on-premises. Of course, the nature of on-premise is very different. So essentially, we have to see the on-premise fit with our brand, but each brand has its own on-premise program.

Moderator: The next question is from the line of Yash Bajaj from Lucky Investment Managers.

Yash Bajaj: Congratulations on a good set of numbers. Sir, my first question was on the malt distillery, which will come up by end of this year, this financial year. So if you can help us understand -- I understand that, I mean, the initial priority will be to utilize that for blending of our whisky product. But when it comes to suppose the single malt side of it, where are we in that journey in terms of kind of deciding and choosing what brand you are planning to launch in single malt and especially on the side of -- in terms of brand identity

of that single malt, which you're

trying to launch? And when would we see this?

Alok Gupta: All right. Thank you for this question. Before we started this journey, we essentially made an attempt to understand how single malts are getting launched across the globe. Today, single malts not just come from Scotland or from Japan. They also come from Taiwan, Thailand, U.S., Germany, even China is planning to launch its own single malt. So the idea was to understand that really what's the right to win when we launch single malt.

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The single malt distillery that we are building in Telangana, the first thing is we are focusing on authenticity. We are focusing on a story that is sort of deeply connected with the 2,000 years of history of Rangapur district. So we've done a lot of research work and what has happened in Rangapur.

We are tribute to River Krishna from where we'll draw water for our single malt. So right from the way the single malt district is getting built out, we are on every step trying to make sure that we stay authentic to the environment and the sort of ecosystem in which the single malt is being made.

The production is likely to start in Q4 in this financial year, like we said earlier, and we are on track. The total production that we'll do there is 4 million liters. A part of this production will go towards raw material and a part of this production will go towards maturation for our single malt.

So our master blender has visualized as to what kind of a single malt profile we would launch in 2029. That is when we are targeting our single malt to come out. And right from distillation to maturation to the kind of cask, the maturation will happen. I think that blueprint is already ready. So quite excited about bringing our single malt in 2029.

And one quick point that I'd like to cover earlier is that in anticipation of the single malt, we are also strongly building our distribution globally. Therefore, addition of markets in the Northern America, looking at setting up our hub in Europe and the Southeast Asian market. We've already started work in anticipation that we'll have not just our Luxury portfolio, but also have our single malt in 2029.

Yash Bajaj: Just a follow-up on this was the casks. I mean, how important or differentiating is the cask which we use for the maturation of the malts? And I mean, where would these casks be coming from? We understand that there are these casks which are available all across the globe. So if you can just help us understand that, which will help you bring that authenticity.

Alok Gupta: We can spend a full day talking about it. I'll try and keep it very simple. As you know that the character of a whisky is determined by three things. It is determined by the wood in which the spirit is matured, the environment in which the whisky is matured and the water that is used for the maturation process. That wood plays an extremely important role. And that's the point I was trying to make that the master blenders already thought through in terms of what profile of whisky do we want in 2029 and therefore, what kind of cask mix that we need.

Broadly speaking, we use three kind of casks without drilling into too much of detail. We will use one use bourbon cask that predominantly comes from the U.S. We will use some casks that are used in the Scottish malt industry, and we'll use some sherry casks coming from France, which are used for the wine industry. And as the whisky gets matured and rotated in these three different kind of casks by 2029, we'll have one unique single malt coming out from our unit in Rangapur.

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Yash Bajaj: And my final question is, sir, the 12 million cases, which is a super-premium segment, if you can help us break that out into

uppose, dark spirit and white spirit? And at what rate would this piece be growing at today?

Alok Gupta: Okay. Predominantly, it's dark spirit. A lot of this is really whisky s, both non-scotch and scotch. We know the growth of Irish whisky in the country. We know that consumers are looking at Japanese whisky, there are bourbon. So dominant flavor p rofile upwards of close to about 90% would be whisky and balance is going to be white, which is tequila, vodka, gin, white rum and many others. So that really is the broad dark to whit e breakup.

Yash Bajaj: And at what rate would this be growing at, sir?

Alok Gupta: Just give me 30 seconds. I'm going to give you the number, but I reckon that it's going to be high double digits.

Moderator: The next question is from the line of from Naitik from NV Alpha Fund.

Naitik: I just need one clarification. You mentioned you have received rough ly Rs. 100-odd crores from the Telangana deal. So if you can just confirm that? And a follo w-up question on the same is how much amount is still to be received from Telangana governmen t?

Alok Gupta: So I can confirm that we have received over Rs. 100 crores from the o verdue amount from the Telangana government. And our total due at this point of time, just page turn and figure out what the number, just give me 10 seconds. Yes, it's about close to Rs. 700 crores, of which roughly Rs. 250-300 crores would be current dues and balance is going to be the over dues.

Naitik: Sir, another question is what is the volume from exports currently, if you could give me that number?

Alok Gupta: Volume is north of 2 million cases.

Naitik: 2 million cases. And we expect to add another 1 million from Africa by when?

Alok Gupta: So this 2 million cases is the annualized market. And we are looking at Africa to be a big growth market over the next two years or three years.

Moderator: The next question is from the line of Abhinav Rao from IndiaFirst Life Insura nce.

Abhinav Rao: Hello.

Alok Gupta: Yes. Hello. Hi.

Abhinav Rao: Yes. Hi, sir. Sir, I wanted to understand like in UP ICONiQ right is doing like in 1 milli on odd cases. So that's like close to 20% of your volumes. So can you just detail the reasons for this

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sort of growth in UP market? Is our product priced higher or lower compare d -- comparing it with Imperial Blue?

Alok Gupta: So UP as a market, as we all know is a fairly progressive state. I think the policy structure of UP really allows for what I call as accelerated premiumization, making it easier for consumer to move up the value chain. So it presents a unique opportunity f or marketers to take advantage of it, and ABD has done exactly that, is to take advantage of this po licy framework, which allows consumers to premiumize.

ICONiQ has been a fast-growing brand in the state of UP. This year, of course, we made UP a priority market largely because the policy allowed -- the way the policy was structured, we expected these price points to be -- to have high growth. And therefore, as a result, we are seeing accelerated growth of ICONiQ White in UP. On the pricing, there is not a sin gle market where ICONiQ White operates below an Imperial and McDonald's Number 1. We ope rate either at parity or at a higher price.

Abhinav Rao: But in the state of UP, are we the market leader in terms of volume?

Alok Gupta: Well, I think in this quarter, by end of this quarter, we do believe that we could have -- we could be a market leader in this segment.

Abhinav Rao: And sir, the other team is like on the Luxury side can you just share a bit details of your brand, like expansion brand, I mean like, are all the brands are currentl y available in all the states or if it like just limited to few of the states? And the other thing is o n the Russian standard vodka , how are the margins here, is it like more or less distribution margin or

is it like some your -- I

mean, some brand sort of margins?

Alok Gupta: Let me see if I can provide a framework, which makes it simpler. Our focus till H1, which is September '25, was to get our portfolio in place. We have now six beau tiful brands in our portfolio, which is Zoya with 2 variants, which is Watermelon and Espresso Martini, Art haus, Woodburns, Pumori, Segredo and Russian Standard.

We are also planning to launch three new brands in H2. One of them is goin g to be White and two other whisky, scotch, non-scotch and that sort of gets our portfol io to completion. And once the FDA is in place, we will look at entry strategy in the BII sco tches. But for now, by end of H1, we have six brands, three new to be added in H2, an d that was clearly our focus.

In parallel, we are focused on three other things. Number one, we are focused on building capabilities. So ABD Maestro, our subsidiary that is focused on Luxury por tfolio has gone to build on an infrastructure, which is focused on key accounts and on-premise. So it's a 50

people strong team, which brings in capabilities on key account management, mixology, cocktail how to manage social media space.
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So that's a capability now that is fully ready and baked in. And third focus is on distribution, like I spoke about earlier, both in Indian market and in the global market. As far as domestic offering is concerned, ABD is available in over 90% of the outlets. So it becomes easier for any of the Luxury brands to -- for us to distribute. But ABDM is focused on key accounts. We've already got listing north of 2,000 outlets and the listing grows on a weekly basis. And the third point is look at countries beyond India and also focus on travel retail. So H2 for us is going to be a focus on expanding distribution in identified states, expanding distribution globally and also expanding distribution in the travel retail. And a point that I was making earlier on is that by end of this financial year, I think we'll have some really good data points to talk about how does the future look like and at what speed can we move forward. Our current ARR is about -- annual run rate is about Rs. 40 crores, but it is growing month-on-month. And we're quite happy with the progress that is being made.

Abhinav Rao: Okay. And the margins related to Russian Standard is like, can you share in which one?

Alok Gupta: No. No. Standard margins would be 4x of distributor margin. We are not distributors. We are India partners. Our entire go-to-market is partners of a brand in India. Therefore, the way we are positioned is to at least have margins which are value accretive for us. So margin range will be about 4x to 5x of what a distributor -- typical distributor margins are.

Moderator: The next question is from the line of Nitin from Emkay Group.

Nitin: One question is around your cash flow and capex needs. So like we'll be going ahead with the capex need, and we have around 50% dividend payout. So how do you think the capex will be funded ahead? Is it like we have to resort to borrowing? Or do you think that cash generation will be sufficient for the capex need ahead?

Alok Gupta: No. We will need to borrow the balance capex for this financial year. But the way we have planned our borrowing is to make sure that it is well within all the key ratios that we have internally agreed as and the growth must be driven within certain KPIs. So all the borrowing is keeping those KPIs in mind. But we'll have to do a bit of all.

Nitin: And any sense on the dividend payout? So would you look to maintain or...

Alok Gupta: This question is for next year because this last year dividend has been paid out this year. So I think we'll address this question at the right time.

Nitin: Got it.

Alok Gupta: I guess if you are done with all the questions, we can close the session for the day.

But if there are any further questions, happy to address.

Moderator: The last question is from the line of Ayush, an individual investor.

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Ayush: Yes. Congratulations on a good quarter. My only question is that from which quarter we can expect the import duty reduction from the UK FTA going into our margins and numbers?

Alok Gupta: I stand at this point of time we believe that this could be around quarter one to quarter two next financial year.

Ayush: Okay. That's the only question from my side.

Alok Gupta: All right. Ladies and gentlemen, thank you so much for your time and for your question and thank you for sharing your wishes with us, which really appreciate.

Moderator: On behalf of Antique Stock Broking Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Feb 2026

Allied Blenders and Distillers Limited

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February 04, 2026

To,
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Scrip Code (BSE): 544203 National Stock Exchange of India Limited
Exchange Plaza, C-1, Block G,
Bandra Kurla Complex,
Bandra (E), Mumbai - 400 051
Symbol: ABDL
Our Reference No. 114/2025- 26 Our Reference No. 114/2025- 26

Sub.: Disclosure under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Transcript of the Conference Call to discuss 3QFY26 Earnings of the Company held on Friday, January 30, 2026.

Dear Sir/Ma'am,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the Transcript of the Conference Call to discuss 3QFY26 Earnings of the Company held on Friday, January 30, 2026 .

The above transcript is also available on the website of the Company: <https://www.abdindia.com/>

The above is for your information and record.

Thanking you.

Yours sincerely,
For Allied Blenders and Distillers Limited

Sumeet Maheshwari
Company Secretary & Compliance Officer
Membership No. ACS – 15145

Encl.: a/a
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"Allied Blenders & Distillers Limited
Q3 & 9M FY '26 Post Earnings Conference Call "
January 30, 2026

MANAGEMENT : M R. SHEKHAR RAMAMURTHY – EXECUTIVE DEPUTY CHAIRMAN
M R. ALOK GUPTA – MANAGING DIRECTOR

M R. JAYANT MANMADKAR – CHIEF FINANCIAL OFFICER
M R. J. MUKUND – HEAD, INVESTOR RELATIONS AND CHIEF RISK OFFICER

MODERATOR : M R. ABHIJEET KUNDU – ANTIQUE STOCK BROKING LIMITED

Allied Blenders & Distillers Limited
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Moderator: Ladies and gentlemen, good day, and welcome to the Allied Blenders and Distillers Q3 and 9M FY '26 Post Earnings Conference Call hosted by Antique Stock Broking. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Abhijeet Kundu. Thank you, and over to you, Mr. Kundu.

Abhijeet Kundu: Thanks. It's our absolute pleasure to host the management of Allied Blenders and Distillers Limited for the third quarter of '26. Over to Mr. Mukund, Head of Investor Relations and Chief Risk Officer, for further proceedings. Thank you.

J. Mukund: Thank you, Abhijeet. Good evening, everyone, and thank you for joining our Q3 FY '26 results conference call. I hope you have received a copy of our results presentation. I would like to urge you to go through this along with the disclaimer slides. Today, we have with us from the management of ABD, Mr. Shekhar Ramamurthy, Executive Deputy Chairman; Mr. Alok Gupta, Managing Director; Mr. Jayant Manmadkar, Chief Financial Officer. I would like to hand over the call to our MD, Alok Gupta, who will give the summary of the company's quarterly performance before we open up for Q&A. Over to you, Alok.

Alok Gupta: Thank you, Mukund. Good evening, ladies and gentlemen. Thank you all for joining us today for the Q3 and the 9-month FY '26 earnings call of Allied Blenders and Distillers, and also take this opportunity to wish each one of you the very best for the year ahead. I'm pleased to share that this quarter marks our sixth consecutive quarter of strong performance post listing, with consistent improvement in the premiumization of our portfolio, margins and cash flows. The sustained performance over the last several quarters underscore the effectiveness of our strategy, which remains firmly centered around driving profitable growth, strengthening our premium portfolio and investing in backward integration to enhance margin and ensure supply chain security.

During Q3 FY '26, our consolidated income from operations stood at ₹ 1,004 crore, representing a 2.8% increase over Q3 FY '25. EBITDA for the quarter was ₹ 137 crore, reflecting a 14.1% year-on-year growth, with an EBITDA margin improvement to 13.6%. This improvement was driven by better product mix, operating leverage and benefits from backward integration, while we continue to invest behind our brand and building our luxury portfolio. On the profitability front, PAT grew by 10.9% year-on-year to ₹ 64 crore during the quarter.

For the 9-month period, our consolidated income from operations stood at ₹ 2,929 crore, representing a 12.4% increase over 9 months FY '25. EBITDA for the period was ₹ 386 crore, reflecting a 28.1% year-on-year growth, with EBITDA margin improving to 13.2% and PAT at ₹ 182 crore, reflecting a 57% year-on-year growth. Our 9-month performance is a performance reflection of strong fundamentals, steady revenue growth, improving margins and strong

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operating cash flow generation, reinforcing the scalability of our business model and structural benefits of premiumization.

In terms of volume, we sold 9 million cases in Q3 FY '26, marking 1.3% year-on-year increase, supported by a 0.7% improvement in realization per case, driven by an improved product mix and selective price increases.

At the industry level, the mass premium whisky segment softness during Q3 FY '26. As already discussed over Q2 FY '26 earnings call, stocking norms in Telangana were impacted due to

the

retail license auction process, which led to temporary moderation in the trade inventory levels.

We are expecting normalization during Q3 FY '26 itself and normalization is also visible in January 2026. In Maharashtra, policy-driven price changes affected consumer affordability and buying behavior, resulting in a lower consumer offtake.

Together, these region-specific factors contribute to subdued demand condition across the industry for the quarter. Within our portfolio, Officer's Choice continues to play a pivotal role

in the business. The brand maintains its leadership position in the mass premium segment in India and remains country's top exported whisky brand.

Despite category level headwinds, Officer's Choice gained incremental market share during 9 months FY '26 and also in Q3 FY '26, reflecting sustained brand strength and distribution reach. Importantly, the brand continues to deliver improving gross margins now at about 45%, making it a critical driver of profitability and cash flow in the company. Our P&A portfolio continued to demonstrate strong momentum.

Volume grew 16.9% on a year-on-year basis, resulting in a meaningful improvement in the salience of P&A segment to 48.5% in Q3 FY '26 compared to 42% in Q3 FY '25. This sharp improvement reflects the continued success of our premiumization strategy and our focus on building scale with value.

ICONiQ White continues to be standout performer and remains one of the strongest pillars of our premiumization journey. ICONiQ White has also emerged as a brand of choice for the new consumer coming to the legal drinking age, further strengthening its long-term growth potential. The brand continues to expand its presence both domestically and internationally, reinforcing its role as a key growth engine within our P&A portfolio.

For the 9-month period, it has delivered 7.7 million cases compared to 5.7 million cases delivered in the entire previous FY '25. It is well on progress to touch 10 million cases mark in this financial year.

Coming to our next millennial brand, Sterling Reserve B7. In Q2 FY '26, we introduced a refreshed blend with enhanced smoothness and taste supported by a nationwide campaign, "So Smooth, Must Be Magic" and a differentiated digital collaboration with cricketer Shreyas Iyer. This initiative will help strengthen consumer engagement and drove traction across select priority markets.

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This underscores our continued focus on product improvement and consumer-centric brand building. Building on this momentum, we are progressing towards the launch of a contemporary packaging by Q1 FY '27 aimed at appealing to the new age consumer and supporting further market share expansion.

Officer's Choice Blue, one of our million brands in the Prestige segment continues to be a strong regional power brand, supported by the equity and recall of Officer's Choice franchise. Currently, our focus on refreshing the brand through our international style packaging is well on track, and we expect it to roll out in Q1 FY '27.

Update on the CSD market. CSD is one of the most profitable sales channel for the industry with the annual volume of 10 million to 12 million cases and is strategically important. We are pleased to share that 4 brands of ours have now been approved within the CSD market, Jolly Roger rum, Sterling Reserve B7, Kyron and ICONiQ.

Some of these brands we've also started building. This approval in CSD will become yet another growth track for our brand, especially for SRB7 and ICONiQ Whisky. ABD Maestro made strong progress during the quarter. We launched 3 new brands, Range la Vodka, YELLO Designer Whisky, and AODH which is pronounced as A, Irish Whiskey, further strengthening our premium and luxury offering.

These launches are aligned with ABD Maestro's focus on building differentiated

design-led

brands anchored in quality and craftsmanship and position us well to participate in the fast-evolving premium consumption landscape. Now we have built 9 brand portfolio, with unique flavour price point through a Build, Buy and Partner model. Alongside new brand, ABD Maestro continued to expand its presence across key consumption channels.

During the quarter, we introduced our premium portfolio at Mumbai International Airport, adding to the existing duty-free presence at Delhi and Bangalore Airport and enhancing brand visibility among international travellers and premium consumer.

Our international expansion strategy continues to deliver strong results. Over the last 21 months, ABD has expanded its footprint from 14 countries to 31 countries, highlighting the effectiveness of our asset-light, high-margin export model. This model delivers high profitability than the domestic business and operates with significantly lower working capital per case. ICONiQ White now is present in 9 countries. ABD Maestro's brand, Zoya and Arthaus is now available in 3 countries in UAE, Ivory Coast and New Zealand. By Q4 FY '26, we are targeting to expand our international presence to 35 countries.

Moving to our Backward integration program, as you all know, has been designed in terms of being EBITDA accretive, and it continues to be executed in a phased manner and a discipline where the focus is on cost of build, time to build and delivering the margin and is aligned with our long-term objective of growth, margin expansion and balance sheet strengthening.

Phase 1, outlined in previous quarters, we had announced ₹ 525 crore of investment program, including a PET bottling manufacturing facility, which is fully commissioned and is running to Allied Blenders & Distillers Limited
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capacity and adding to the margin. Our 2 other projects of Malt distillery in Telangana and ENA distillery in Maharashtra are on track.

Together, these strategic initiatives are expected to enhance our gross margin by 300 basis points by FY28. In the Phase 2 comprises of incremental growth capex announced in January '26, focused on expanding own capacity across critical nodes of the value chain.

These include an investment of approximately ₹ 110 crore in Uttar Pradesh, which is a large market for us. The investment includes around ₹ 40 crore towards upgradation and commissioning of a fully automated bottling facility, enabling meaningful own versus outsourcing arbitrage with the optionality of future ENA distillation expansion on the site.

This bottling unit is expected to be operational by Q3 FY '27 and will also save us the franchise fee of ₹ 27 per case, which is currently payable. In addition, the company has approved a further investment of approximately ₹ 54 crore in our subsidiary, Minakshi, which is in Maharashtra, towards expansion of bottling capacity at our Aurangabad facility.

This investment will support growing demand in the Western region and international market while improving the operational efficiency, optimizing logistics costs and enhancing margin through high utilization of owned bottling infrastructure. The expanded facility is expected to be operational by Q4 FY '27 and will again add to our EBITDA margins. Overall, our capex strategy remains centered on disciplined capital deployment, deeper backward integration and building scalable margin-accretive capacity while maintaining balance sheet prudence.

Our performance continues to reflect strong operating cash flow generation, supported by robust profitability and disciplined working capital management. During Q3 FY '26, we generated operating cash flow of ₹ 173 crore. Our net debt position stood at ₹ 785 crore as on 31st December '25 compared to ₹ 893 crore as on 30th September '25.

And this reduction in the net debt is during our capex phase and continued investment in our

luxury portfolio with leverage metrics remaining well within our stated framework. During Q3

FY '26, some of the long pending overdues were cleared in the Telangana market for the industry participants, including ABD.

The overall industry outlook remains cautiously optimistic with respect to progressive clearance of remaining dues in addition to collection of regular dues. Looking ahead, the Indian alcohol industry continues to witness growth driven by premiumization, portfolio expansion and evolving consumer preference. The P&A segment remains a key growth driver, supported by innovation and improving route-to-market framework.

Regulatory reforms in select states have supported volume recovery with a stable raw material environment that continues to aid margin stability. While state-level regulatory changes and emergence of local brands in certain markets such as Maharashtra remains area to monitor, we remain confident in our ability to navigate this dynamic through a portfolio strengthening, execution discipline and deep market understanding.

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Overall, we expect strong top line growth in Q4, underpinned by our focus on consumer-centric growth. As we move forward, our focus remains on improving unit economics, driving value-added volume growth, keeping our portfolio consumer-centric and deploying capital with discipline.

With a strong brand portfolio, expanding international presence and robust manufacturing backbone, ABD is well poised to play a leading role in India's growing premium consumption market and continue delivering long-term value to all our stakeholders. Thank you once again for your continued interest and support. We will now open the floor for questions.

Moderator: Thank you. The first question comes from the line of Nitin with Emkay. Please go ahead.

Nitin: My first question pertains to Telangana market. Could you shed some light on what really affected our volume in Telangana market in terms of the route-to-market changes? And it would be great like if you can highlight what is the split of P&A and mass premium in Telangana market? And lastly, in Telangana, as the restocking is progressing, so can we expect equally good Q4 compared to the weaker quarter in Q3? So that's the first question.

Alok Gupta: Thank you, Nitin. As far as Telangana is concerned, it's been an interesting Q3. Therefore, in Q3, what really happened was that the P&A segment actually grew by 17%. ABD portfolio also

grew at 17.5%, so marginally ahead of the market. It was a mass premium segment that de-grew at about 7.4%, and we also de-grew about 7%.

Overall, the industry grew at about 9%. So, what really happened was that the licenses came back for rebid. And the rule is that whatever stock is held by a current licensee needs to be sold off, because the government does not take back the stock. And essentially, therefore, the buying by the current licensees come down dramatically. They stop buying because they have to finish all the stocks that they are holding.

And it's only when the new licenses come into place, they start buying. This creates a disruption of about 6 to 8 weeks. That is what we saw in Q3. Keeping in mind that they also look at rotation of stock, the margin that they make. Typically, P&A continues to get support, but the stocking gets decelerated on mass premium.

That's why it reflects a continuous growth on the P&A segment and a degrowth of 7% in the mass premium segment. In January, we are already seeing that the stocking patterns are getting back to normal. So Q4, hopefully, will be on track as things said. Your second question was on what is our outlook on Q4. Is that right?

Nitin: Yes, yes.

Alok Gupta: Yes. So, I think just one quick number that if you were to look at our growth without Telangana and Maharashtra, you would find

that we've actually grown significantly faster. Now that in Q3, the environment seems reasonably settled in Telangana and seemingly reasonably settled in Maharashtra, we are back on our growth track. So, like we said earlier, we are targeting a double-digit growth in Q4.

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Nitin: And with respect to this mass premium sort of seeing a decline, so this is like given we are the sort of having the largest share in this market. So that's where this impact is visible for us unlike the competition. Would that be a fair assessment?

Alok Gupta: So, in Telangana, specifically, the mass premium segment comprises of where we operate. We are virtually 100% of the market, but there is also a growing price point below the Officer's Choice price point. So, the 7% degrowth that you are seeing in the segment is on both, our price point, which is about ₹ 160 and ₹ 130 price point.

Nitin: Okay. Thanks. Second question pertains to this Minakshi Agro like where we are looking to go for ₹ 54 crore of capex. So, like this is an additional capex we announced for the bottling unit.

Like I just wanted to know your thoughts around like when we initially wanted to have the distillation capacity, why we have not budgeted for this? And is this also related to like another question I have in terms of the MML participation, Maharashtra Made Liquor participation. So, is it somewhere related to that? Can you clarify on that?

Alok Gupta: Most certainly. So currently, given the size of business in Maharashtra and the fact that we also export ex Maharashtra across the globe, we are currently getting our brands bottled across 4 different units for which ENA has to be moved, let's say, through tankers to all the units.

So, the immediate efficiency that we see coming on back of having bottling at the same premises where ENA distillation is happening is that we will move ENA through pipe. So, it's extremely value accretive in cutting down the transportation cost, one and secondly, cutting down the working capital because currently, we are stocking ENA at 4 different locations. There is ENA, which is in transit.

Here, everything is on a pipeline. So therefore, there's a clear business case merit that the bottling should coexist with the ENA facility. The reason why we have announced now is because as you are aware that we need to get approvals. Only once we got approvals in our hand, have we announced this facility in January. So that answers one.

As far as MML is concerned, I'm sure all of you are aware that there has been a recent development where High Court has advised that all manufacturers should go ahead and file their applications, if they want to participate in MML. Minakshi has indeed filed its application as they qualify for MML. And if MML application of ours is approved, then this bottling facility will also come in handy to serve the MML market. But stand-alone, there is a significant merit for us to have the bottling plant within the ENA premises.

Nitin: Really helpful updates. And lastly, around this realization. So, we have seen sort of a decline in realization for both P&A and mass premium. So, does this pertain to state mix? Or is there anything to read through?

Alok Gupta: Just state mix, nothing else.

Moderator: Next question comes from the line of Abneesh Roy with Nuvama.

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Abneesh Roy: Thanks. My first question is on the FTA. So, first is, what will be your take on U.K. FTA delay given U.K. Parliament is yet to approve? Do you think that Q2 is the realistic date or H2? Second related question is the EU deal, mother of all deals has been signed, that does suggest gradual reduction in terms of imported spirits from EU. Would you see this as a non-event? Or would you see this as a mild positive or a mild negative?

Alok G

upta: So, as far as the India U.K. FTA is concerned, the feedback that we have is that Q2 looks like the period in which the FTA should come into place. So, for now, we are holding on to the Q2 guidance as far as the India U.K. FTA is concerned. I think the world order has changed significantly, and we are hopeful that, that will also act as a reason to accelerate the FTA implementation.

As far as the India EU FTA is concerned, I think from an India business perspective, it's not a relevant event because what we import from EU is largely vodkas, liquors and branding. It's a very small part of the alcohol consumption in India. I feel that what could be a very interesting opportunity is for us to participate in the EU market. We, for example, are considering setting up a hub in Europe, right, to be able to feed multiple countries within EU. So, our view is that this could be a very interesting opportunity for our luxury portfolio, our mainstream portfolio. We are already shipping to Spain and Italy. So, we have started our business in Europe. And as our single malt comes on stream in 2029, this route could become very, very effective in terms of driving growth. So, I would say that, interesting opportunity on outbound trade and very negligible impact on inbound trade.

Abneesh Roy: Sure. Your comment that Q4, you are targeting a double-digit sales growth because kind of stability is coming in both the key states where there was an issue in Q3. Specific question is Maharashtra, what will be the additional impact of Maharashtra made liquor because Q4 will see all 3 months see that impact. So, given that, is it a bit early to say that stability is coming in Maharashtra?

Alok Gupta: So, when I mentioned stability, what I meant was that we believe that significant consumer movement has happened in terms of those who are opting for MML and those who are staying with IMFL. So, it's easy for us to model as to what volumes we can get out of Maharashtra. And therefore, when we are talking about our guidance for Q4, we've already factored what sort of volumes will come in Maharashtra. That's the point I was trying to say by stability, it's not that the market is back on track. We are saying now we know what the stable state of market is going to look like.

Abneesh Roy: No, I could not fully get it. Simple question is, in Q3, Maharashtra industry has seen a double-digit volume decline. In Q4, also, it will be a decline. So how will it not impact your numbers in that case?

Alok Gupta: So, when you're saying Q4, there will be further decline, that will be on back of what?

Abneesh Roy: No, on a Y-o-Y still, there will be a decline in Q4 versus last year Q4.

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Alok Gupta: I've understood your question now. So, I think the way we are saying we have the Q3 numbers, right? So, it's not about what happened in Q4 last year. We have the Q3 numbers for FY '26. And therefore, we've modelled saying what is the likely size of the industry in Q4 FY '26 in Maharashtra.

And where we are talking about overall growth to be double digit, we have factored that Maharashtra will continue to operate at significantly lower level. So, the comparison is not with the degrowth that we will see in Q4 FY '26 versus Q4 FY '25. We have actually modelled this in saying that, the market is down, as you're rightly saying, by high double digits.

Abneesh Roy: So, that does mean that Telangana and rest of India, except Maharashtra should compensate for the, say, double-digit decline in Maharashtra even in Q4. Only then it's possible, right?

Alok Gupta: That is right. That is correct.

Moderator: Next question comes from the line of Mehul Girish Desai with JM Financial.

Mehul Desai: Firstly, obviously, you gave a guidance of double-digit growth in Q4, which looks like if we maintain our mid-teens kind of sales growth in P&A, maybe, I

let's say, 16%, 17%, it looks like

the mass premium segment, your assumption should be at least low single-digit decline or flattish on a Y-o-Y basis. So just wanted to get your understanding. Is that understanding correct?

And obviously, Q4 double digit, but how do you look FY '27? I mean, you will be lap ping up a high base now. So what is your guidance for FY '27, both on P&A side and mass premium segment? If you can give some colour on that? That's my first question.

Alok Gupta: Right. I think there is one more factor to consider when we are talking about our value growth is that the ABDM portfolio is now complete. We have 9 beautiful brands out there. We are already seeing about a 40% width of distribution in the premium on-premise. We've been able to open up the duty-free.

We have started to ship in international market. If you recall, we had said that we are running currently at about a ₹ 40 crore ARR in Q3, which we should double in Q4 and go on to double the next year. So, another significant driver of our value growth is going to be the revenue that will flow to us from our luxury portfolio. So that will be on top of our mainstream legacy portfolio. So that's an important part of how we see our value growth engine getting shaped up. As far as FY '27 is concerned, there are 2 or 3 things that we are planning. One I've already covered, which is the ABDM accelerated growth. So, we are looking at doubling our ARR in the next financial year. Secondly, we are looking at 1 new launch, one already existing launch in the P&A non-whisky segment, which is really the Prestige Vodka and the Prestige Brandy. And we are hopeful of garnering profitable shares from these 2 flavours, which is brandy and vodka put together, there are about 30 million cases. Also in the southern market, we've been able to get some approvals for long pending new brand introduction there, and that will allow us to participate in high-volume profitable segment. So, in Q4, we are expecting these 2 approvals to fall in place that will also create a growth pipeline for us in the next financial year.

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Mehul Desai: Understood. Secondly, on the margin front, obviously, your gross margin progression is much faster than what your guidance is of 45% plus in FY '28. You are already at 46-odd percent. And there are a few more backward integration projects that are going to come in FY '27 and obviously something in FY '28 too. To that extent, how do you see this gross margin trajectory also in FY '27? And would you think that your 15% margin guidance of FY '28 can come in FY '27 itself?

Alok Gupta: So, the FY '28 margin guidance, we had revised last quarter. We had taken the margin guidance to 18%, largely on back of the fact that we are seeing a faster gross margin progress on our current portfolio. The capex program will add 300 basis points, of which right now in Q3, we have captured just about 0.7%.

So, there's another 230 basis points to flow in from our capex project. And of course, let's assume that Q2, the India U.K. FTA is up and running, that will add another 200 basis points. So, we are expecting that by FY '28, we should be at least at an 18% margin guidance.

Mehul Desai: Understood. Okay. That's helpful. And lastly, sir, if you could quantify the capex for FY '27, overall capex with all the projects that you are undertaking in FY '27 and FY '28?

Alok Gupta: So, the capex that we had announced till Q3 FY '27 is about ₹ 525 crore. The 2 new capex program that we have announced gets us to about another ₹ 150 crore of capex. So that is about ₹ 700 crore of capex that we have announced so far. Of course, we'll keep looking for opportunities that come our way.

Again, from a guidance perspective, we have said that we would want to get ENA capacity equal to our consumption. We would have needed 3 E

NA units. So, one we have in Telangana. Second, we are doing in Maharashtra, and we will need one more ENA unit in a large market like UP or in Andhra. So, we are figuring that out. So that is the capex that we'll announce in the future.

But as of now, the total capex commitment is just over ₹ 700 crore.

Moderator: Next question comes from the line of Kaustubh Pawaskar with ICICI Direct.

Kaustubh Pawaskar: Congrats for good margin performance. Sir, just a clarification on the margin guidance. You just mentioned that 230 bps is going to flow through the capex project. So, does it include this Phase 2 of the capex which you are planning to do or that will be the incremental over what the capex you are planning to do in Phase 1?

Alok Gupta: This is from Phase 1. The first phase of the investment, which was roughly ₹ 525 crore, 300 basis points also come from that 70 bps we've realized, which is our PET project. So, the balance 230 basis points will come from the first phase. The second phase will become value accretive in H2 of next financial year.

Kaustubh Pawaskar: Okay. So, there is a scope of further margin expansion because of the second phase?

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Alok Gupta: That is correct. I mean in UP alone, for example, once the bottling unit is up and running, we do not have to pay the ₹ 27 franchise fee on a base of about 6 million cases. That itself is better realization in UP.

Kaustubh Pawaskar: Right. And sir, my second question is on the funding of the capex. So, all the capex what you are planning to do, like including the ₹ 150 crore, the additional capex what you are planning to do, it will be largely funded through internal accruals. So, since your cash flows are improving, you are also expecting the Telangana overdue to flow in, in the coming quarter. So that should help to have create a good cash flow to fund all this capex?

Alok Gupta: So, first of all, all our investment decisions will be guided by the financial KPIs that we already committed to in terms of net debt to equity and other key financial ratios. So, we'll make sure that all our decisions respect those guidelines. I think we are working with 2 scenarios. One scenario is, as you have mentioned, is Telangana payment coming through. And second scenario is that, if Telangana payments were still slow to come by.

Because these capex programs have a merit on a stand-alone basis, we don't want to link the implementation of the capex program to Telangana receivables. Therefore, if Telangana money was to come through, we will see incremental change in our net debt. But even if Telangana payment does not come through to the level expected, we'll still go on with our capex program because like I said, this 2 new capex program will become value accretive within 6 months. So, there is no point in delaying this capex program.

Kaustubh Pawaskar: Sure. And sir, my last question is on having a bottling unit in Uttar Pradesh. How will it help you to expand your share in the UP market? As we know that UP is one of the largest market. And how will it help us maybe to expand our share in that particular market?

Alok Gupta: Well, there are 2 aspects of the UP investment. One, of course, is the saving on the franchise fee of ₹ 27 a case as it exists today and therefore, becomes margin accretive from day 1. Secondly, UP is a very large state. Therefore, in addition to our own 6 million capacity, we are also exploring, maintaining a second unit for manufacturing because there are significant savings in terms of logistics when we look at inbound costs and outbound costs. So, I think we should be looking at running more than one bottling unit. But the key driver for this unit is really the franchise fee, which is ₹ 27 a case.

Moderator: Next question comes from the line of Aliasgar Shakir with Motilal Oswal Mutual Fund. Aliasgar Shakir

: A couple of questions, sir. First question is on the volumes. So, this year, our P&A has done very well, thanks to the success of ICONiQ. Now you did discuss about the scope opportunity of ABD Maestro and also some of the other brands that you are trying to rejuvenate. So just wondering, I mean, next year, what is the thought in terms of growth?

How much of this P&A growth you are expecting ICONiQ to continue and the new brands to contribute because right now, P&A is largely driven by the ICONiQ growth. That's question number one. Question number two is now you have increased your margin guidance to 18% thanks to the backward integration measures. But a quick question over here is that should we Allied Blenders & Distillers Limited

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build also some impact coming from 2 areas. Point number one is the new brand that you will be launching or rather you have launched in ABD Maestro and others, what is the investment that will go towards them in the initial period when the scale will be suboptimal?

And also, the projects that we are doing on backward integration will probably take some time to achieve scale until then they may probably operate at suboptimal level and therefore, could be margin dilutive. So, are these 2 impacts already built in your margin when you are building the 18%? And how much is it from these 2?

Alok Gupta: Right. So, let me take the capex question first. I think if you should look, I'm just taking an example. I think at the heart of our capex strategy are 3 simple principles. One is cost of build. Second is time to build and third is targeted margin. So therefore, if you take UP as an example, we have announced the acquisition a few days back. We are targeting the asset to turn around in the next 6 to 9 months. So, we know the cost to build. We know the time to build.

And essentially, we are putting a 6 million cases fully automated, state-of-the-art automated plant. Our current volumes are enough to support the entire capacity utilization. So, I think we are quite conscious that when we are putting capex behind any program, we are quite conscious that our capacity utilization must be at a targeted level only then we will be able to realize the rupee crore EBITDA that we have put into our modelling.

So, that's one thing I can assure you that we will not invest in capex where it will take us inordinate amount of time from a capacity utilization. So even if you look at the single malt distillery we are setting up in Telangana, roughly 55% of our volume will go in replacing our current malt that we are buying from third-party and the balance will go into maturation for our own single malt.

So, capacity utilization is going to be the key. Time to build and cost of build is going to be our important drivers of the way our capex decisions are being done. So, when we are giving a margin guidance, all this has been baked into our model. On the growth front, I think I would

say that, we have to, and point I made even earlier that I think when we are talking about premiumization in the Indian subcontinent, we have to start focusing on value growth because volume growth may not be a correct indication of what's happening with the consumer. So, we are talking about a mid-double-digit value growth.

A, it will come on back of what we are doing with ABD Maestro because quarter- on-quarter, we are looking at accelerated run rates, about ■ 40 crore last quarter, hopefully, ■ 80 crore plus this quarter, so doubling. And we should exit, again, double this run rate in next year. And therefore, it really brings in a significant top line growth.

We are looking at 2 new brands in the P&A brandy and vodka segment. And in the mass premium segment, as you know, in Andhra Pradesh specifically, there is this big profitable brandy price point, which has now gone on to become roughly 1.2 million

cases in which we did

not have a presence till last quarter.

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And we've been able to get our in-principal clearance, and we are hopeful in this quarter, we'll start participating in this 12 million case market in which we didn't exist till last quarter. So even at a reasonable market share, of x percentage, we should be able to get a very, very large volume, I mean, another millionaire brand in making.

So, I think the volume growth focus will continue both in the mass premium segment, wherever there's a profitable price point and profitable flavour available. We are largely a whisky company. However, this particular opportunity in Andhra, for example, is a brandy.

So, we are expanding our flavour repertoire in mass premium. Earlier, we were only whisky only. Now we'll do brandy as well. And therefore, the volume growth will come from mass premium, it will come from P&A, and it will come through new brands. And the value growth will come on back of both volume growth in our core IMFL portfolio, but also growth in the ABDM portfolio. Sorry, slightly long response, but I hope it clarifies the subject on growth.

Aliasgar Shakir: Yes. This is very, very useful and very insightful. Only point if you can just also clarify on the impact of these new brand launches, will that be margin dilutive in the first year? And is that also built into your margin expectations?

Alok Gupta: The investment that we need to make in our luxury portfolio is already built in, in the margin guidance of 17% to 18% accounts for this investment.

Aliasgar Shakir: Okay. It's 18%, right? Or it's a range of 17% to 18%?

Alok Gupta: 17% to 18%,

Aliasgar Shakir: Okay. Got it. Another question quickly on your impact from Maharashtra and Telangana. So, Telangana, given that now the route to market will be stabilized, all that you have lost, I know you said that you aim for double-digit growth in Q4. But all that you have lost in the revenue for Q3, should be recovered more or less in Q4?

I mean you should be the steady-state volume numbers in Q4? Or should there be any more impact prolonging even in Q4? And what about Maharashtra? Maharashtra should take longer, right?

Alok Gupta: So, Telangana, I think we believe that Q4 is back to normal for us. Maharashtra, like I was trying to explain earlier that we have taken Q3 exit base as a likely market size in Q4. So, that's our assumption that the Q4 market size would be similar to Q3, and we have done our growth modelling on that phase. We are hopeful that it will not materially alter.

Aliasgar Shakir: And how has the trend been post Q3 in Maharashtra? Has it further deteriorated or it has improved.

Alok Gupta: January numbers are yet to come in. I think we'll get to know by mid-February once the industry data comes in, whether our assumption is holding good or not. But so far from what we are seeing, it seems to be okay.

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Moderator: Next question comes from the line of Sanjay Manyal with DAM Capital.

Sanjay Manyal: I have a few questions. Firstly, on the ICONIQ White, you have seen a brilliant growth in the last few years in the brand. I believe a decent growth would have been coming from gaining the shares from our competing brand, Imperial Blue. Now have you seen any renewed competition specifically from this brand given that change of brand owner over there?

Alok Gupta: I think we are and we were and we are mentally prepared that with the new owner having acquired Imperial Blue, they would do whatever it takes. So, we have proactively strengthened our sort of program in the market, be it in terms of trade engagement, consumer engagement, be

it in terms of what we do at BTL level. So, I think we are reasonably well prepared to ensure that the growth trajectory of ICONiQ is not

compromised. So, what is in our control is what we do. What is not in our control is what the competition does.

So, we have proactively taken all required steps. I'm also happy to share with you is that ICONiQ is now sort of running at 1 million case a month, which gets us to a 12 million case ARR any which way. Also, I spoke about earlier that we have received approval for ICONiQ in CSD. That opens up another growth opportunity for us. We are not present there.

And ICONiQ is now getting shipped into 9 countries internationally. We are looking at aggressively expanding the footprint of ICONiQ. So apart from the growth in the market where it's already operating, CSD will become a very important channel for us. International markets will become a very important channel for us. And the brand in any case is currently running at a 12 million case ARR. And that's how we are sort of prepared to ensure that the growth momentum on ICONiQ is maintained.

Sanjay Manyal: Sure. And one on the ABD Maestro, if you can highlight any success of late or which brand seems to be breakeven first or reaching a sort of a benchmark volume number, if you can highlight that?

Alok Gupta: Most certainly, I think January '24 is when we started our journey in buildup of the luxury portfolio. Zoya was our first brand launched in January '24. Extremely happy to share with you that the brand has grown almost 300% since its launch. More importantly, we've spoken about right to win from a consumer point of view. We have launched 2 new flavours, which is the Zoya Watermelon and the Zoya Espresso Martini gin.

Now I'll tell you why I'm talking about these 2 flavours. Our thesis was that post-COVID, a lot of consumption has moved in home, but making cocktails is not easy. And the idea was to bring flavours that allow consumer to enjoy cocktail in the comfort of their home. So, Espresso Martini is one of the largest selling cocktails in the bar. With our Espresso Martini gin, all you have to do is to buy a shaker, you can buy Amazon, ice is available, just shake it up and pour in a glass of your choice and your espresso Martini is ready.

And same is the case with the Watermelon gin that you can just put ice in the shaker and pour in a glass of your choice and you want to add a strawberry, get it from market or online on quick commerce apps. So, I think what really is happening with Zoya is that it is just making it

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convenient for a consumer to enjoy the cocktails. And the interesting data point is that today, 30% of Zoya sale comes from flavour. But more importantly, 95% of the sales happens off-premise, which is an indication that consumers are actually picking it up, taking it home and actually enjoying these flavours.

So, I think this is one success story, and we'll build on the success story for all our brands. The portfolio has got 9 brands now in which we have a scotch malt, scotch blended malt. We have an Irish whiskey. We've got 2 beautiful Indian whiskeys. We've got 2 vodkas, Rangeela, which is sort of the bold face of India and Russian Standard, which is a global brand.

So, the portfolio buildup is complete. But I can walk you through more case studies, but Zoya is the most interesting one because you are a whisky forward company for us getting a success in gin flavour is very enjoyable.

Sanjay Manyal: Right, sir. And lastly, if you can mention one thing that what would be your ENA requirement as of now? And by, say, at the end of FY '27, once new distillery comes on stream, what percentage of ENA would you be sourcing indigenously?

Alok Gupta: Yes. So, I think the way to look at is that what is our forward requirement. So, let's say, even at 50 million cases, our requirement is 200 million liters of ENA. We produce currently about 70 million liters in-house, which is 60 million liters in Rangapur and

about 10 million in

Maharashtra. With the expansion of the Minakshi distillery, we'll take the number add another 50 million.

So, by FY '27, we should be about 120 million, and that is why we need to invest in more plant of about 60 million to 70 million liters to get us to about 200, so we are targeting 200 million liters, of which we are currently at 70 million. We'll be at about 120 million by FY '27 and balance by end of FY '28.

Moderator: Next question comes from the line of Dhiraj Mistry with ICICI Securities.

Dhiraj Mistry: Congratulations on your margin surprise. Sir, I have only 2 questions. One is, if I look at ex of ICONiQ White, how is the traction, especially in the premium end of the portfolio, let's say, Sterling Reserve B7, B10 and Officer's Choice Blue?

Alok Gupta: Sorry, Dhiraj, I didn't get your question. Can you please repeat it for me?

Dhiraj Mistry: So, I want -- can you comment the growth trajectory for non-ICONiQ part of the portfolio, that is Sterling Reserve B7, B10 and Officer's Choice Blue. How is the volume growth tracking on in those brands?

Alok Gupta: Dhiraj, as far as our approach has been slightly different. If you look at the 410 million case industry, roughly 120 million case is what we call as prestige whisky, which is really the price point of McDowell's No. 1 Royal Challenge, Royal Stag and Imperial Blue. So, our approach has been that how do we meaningfully profitably carve out market share. So currently, we are at about 15% market share on back Officer's Choice Blue, ICONiQ and SRB7.

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And idea is to keep looking at getting market share at an aggregate level. So that's the response in terms of what the approach is. In terms of growth, ICONiQ, of course, is continuing to grow. OC Blue and ICONiQ operate at the same price point. So, we look at OC Blue being a regional brand in core pockets of strength, and we look at numbers together.

SRB7 is where our task is cut out. Currently, we are experiencing a bit of degrowth on the brand. We have put together a program on the new blend, which has given us success. We are also looking at now launching a new pack in Q1 of the next financial year. And I think with that, targeting to bring back growth back in SRB7.

Dhiraj Mistry: And sir, some follow-up question on this part. Is my assertion right that B7 would be much more gross margin accretive compared to ICONiQ White?

Alok Gupta: As a percentage, is that your question?

Dhiraj Mistry: Yes.

Alok Gupta: B7, I think it will be in the same range. Maybe ICONiQ is 150, 200 basis points behind SRB7, but it will be the same range.

Dhiraj Mistry: And second question is on which would be the 5 key states for ICONiQ White? And when I compare it with, let's say, Officer's Choice, which are the 5 top states for Officer's Choice also?

Alok Gupta: So, the top 5 states for ICONiQ would be UP, where the brand is clocking close to 2 million cases. The big state is Telangana, the big state is Andhra, the big state is Haryana. So, I think Haryana, UP in North, Telangana, Andhra in South are the 4 big markets for ICONiQ.

Telangana, UP are the 2 top markets for Officer's Choice is the way the stack would be. So, Telangana and UP are common to both the brands.

Moderator: Next question comes from the line of Karan Kamdar with Choice Institutional Equities.

Karan Kamdar: Great set of numbers. I wanted to understand how do you view your playbook for distribution, given that we are growing at a very fast pace, I'm sure the competition is also doing something.

So, what are we doing differently from the competition?

Alok Gupta: I think I'll broadly divide this into 2 parts. The first is our portfolio with ABD, which is operating at a price point of, let's say, ₹ 1,500, where the focus continues to be on off-premise. Our distribution width is about 93%. And we have a very

strong, what we call as PJP, Permanent

Journey Plan discipline. We have automated the sales calling process of our TSEs onto the retail to be able to get enough data and diagnostic in terms of how well we are covering the retail, what is the classification of retail, which outlet needs to be covered how many times.

So, there is a bit of a science that is at play when it comes to off-premise because we're dealing with a very large universe. And combined with a tech intervention and automation, we are now using data to our advantage in terms of figuring out how do we improve and make the sales calls efficient.

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we are also using a tech platform to monitor the various incentives that we run for counter salesmen, which allows us the ability to directly communicate with them. So, if I was a salesman in a market, it could be Gorakhpur, it could be Guntur, it could be Dhanbad. I know as an individual, what is the incentive offered to me. I know what am I earning. I know what I need to do to earn that incentive. So, we have seen a significant change in the engagement of the counter salesmen because now we are talking one-on-one. We are not necessarily relying on a salesperson to reach there and inform and guide. Pretty much it's an app on their phone, and they can actually see what they are making.

So, that's really the big focus as far as the off-premise is concerned. On the on-premise side, with the ABDM portfolio, the focus is on key accounts. So, the team that we've built out comes from significant knowledge of managing key accounts, managing travel retail because that requires a very different engagement. As you know, we've been able to get our listing done in The Taj.

We've been able to get our listing done in ITC, also partially in Marriott.

So, that's a very different skill set. So, we have to make sure that the teams bring in the skill set, how can we leverage technology, how can we leverage data and how can we start taking decisions that will help us to get that distribution edge. On top of it, one big initiative that we are doing is digitizing the entire training program because till about a year back, 1.5 years back, most of our sales team was really selling Officer's Choice, Officer's Choice Blue, Sterling Reserve B7 and a few other brand ICONiQ.

But now they also need to carry right from Zoya all the way to Arthaus. So, we have now digitized our entire training program in terms of rein selling, in terms of what makes a brand unique, what are the unique cocktails associated with it, what is the trivia.

And once the whole digitization process will get completed, which we are targeting over by end of next quarter, which means every salesman, whether it is in Dibrugarh or it is in Goa, should be able to access information on the brand, quiz, FAQs, should be able to answer the question of the retailer or the consumer. So, combination of the right manpower, technology, data, bringing the right training intervention, is the way we are maintaining our distribution edge.

Karan Kamdar: Sir, if I may ask, what is your on-premise currently? And where do we see it over the next few years as a percentage of sales?

Alok Gupta: So, our on-premise width of distribution is at about 40%, premium on-premise distribution is 40%, which is relevant for ABDM. I think the way to look at is we should see about 5% to 7% increase in distribution quarter-on-quarter. So, we should exit next year, say, at about 65%, 70% distribution reach.

Karan Kamdar: Distribution reach, I mean as a percentage of volumes, what would it be, maybe P&A volumes?

Alok Gupta: So, as far as P&A volumes are concerned, it's really 98, I mean, in P&A, it's largely an off-premise revenue, right? But as far as the ABD Maestro portfolio is concerned, it will be like 25% / 75%, 25% coming from premium HoRe

Ca and 75% coming from retail.

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Karan Kamdar: 25%, yes, okay, perfect.

Moderator: Next question comes from the line of Tanmay Gupta with Bank of India Mutual Fund.

Tanmay Gupta: Okay. So, the question is regarding the mass premium segment. So, you mentioned that there has been 7% impact due to Telangana. So even after factoring that, we are seeing around 5% degrowth in last 2 quarters consistently. So, first of all, how do we restrict this loss or losing the market share? Or we should expect that this segment will be like 4.5 million to 5 million run rate quarterly going forward?

Alok Gupta: Right. So, I think going state by state, we are expecting Q4 to be back to normal, and therefore, we expect our regular volumes to pick up in Telangana. So that's one. Secondly, I spoke about the big opportunity in Andhra Pradesh, where currently brandy, let's say, a mass premium branded segment is now 12 million cases in which we currently do not operate. Now we have our approvals in place, and we are hopeful of starting our billing in Q4.

So even with a reasonable market share of 15%, 20%, I think we are looking at another about 2 million cases to come from the mass premium brandy segment in which we were not operating. So, I think the source of growth for us is going to be a Telangana getting back to normal and our entry into the branded segment in the state of Andhra Pradesh in the mass premium segment where we were not operating.

Of course, our focus will continue on growing our volume in another state. For example, UP will continue to deliver growth and many other states will deliver growth. I think one more point which we have not stressed enough is the fact that we have applied through Minakshi, our subsidiary to participate in the MML category.

And we believe that we'll qualify to participate in the MML category. And if we were to get those permission, then that will open up a significant growth opportunity for us. It's not factored into our guidance. This will be on top of whatever guidance we have given. So just wanted to sort of give you a 30,000 feet view on where do we think the growth will come from.

Tanmay Gupta: Okay. So going forward, we can expect like Q4 could be the normalized quarter, and we can expect 5% around mid-single-digit volume growth in this segment. Is that right understanding?

Alok Gupta: Yes. So, I think in the mass premium segment, we should look at a low single-digit growth. I don't want to put a number to it. P&A will continue to grow at double digit and that should get us to a near double-digit growth with a mid-double-digit growth in terms of value.

Tanmay Gupta: So, overall, mid-double-digit growth because of these 2 things?

Alok Gupta: Mid-double-digit growth in terms of value and early double-digit growth in terms of volume.

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Tanmay Gupta: Okay, sir. And sir, in P&A, how should we like measure the growth or success story in the ABD Maestro portfolio? I understand you mentioned about Zoya, which is doing phenomenally well.

But any KPI, if you want to highlight, which we should track for this portfolio?

Alok Gupta: So, I think the segment is about 12 million cases and continues to grow fastest within the alcohol space. So, if you were to look at the current 12 million, 13 million cases, likely to grow to in the next 3 to 5 years, let's say, 17 million, 18 million cases.

Our portfolio approach is that if we can meaningfully carve out a single-digit market share of this large portfolio, then it should have a significant impact both in terms of value and in terms of the EBITDA that it will make. There is one more opportunity that will come our way, which is post U.K. FTA implementation, we believe that there will be an opportunity for us to participate profitably in the value Scotch segment.

ly in the value Scotch segment.

Currently, the value Scotch segment is growing, but there is no money there. So, we are sort of brand ready in the sense that as and when the India U.K. FTA is implemented, we would like to participate in the value Scotch segment. As you know, of the 12 million, 13 million cases in luxury, about 50% is value Scotch. And currently, we are not playing in that segment because there's no money to be made.

So, I think ABD Maestro will have a significant role to play in terms of driving our value growth and also in terms of adding to our margins.

Tanmay Gupta: Okay. And lastly, sir, this P&A volume growth, if I look at it, it clocks at around 19% for this quarter. What is this Telangana impact doesn't have happened, then what would be the growth?

Like it should be continued at 25%?

Alok Gupta: Well, actually, for Telangana, like I had mentioned earlier, the P&A industry in Telangana grew at about 17%, and we also grew at about 17.5%. The license disruption in Telangana that happened actually hit just the mass premium segment. P&A grew there at 17%.

Moderator: Next question comes from the line of Vaibhav Gupta with Bowhead India Fund.

Vaibhav Gupta: With regard to your brand launch pipeline, I just wanted to understand, do we plan to launch 2 brandy brands, one in the P&A and one in regular and one more P&A what and what would be the typical price points?

Alok Gupta: Yes. So, we are looking at a brandy launch in the mass premium segment, in the Prestige segment. And we already have Kyron, which is our premium brandy. And the reason I'm mentioning this to you is that, we have a reasonable market share of 25% in the 2 markets that it operates in in Telangana and in Andhra. Now that we have received CSD approval, we are going to look at carving out growth from CSD as well.

Of the million case segment, roughly about 27% of sales comes from CSD. So, it's a very large cohort in terms of driving the Kyron sales. So, a brandy in the mass premium segment, a brandy in the Prestige segment and a brandy in the premium segment. So, 3 brandy brands.

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Vaibhav Gupta: Okay. So, I understand Golden Mist would be around ₹ 1,000 price point. How is Kyron placed?

Alok Gupta: Kyron is roughly ₹ 1,400.

Vaibhav Gupta: Okay. Okay. And sir, what about the P&A vodka brand? What are the plans there and a typical price point at which you would be looking to launch?

Alok Gupta: So, we've already launched the brand in Telangana. It's currently at the sort of driving the width of distribution. It's called Golden Mist, and we'll expand it in the coming quarters.

Vaibhav Gupta: Sir, I was asking about P&A vodka brand.

Alok Gupta: P&A vodka brand, we're looking at Q1 next financial year. The segment is large and growing, as you know. And we're quite excited about the new brand launch in the P&A vodka.

Vaibhav Gupta: And just one final clarification. So, our exit run rate in the luxury ABD Maestro portfolio is around ₹ 40 crore, and we would be doubling for the next 2 years to reach around ₹ 160 crore, ₹ 200 crore, right, sir?

Alok Gupta: That's what we are targeting.

Moderator: Next question comes from the line of Chetan with Systematix Group.

Chetan Mahadik: Sir, just wanted to understand our higher A&P spend had, partially offset our gross margins this quarter and which were basically towards the luxury brands. So, going ahead, how should we look at A&P spend? And is this 18% margin guidance taking into consideration, say, the elevated promotional spends, which will come ahead?

Alok Gupta: Yes. So, the 17% to 18% guidance takes into account the increased A&P investment, both in our portfolio at ABD and also the portfolio at ABDM.

Moderator: Next question comes from the line of Avnish Tiwari with Vaikarya Change LLP.

Avnish Tiwari: Si

nce you're making investments in UP and you articulated rationale for them, can you compare the state policy environment in UP in terms of your outlook as well as the competitive environment in the categories which you are trying to go into?

Alok Gupta: I think the framework of UP has been fairly progressive. We have seen a policy that drives premiumization, therefore, healthier margins for the industry. We also saw last year that the incidence of excise duty payment was moved from the manufacturer to the wholesaler that made the entire industry more working capital efficient because the duty funding moved to the wholesaler.

We are also hearing of the fact that the UPML, which is a large category will move from molasses-based ENA to a grain-based ENA. So that is extremely good news because we are Allied Blenders & Distillers Limited
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looking at setting up a state-of-the-art ENA distillery in UP, which means there'll be a very, very large market for ENA in that state.

And what it has essentially done is that it has created a positive investment environment because when it's a larger market where you're making money and it is working capital efficient, like we are setting up. We've acquired NICOL's assets in UP. We are setting up a state-of-the-art fully automated bottling unit there. We are also looking at expanding the ENA capacity in time to come. The state actually has made itself very attractive in terms of drawing investments.

So that would be my thesis on UP as a state. As far as competitive landscape is concerned, I think it's no different than any other market, except having a large asset base, manufacturing asset base in UP gives you a definite edge, and that's what we are trying to build in UP.

Avnish Tiwari: And within that category, now this is more on the liquor consumption. So, let's say, the categories you are present versus, for example, beers or some other category, where is the UP as a consumer is picking up more, which categories volumes are growing the highest?

Alok Gupta: I am afraid I do not have the numbers on me ready, but we'd be happy to get some data out and share it with you.

Moderator: Next question comes from the line of Abhijeet Kundu with Antique Stockbroker.

Abhijeet Kundu: Great set of numbers. So, I had 2 questions. One was on ICONiQ White. Now everyone has a concern that ICONiQ White has become pretty large and going ahead, the growth may not be as substantial. But still, there should be a good amount of scaling up opportunity, right?

Because about 2 years back, no one thought that this brand would scale up so fast and do so well.

And other brands, when they grow to this size, there have been very few such instances of a brand doing so well and scaling up to this size in such a short time. And primarily, it has been driven by these 4 states. So my question was that you would have some more scaling up opportunities in other states also, right?

Because general channel checks also suggest that in West Bengal also, you have been doing well in ICONiQ White. So, there would be such states where you would be getting some fillers and you can still scale up ICONiQ White and still grow that brand even from these levels? My first question was this.

Alok Gupta: Yes. Thanks, Abhijeet. I think I would agree with your thesis that apart from the 4 or 5 large markets that the brand has a reasonable presence. There is an opportunity across many markets.

Last year, the brand we did 5.7 million, we should be crossing 10 million.

It is happening because the brand is growing practically in every market in some markets significantly higher in some markets higher, right? So all markets continue to contribute. The brand is already running at 1 million case ARR that gets us to about a 1.2 million case run rate, put some growth on top of that. We'll maintain our position that this brand has the ability

to be

a market leader, whether it takes 1.5 years or it takes 2 years. That's a matter of time.

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Also, what makes ICONiQ an interesting case is that it is getting larger share of new consumers who are moving into the segment, largely because it's a fresher, more younger brand. And if the first-time consumer who is moving at this price point would look at what are their peers franchising and therefore, ICONiQ comes through the word of mouth, which is very, very strong. In addition, there are 2 more growth hacks. One, like I spoke about is CSD, where we have received our approval. It's a fairly large segment, and therefore, that will also add to the ICONiQ growth.

And international markets, we are currently shipping to about 9 countries. Our footprint will be 35 by the end of this financial year. And therefore, that gives us a very long distribution opportunity even in the international market. So that's really where we are with brand ICONiQ. We stay optimistic.

I think I will just connect to a question that was asked to us. I think the important thing is that we do not take the success for granted, and we continuously stay hungry about driving the growth, and also recognize that there is a change in the competitive landscape, and we have a program that recognizes it and maintains the growth momentum.

Abhijeet Kundu: Okay. Great. My second question was on Zoya. So Zoya, how do you see the brand evolving over the next 2 years? What would be the ARR right now?

Alok Gupta: So, we've said this earlier that when we started our journey in the luxury segment, by design, we are a whisky forward company, 99% of our revenue comes from whisky. So, by design, we said that our first luxury brand, if you make it non whisky, it will be really stress testing our capability in terms of building brands, blend and route to market.

So, I think to that extent, we are quite happy with what we've done with Zoya. Zoya, of course, operates in a segment, which is not the largest segment, but from a gross margin perspective, the highest gross margin category. Gross margins are above 70%.

We've got 2 new flavours launched. We've now shifted to 3 countries. So, I think Zoya will continue its growth journey, both in India and overseas market, but it will be limited by the size of the market. The portfolio that we've now built out, some of the newer brands, for example, the Irish whiskey, as you know, is one of the fastest-growing category in India, and it's a single brand play. So, we are quite excited about A (AODH), which is the Irish whiskey.

If you look at Woodburns and you look at YELLO, the 2 craft whiskies that we have, Indian whiskies that we have, again, very excited about these price points and these products because they will scale up in terms of larger volumes. So, Abhijeet, like I said earlier, I think the way to look at the ABDM portfolio, the ABDM business is at a portfolio level and not at a brand level because it reduces our cost of sale.

When we go to a premium on-premise, we go with one brand, it's binary, either the person buys it or doesn't buy it. When we go with the portfolio, then we have the ability of at least making a sale, and that is proving to be true. So apart from Zoya, I think some of the big volume drivers in time to come to my mind are going to be the A (AODH) Irish whiskey, Woodburn and Allied Blenders & Distillers Limited

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YELLO. And once the U.K. FTA is in place, I think the opportunity that will open up in value Scotch is going to be tremendous.

Moderator: Ladies and gentlemen, as there are no further questions, we have reached the end of question-and-answer session. I would now like to hand the conference over to the management for closing comments.

Alok Gupta: Well, thank you once again for taking the time out

and listening in. Thank you for all the questions. I think we are quite excited about Q4 and look forward to connecting again sometime in April and early May.

Moderator: Thank you. On behalf of Allied Blenders and Distillers, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Notes:

1. This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.
2. Figures have been rounded off for convenience and ease of reference.

Call: May 2026

Allied Blenders and Distillers Limited

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May 21, 2026

To,

BSE Limited

Phiroze Jeejeebhoy Towers

Dalal Street

Mumbai - 400 001

Scrip Code (BSE): 544203 National Stock Exchange of India Limited

Exchange Plaza, C -1, Block G,

Bandra Kurla Complex,

Bandra (E), Mumbai - 400 051

Symbol: ABDL

Our Reference No . 25/2026 -27

Sub: Disclosure under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Transcript of the Conference Call to discuss 4QFY26 Earnings of the Company held on Friday, May 15, 2026 .

Ref: Our letter s dated M ay 11, 2026 & May 15, 2026

Dear Sir/Ma'am,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the Transcript of the Conference Call to discuss 4QFY26 Earnings of the Company held on Friday, May 15, 2026.

The above transcript is also available on the website of the Company:

<https://www.abdindia.com/>

The above is for your information and record.

Thanking you .

Yours sincerely,

For Allied Blenders and Distillers Limited

Sumeet Maheshwari

Company Secretary & Compliance Officer

Membership No. ACS – 15145

Encl.: a/a

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"Allied Blenders & Distillers Limited
Q4 & FY26 Post Earnings Conference Call "
May 15, 2026

MANAGEMENT : MR. SHEKHAR RAMAMURTHY – EXECUTIVE DEPUTY CHAIRMAN

MR. ALOK GUPTA – MANAGING DIRECTOR
MR. AMAR SINHA – MANAGING DIRECTOR , DESIGNATE
MR. RAMAKRISHNAN RAMASWAMY – CHIEF FINANCIAL OFFICER
MR. J.MUKUND – HEAD, INVESTOR RELATIONS AND CHIEF RISK OFFICER

MODERATOR : MR. ABHIJEET KUNDU – ANTIQUE STOCK BROKING LIMITED

Allied Blenders & Distillers Limited
May 15 , 202 6

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Moderator: Ladies and gentlemen, good day, and welcome to Allied Blenders and Distillers Q4 and FY26 Post Earnings Conference Call hosted by Antique Stock Broking Limited. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing s tar then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Abhijeet Kundu. Thank you, and over to you, sir.

Abhijeet Kundu: Hi. It's our absolute pleasure to host the management of Allied Blenders & Distillers Limited for the fourth quarter of 2026. Over to Mr. Mukund, Head of Investor Relations and Chief Risk Officer for further proceedings. Thank you.

J.Mukund: Thank you, Abhijeet. Good afternoon , everyone, and thank you for joining our Q4 FY26 results conference call. I hope you have received a copy of our results presentation. I would like to urge you to go through this along with the disclaimer slides.

Today, we have with us from the management of ABD, Mr. Shekhar Ramamurthy, Executive Deputy Chairman; Mr. Alok Gupta, Managing Director; Mr. Amar Sinha, Managing Director, Designate; and Mr. Ramakrishnan Ramaswamy, Chief Financial Officer.

I would like to hand over the call to our MD, Mr. Alok Gupta, who will give you the summary of the company's quarterly performance before we open up for Q&A. Over to you, Alok.

Alok Gupta: Thanks, Mukund. Good afternoon, everyone, and thank you for joining us today for Q4 and full year FY26 earnings call of Allied Blenders and distillers Limited. We are absolutely pleased to report another quarter of strong and consistent performance, marking our seventh consecutive quarter of profitable delivery post listing.

FY26 stands out as a defining year for ABD, where disciplined execution, accelerated premiumization, focus investment and a prudent capital allocation enabled us to deliver record annual profit while simultaneously strengthening the foundation of long -term sus tainable growth.

On a consolidated basis, income from operations for FY26 stood at ■3,949 crores, registering a growth of 11.5% year -on-year. We reported highest ever EBITDA of ■568 crores, a growth of 25.8% over last year EBITDA of ■451 crores, and EBITDA margin expanded by 163 basis points to 14.4%.

We delivered highest ever PAT of ■220 crores, reflecting the benefits of improved gross margins, premium mix enhancement, operating leverage and disciplined cost management. The above PAT excludes tax expenses, (which including interest for earlier year s) of a total of ■45.45 crores. Adjusted for the same, the adjusted PAT for FY26 would have been ■266 crores, which is 36.3% over last financial year's PAT of ■195 crores.

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Our stand -alone business also delivered its highest ever annual financial performance during FY26 . Income from operations grew by 10.4% to ■3,909 crores, while EBITDA increased by 33.4% to ■604 crores. Stand -alone EBITDA margin improved significantly by 267 basis points to 15.5%, while PAT grew by 34.1% to ■268 crores, highlighting the strength and profitability profile of our core operations.

Looking at the overall performance for the year, FY26 reflects the continued execution of our future -ready transformation agenda. Our well -defined 4 strategic pillars continue to drive overall performance.

First, premiumization continues to accelerate with P&A contributing 47.2% of overall volume and 57.3% of value during FY26 .

Second, ABD Maestro strengthened our entry into the Super -Premium and Luxury segment through our asset -light build, buy and partner approach, enab

ling us to establish a diverse portfolio across multiple flavor profiles and price points in record time frame .

Third, our backward integration projects progressed well and remains on track, helping improve supply chain security and structural cost efficiency enabling margin expansion.

Finally, disciplined execution, neutral to favourable commodity and packaging cost environment and operating leverage collectively enabled meaningful margin enhancement with gross margin expanding to 45.6% and EBITDA margin improving to 14.4% during FY26 .

Complementing this momentum is the continued success of ICONiQ White, which crossed a significant milestone and recorded sales of 10.7 million cases during FY26 and continues to be one of the fastest -growing millennial spirit brands globally.

Reflecting the company's strong financial performance and confidence in the long -term growth outlook, the Board of Directors has recommended a dividend of 270%, which is ₹5.4 per equity share of ₹2 each for the financial year FY26 for the approval of the shareholders at the ensuing Annual General Meeting of the company.

Moving to Q4 FY26, we delivered another quarter of healthy consolidated performance, supported by resilient consumer demand trends and improved realization across all key markets. Income from operations for the quarter stood at ₹1,020 crores, reflecting a growth of 9.1% year -on-year, and EBITDA increased by 21.2% to a record ₹182 crores for the quarter. EBITDA margin expanded from 16.1% to 17.9%, highlighting continued improvement in business quality and operating leverage.

Growth during the quarter continued to be led by P&A category, which delivered strong year -on-year volume growth of 20.5%, reaching to 4.4 million cases. The segment contributed 57.7% Allied Blenders & Distillers Limited

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of overall sales during the quarter, reinforcing the strength of our P&A portfolio and improving mix profile.

We also witnessed progressive normalization in the Telangana during the quarter, with improving trade confidence and stabilization in market operation and supporting recovery trends. With the mass premium and other segment, quarter -on-quarter volume growth of 5.6% was driven by Southern and Eastern market. However, on a year-on-year basis, the segment remained flat as we continue to prioritize profitable state brand mix optimization.

From a profitability perspective, gross margin expanded sharply by 480 basis point on year-on-year basis to 48.2%, supported by a favourable commodity and a packaging cost environment along with backward integration benefits. These gains were partially reinvested towards brand -building initiatives across core brands and luxury portfolio as well as strengthening organizational capability. As a result, the EBITDA margin expanded by 179 basis points year -on-year basis to 17.9%.

EBITDA growth during the quarter was driven by premium mix improvement, favourable input cost, operating leverage and initial benefits flowing from backward integration project. The increase in depreciation during Q4 FY26 and FY26 was primarily attributable to accelerated depreciation of useful life of certain plant assets, including the PET bottle manufacturing facility. From a cash flow perspective, FY26 marked a significant improvement in operating cash flow generation. Operating cash flow improved to ₹362 crores during FY26 , driven by strong profitability and sustained working capital discipline. Our improved cash generation and disciplined financial management have further strengthened the balance sheet. Net debt -to-EBITDA stood at 1.7x as of March '26, comfortably within our stated framework of below 2x. Similarly, net debt to equity remained at 0.6x, well below our stated framework of 0.75x. Even during the peak capex phase, we continue to maintain a prudent capital structure while investing aggressively

towards long -term profitable growth. Our capital structure continues to provide adequate headroom to support future growth plans.

During the year, we also made significant progress on our phase backward integration and supply chain optimization capex initiatives. Phase 1 PET bottling manufacturing facility in Telangana was successfully commissioned during Q2 FY26 and has already become EBITDA accretive from Q3 onwards. Malt Distillery project in Telangana is expected to become operational during H1 FY27. Similarly, ENA distillery expansion project in Maharashtra is expected to become operational during H1 FY28. The expansion will significantly enhance captive blending and ENA capabilities and improve long -term raw material security.

Phase 2 of our strategic backward integration expansion, includes investment across Uttar Pradesh, Maharashtra and Andhra Pradesh aimed at strengthening bottling and ENA capabilities across key growth markets. These projects are expected to be strongly value accretive and structurally improve our profitability profile over the medium term.

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Phase 1 and Phase 2 initiatives are expected to contribute approximately 300 basis points towards EBITDA margin enhancement by FY28, and an incremental margin improvement of nearly 100 basis points by FY29.

ABD Maestro continues to play a pivotal role in shaping our long-term premium and luxury journey. Through this platform, we have successfully established a differentiated Super - Premium and Luxury portfolio across whisky, gin, vodka and rum category through our asset - light Build, Buy and Partner approach.

During the year, we further strengthened the portfolio with launches such as the collective, a limited edition 34-year-old single malt scotch whisky. The collective has had a strong consumer response with over 50% of the allocations already secured through preorder and sale. This validates the growing appetite for experience-led ultra-luxury offering in India.

We continue to invest in premium consumer engagement, mixology-led activation, expanding key markets, travel retail and CSD presence, positioning ABD Maestro as a key long-term growth engine for the company.

Finally, our export business continued to deliver strong momentum during FY26. Export revenue grew by 14.1% year-on-year to ₹235 crores, supported by our asset-light and high-margin operating model. We also expanded our international footprint significantly from 23 countries to 36 countries during the year. However, during the quarter 4, exports were partially impacted by geopolitical development and war-related disruption in select international markets. As we enter FY27, the ongoing trend of premiumization continues on the back of growing consumer preference for high-quality and experience-driven consumption. We believe this structural trend will continue to support our premiumization journey and help us build scale with value.

Accordingly, we remain sharply focused on driving premiumization-led value growth and consistently increasing the salience of our P&A portfolio. At the same time, in mass premium portfolio, our focus remains retaining market leadership in whisky segment in terms of volume and gross margin and continue to innovate to expand market size.

In addition, we continue to see encouraging opportunities emerging from relatively underpenetrated premium channels such as CSD and travel retail. During FY26, we secured CSD approval for key brands, including ICONiQ, Sterling Reserve B7, Kyron and Jolly Roger Rum. This strengthens our presence in one of the industry's most profitable channel with an estimated industry size of 12 million cases annually.

Going forward, we expect CSD to become an important growth lever, particularly for our Prestige & Above portfolio, supported by increasing premium brand

acceptance with wider channel penetration.

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We also strengthened our presence in travel retail channel through ABD Maestro with launches across Bengaluru, Delhi, Mumbai and Lucknow International Airports. We believe travel retail will continue to play an important role in enhancing premium brand visibility, engaging affluent consumers and supporting the global positioning of our luxury portfolio amongst both domestic and international travellers.

A summary note on a few key brands, Officer's Choice whisky. For Officer's Choice whisky, the focus is on stabilizing performance through brand refresh and improved market relevance. Efforts are centred on strengthening the consumer connect, enhancing visibility and selectively investing in key markets. The objective is to arrest decline while enabling gradual recovery and retention. Also, in certain high-volume key southern markets of Telangana and Andhra Pradesh, driving growth at value price points in the whisky category to cater the consumer demand. Additionally, as highlighted in our Q3 FY26 earnings call, we see a compelling opportunity in Andhra Pradesh mass premium brandy segment, a large 12 to 13 million case market where ABD had limited prior presence. With necessary approvals now in place, we have commenced participation with our flagship brand, Officer's Choice brandy in this attractive and high-growth segment, which is expected to contribute meaningfully over the medium term. Through a combination of above, we expect mass premium and other category to grow by low to mid-single digits.

Now in our Prestige & Above segment, we remain focused on driving aggregated market share in the whisky category through our 3 millennial brands, ICONiQ White, Officer's Choice Blue and Sterling Reserve B7. We expect to maintain the growth momentum in ICONiQ White through further penetration across key markets and expanding in CSD and international markets as well.

The approach on Officer's Choice Blue is anchored on broader brand reset to restore salience and competitiveness in the P&A segment. This includes strengthening brand cues, improving visibility and driving consumer reappraisal. The focus remains on rebuilding consideration, accelerating recovery in core market.

As regards Sterling Reserve B7, the strategy is focused on reinforcing its premium positioning and improving brand momentum. Marketing efforts are directed towards enhancing consumer engagement, strengthening brand salience and driving relevance across key consumption occasions. This is expected to support steady performance within the Prestige & Above segment.

We are also in the pipeline to launch a new vodka offering in the P&A category to further strengthen our participation in the large volume, high-growth white spirits category through a combination of above, we expect P&A category to grow at high teens by FY28.

For ABD Maestro, FY26 was a year of establishment, while FY27 will be the year of growth and market scale up. We also remain focused on expanding across key markets, strengthening presence in travel retail and CSD channel, scaling consumer engagement and accelerating

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portfolio visibility across luxury and super premium categories. We are evaluating the launch of our additional scotch offering and further variants across established brands, leveraging improving market access opportunities under the FTA framework.

Overall, we expect the top line growth at a consolidated level to be in the range of mid-teens at the backdrop of higher investment in further scaling up ICONiQ White, arrest decline-growth of the other 3 millennial brand and establishment of super premium to luxury portfolio of ABD Maestro. Together, these initiatives provide us confidence o

f delivering mid-teens top line

growth in line with our stated guidelines.

As regards to our EBITDA outlook, the EBITDA will be supported by above stated top line growth momentum and further aided by benefits from backward integration initiatives and potential upside from upcoming U.K. FTA alongside expected Telangana price increase. These gains will be partially offset by a rising inflationary environment, ongoing geopolitical uncertainty impacting input cost, incremental ESOP charge, which was not applicable last year, and continued investment behind our brands through calibrated marketing and A&P spend to support long-term growth.

From a capex perspective, we are focused on disciplined execution of strategic investment in EBITDA accretive backward integration projects. We continue to maintain disciplined capital allocation and expect leverage metrics to remain within the company's stated guardrails on an annualized basis through the capex cycle.

With the integrated value chain, disciplined execution, prudent capital allocation and increasing consumer engagement across category, ABD is well poised to deliver long-term profitable growth and sustainable shareholder value.

Thank you for your patient listening. Over to you, Mukund.

J. Mukund: We can start the Q&A now.

Moderator: Our first question comes from the line of Abneesh Roy from Nuvama Wealth Management Limited.

Abneesh Roy: Thanks, and congrats. My first question is on the near-term margins. FY26 was a very strong year in all parameters. And in H2 FY27, you will see the U.K. FTA benefits kick in. And if you could elaborate on where is the status currently? Is Q2 also possible or we should build in from H2 only? Why I'm asking this is clearly glass bottles, there's a clear inflation.

The beer companies highlighted this quite clearly. And now petrol, diesel hike will keep happening, which means distribution cost for every company will go up. FMCG companies have taken around 4% to 5% hike. So, if you could tell us any price hike you're getting from any states? And how do you see margins? You discussed that in some detail, but if you could clarify H1, how do you see the margin?

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Alok Gupta: Thank you, Abneesh. I think if you were to look on what could positively drive the margin, you've already covered FTA. Basically, as we understand, Q2 looks like a distinct possibility that the FTA will come in place. So that's a tick. The second important upside will come from Telangana price increase. As you know, the committee has already been formed, and they've requested all marketers and manufacturers to provide necessary details in terms of what price increase is required. This is a very important one for the industry, but especially for us, given

the fact that it's a very, very large market for us, and we've got a very, very large base. So, this will not just incrementally impact margins but significantly impact margins.

The third is that in many markets, announcements have already been made. And wherever it was possible, the industry, including us, have taken the price increases. So that's third one. So, these really are 3 things that are sort of common to environment. The fourth and more importantly for us is our capex cycle. If you would recall, our guidance was that by FY28, we see about 300 basis point improvement in our gross margins.

And while your question is limited to FY27, but just to conclude, and by FY29, an incremental 100 basis points. So, these are 3 or 4 areas where we believe our margins will have a positive kick up.

As regards to the geopolitical -related inflationary pressure, for time being, our assumption is that this issue will resolve over the next month or so and some bit of correction and normalcy will come in the market. So, our view is that if this issue was to resolve over the ne

xt couple of

months, we will see some short -term pressure. But overall, for FY27, we should be able to, by and large, deliver margins no different than FY26 .

Abneesh Roy: Sure. That's helpful. One follow -up on this is, in Telangana, that price hike, you think that can come in the near term? And in Karnataka, I had a specific question. The number of slabs have been reduced very sharply. And alcohol content and taxation, there is some level of linkage. Is it negative for Officer's Choice in any way? And do you see opportunity in some of the other brands, but slight negative for Officer's Choice in Karnataka?

Alok Gupta: I think Karnataka, we have to keep in mind that the policy is yet to be implemented. Therefore, drawing any conclusion at this stage may not be prudent. Having said that, if the policy was implemented in the manner that it is currently outlined, or discussions are on, definitely an up for the P&A segment. We are seeing ICONiQ doing very well in the state of Karnataka, and therefore, it could get a hockey stick opportunity in Karnataka. We do expect moderation to happen in the lower slabs. And if that moderation takes place, we believe for a brand like Officer's Choice, it could be neutral to positive.

Having said that, it's a very, very small market for us. I mean, we put together do on Officer's Choice, maybe about 300,000 cases annually. Therefore, the bigger opportunity is in the P&A segment, but the policy is yet to be implemented.

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As far as Telangana is concerned, I think our view is a bit conservative, but optimistic. We are of the view that the price increase will definitely come through. Whether it will happen in the next 2 months or not is not the way we are looking at. We are hopeful that in Q2 sometime, this price increase should come through, but better to plan from an H2 perspective.

Abneesh Roy: Your last quick question, and I'll end there. So, my question is to Amar Sinha. So firstly, in terms of his role and experience, obviously, fantastic role and experience at Radico Khaitan . I wanted to understand his initial thoughts on Allied Blenders, and what will be his long -term vision? And how does the leadership transition happen? Any bifurcation in the role in the near term? And when does the transition happen?

Amar Sinha: So, thank you for the question. I've obviously joined ABDL with a lot of optimism because as my friend just mentioned, Alok has already set the ball rolling for the company to move to the next level. But I see great opportunities in this company. Why? we have a great set of brands in ABDL with OC, OC Blue and ICONiQ is the one of the fastest -growing brands in the world today and of course, SRB7. So, there are 4 millionaire brands, which itself is an asset for the company. Besides that, ABD M has launched premium to luxury brands, 10 of them. And I believe that since they have launched products in every category and price point, hopefully, most of them will fructify and do well.

So, it's the time right now for the next 3 years is for me to consolidate and grow the ABDM brands and at the same time, nurture brands within the ABD L setup and take them to the next level. ICONiQ is one product, which I'm hopeful is going to play a major role in my entire initiative because it is in the segment which is a 70 million -plus cases market .

And I think it has aggressively moved into this space and is fastly gaining market share. So, this is one product that I'm banking on. We would certainly like to revive Officer's Choice Blue. You can see the new phase of Officer's Choice Blue in Q2 that will add to the growth momentum of the company.

Officer's Choice, I personally believe has a great brand equity, the mother brand. Somewhere this segment has taken a beating in the last couple of years. But as far as we are concerned, we still have

more than 40% market share. And with some very strong markets like Telangana, Madhya Pradesh, Andhra Pradesh, and Rajasthan, I believe it's time to strengthen these markets with Officer's Choice, again, with a new look. So, I think these are as far as brands are concerned. As far as the next 3 years are concerned, I have divided my task into a couple of cohorts. The first one I said is top line and portfolio buildup, which as far as brands are concerned, I've talked about, we see a revenue growth in the next 3 years to reach high teens. The Premium and above segment, I believe that it should cross the 50% mark as far as volume is concerned. And as far as value is concerned, it should be between 70% to 75% mark.

So, as far as we are concerned, that takes care of the top line and portfolio buildup. The next one is backward integration benefits, which means optimization of infrastructure. One ENA. We

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have initiated projects to produce ENA, which will take care of 100% of our captive consumption. And in the next 3 years, we need to make sure that the growth takes into account this factor and helps us achieve utilization of the ENA capabilities that we have.

Then we have malt. We have initiated projects of producing 4 million liters of malt at Rangapur. And obviously, my objective is to have malt consumption used for our own products in the premium categories. And at the same time, over the next 3 years, launch our new single malt within the ABD portfolio.

As far as the PET plant is concerned, we have commissioned a project, which takes care of our 70% to 75% of our requirement. As you know that the normal regular segment in the alcohol space is very huge. So, we will make sure that the production is used for our captive consumption, and that brings down our cost substantially.

The third cohort would be margin enhancement. From a level of 45% it would be my endeavour that over the next 3 years, we take it to 48% to 50% because gross margins in the alcohol space in India are still very low, and I think there is huge potential. And with the CAGR growth expected to be in excess of 8% to 10% in the years ahead, this should be a distinct possibility. Premiumization is the name of the game. EBITDA margin, hopefully with a 50% gross margin, I think should cross the 20% mark easily over the next 3 years. The return on capital, which is a prudent capital allocation that I see should be in the region of 25% over the next 3 years.

Abneesh Roy: Thanks a lot, that was very detailed and lot of insights.

Alok Gupta: To answer the second part of your question on transition, I think we are already at a fairly clear stage of transition and hopefully should announce it within this quarter. And I think things are progressing very well.

Moderator: Our next question comes from the line of Nitin from HDFC Securities.

Nitin: Some of the questions got answered in a detailed update from Amar sir. My first question pertains to P&A volumes. Congratulations on another year of robust growth in ICONiQ. I'd like to know the aspiration for the next year. And in terms of if you can help us understand like how many states the brand is present and how many states, we are aspiring to go in FY27?

Alok Gupta: Nitin, thanks for being on the call. So, your question is not clear about the state. If you can repeat, thanks very much.

Nitin: Yes. I just want to understand like ICONiQ has grown 88% this year. And what is the aspiration we have for '27? And based on like how many numbers of states we are present and what is the plan ahead, like how many more states we will go into?

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Alok Gupta: I got it. Thank you, Nitin. Nitin, so from a distribution footprint point of view, we have a 100% distribution in the domestic market, be it

government market, wholesale or retail market. We are present across all states in the country. We have been able to get approvals for ICONiQ in CSD channel, which is a very large segment and the billing has started. So, we are very happy because CSD becomes another avenue for growth.

In addition, we are currently exporting ICONiQ to 9 countries. We believe this footprint could multiply on an accelerated basis, largely because of the repeat orders that we are getting. So, the growth of the brand will continue to come from domestic, CSD and international market.

Rather than answer your question of what we expect the brand to do in FY27, which interestingly is already running at about a 12 million cases plus ARR, I think our aspiration is that we believe truly that ICONiQ can be a market leader brand and how quickly we can get there is really what keeps us excited.

Nitin: So that's very good. And second, in terms of this ABD Maestro's performance for FY26 and your aspiration for '27? And how is the brand available in on-trade, off-trade?

Alok Gupta: Right. So, ABD Maestro, by and large, is at a stage where they have the core portfolio ready. We have 10 very interesting, differentiated brands. In addition, we shall be adding 2 more brands to this portfolio. So, I think they are through with the portfolio consolidation. It's a 70 -member team now, which is working at ABD Maestro, largely looking at key accounts. The brands are now available in about 11 states as we speak, exiting March '26, and the further expansion is planned during the financial year.

Since these are super premium to luxury brand, the focus is also on travel retail, and we are currently available in 4 travel retails and more to come, and we've also started shipping these brands into some of the international markets. So, in FY27, we will see 2 new brands rollout, expansion of travel retail and expansion of the international footprint. So that's really the game plan for ABD Maestro.

Nitin : And what is the ARR for this ABD Maestro Portfolio?

Alok Gupta: ARR, the next year outlook, well, we are hoping to hit a century if not higher, in terms of top line.

Nitin : Can you repeat that? I didn't get it.

Alok Gupta: I saying as far as ABD Maestro is concerned, we are hoping to cross ₹100 crore s mark soon in terms of annual. Since the IPL season is all I was saying we'll hit a century if not higher.

Nitin : Sure, sir. And last question pertains to this on net debt to EBITDA and net debt to equity, like seems to be stretched in FY27 because of the accelerated capex we are doing. Do we have the Allied Blenders & Distillers Limited

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flexibility to cross the maximum ceiling, or we will do the phased sort of expansion so that our ratios are within limit?

Alok Gupta: Nitin, we are quite committed. Our entire capex investment will be a combination of internal accruals and borrowing whenever required, but we do not intend breaching these covenants at all.

Moderator: Our next question comes from the line of Mehul from JM Financial Limited.

Mehul: My first question is obviously on your overall sales growth guidance of mid -teens and P&A sales growth guidance of close to high teens. Now if you can, for the P&A sales growth, while you did allude to how ICONiQ will grow, and obviously, to some extent, ABD Maestro will be in a scale -up mode in FY27.

But ex of ICONiQ and ex of ABD Maestro, we do have OC Blue and Sterling Reserve. I just wanted to understand what are the issue with actually OC Blue and Sterling Reserve? And how do you see these brands playing role in FY27 growth?

Alok Gupta: All right. Thank you very much. Let me just also add to the mix a bit about mass premium. So, in addition to the point that Amar made that we are trying to do a few things, we have now approvals for OC brandy in the state of Andhra Pradesh , and we see another milli

onaire brand

in making in OC brandy in this financial year. So, I think that's something that we are excited about again. So, I just thought I'll add that to the mix.

As far as ICONiQ is concerned, I've already sort of responded to Nitin's query, so that gives a reasonably good view to you. ABDM brand, I think it's an interesting point that we keep making that as we keep scaling up ABDM portfolio for 1% volume contribu tion that comes to ABD, it translates to roughly 9% value growth. So, when we are talking about a mid -teens value growth, I think we have to keep one thing in mind that ABDM will not necessarily move the volume growth lever, but it substantially impacts the value growth lever.

As regards OC Blue and SRB7 essentially, both these brands are now more than 10 years old. They are operating in a highly competitive segment with strong number 1 and 2 brands. I think now that we are able to provide right amount of A&P capital to these brands, combined with newer packaging, I think all we have to do is to address the issue of represent these brands to the consumer, put the right amount of A&P so the brand is on top of mind and it drives back sales. So, this is one agenda point that is goi ng to keep us busy this year.

Mehul: And you think that the decline will get arrested for these 2 brands in FY27 and they'll be back to positive growth trajectory?

Alok Gupta: Yes. So, the marketing program that we put together on SRB7, we first experimented in some of our key markets, and which is giving us enough confidence, not only we are able to arrest de - growth, but we were also able to bring in growth of low single digit.

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So, the idea was that instead of just putting A&P money in one go, like a bull in China shop

approach, let's make sure that we test that what we are doing on the brand is actually delivering. Now that we are satisfied that the marketing program that we put on SRB7 indeed not only arrest de-growth, is also able to bring some growth back, we are happy to contribute a larger A&P sum towards the brand.

OC Blue is a very interesting brand because it's a regional powerhouse brand. So, in Phase 1, the focus is that in the pockets of strength, how does it get back to its leadership position and then the opportunity of rolling out in some of the other markets. I think a point again, Amar has made, in Q2 FY27, we are rolling out perhaps a best-in-class packaging, never ever seen packaging on OC Blue, and we are hopeful that the consumers would love it.

Mehul: And sir, your guidance on the margins when you said that in FY27, we should be able to at least maintain the margins. You are saying this with respect to Q4 margins, or you are saying that your EBITDA margins will be closer to FY26 overall EBITDA margins?

Alok Gupta: FY26 overall margins.

Mehul: Okay. And so okay, you are not looking at, I mean, this is like a base case assumption that expansion won't be there in FY27? Or this is a conservative estimate that FY27 won't see EBITDA margin expansion over FY26?

Alok Gupta: It's neither conservative. I think the way to look at is when we look at the overall numbers, we will see in Q1 and early parts of Q2, some stress on margin on account of West Asia war. As we get into Q2 and H2, 3 or 4 things are going to happen. FTA should kick in, the Telangana price increase should kick in. The capex benefit should kick in, the season should kick in. So, what we'll see is some bit of margin contraction in Q1, early Q2. We then will see margin expansion happening.

And as we're exiting the year, we will see further margin expansion. So, the guidance that we are giving is that the FY27 overall margins, we should be hold on to the FY26, if not better it. So that's the way we are looking at it. Could it be better? The answer is, obviously, that's the endeavour,

but that's the base comfort that at an overall level, FY27 margin will be equal to FY26 margin. And if this war was to sort of wind up quickly, then we could see even a better position emerging.

Mehul: Understood. And on the ESOP charge that you mentioned, what is the kind of charge that one can see in FY27?

Alok Gupta: I think, on a quarterly basis, you could see a number of about ₹5 crores to ₹6 crores.

Mehul: Last question on ABD Maestro. Obviously, you did allude to ₹100 crore's kind of revenue guidance for FY27. But how should one look at the profitability of this portfolio, not from an FY27 perspective, but let's say, from a 2 to 3-year time frame, when do you see this portfolio Allied Blenders & Distillers Limited

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breakeven? Or ₹100 crores you will see a breakeven? I mean, any thoughts on the profitability of this portfolio.

Alok Gupta: Sure. I think the way we had put together the 3-year plan for ABD Maestro was that year 1, it's going to be an EBITDA negative, right, which you can see in the numbers. We will target towards CM2 neutral, which is the business being able to invest back in the brand from its own internal accruals.

So, we'll try and get to as close to a CM2 neutral. And in year 3, it will become a CM3 or EBITDA neutral company. That's our 3-year outlook. So, the idea is to drive the top line with some clear financial margin guidelines in terms of go from CM3 negative to CM2 neutral to CM3 neutral. So that's really the way we are looking at it.

Mehul: Understood. Thank you so much, sir. That's all from my side. All the best.

Alok Gupta: If I can just add one more point, Mehul, I think we've not spoken about it. Our bottling unit that we are planning to put in UP, we have fairly large volume base there now. The ₹27 franchise fee will not be applicable. This will happen sometime in H2.

So, if you can just multiply ₹27 into the portfolio we have, that's incremental margin on a brand like Officer's Choice, which is going to change favourably the overall margin position.

So, I think I'm just trying to maybe be repetitive. You will see some margin contraction in Q1, early Q2, and thereafter, we should see margin expansion and overall delivery in FY27. I think Amar wants to add something. Go ahead.

Amar Sinha: So, the UP distillery and bottling plant that we plan to put is going to give us substantial leverage into the margin accretion. And as far as brands are concerned, UP, we will definitely, as Alok said, that we'll gain the benefit of ₹27 franchise fee. And today, we are the second largest company in UP. It's happened very, very quickly. And we will get this franchise duty benefit on this large volume, one. Two, sometime next year, we will also look at adding more brands, which will add to the portfolio and pro fit margins.

Mehul: Understood. So just to summarize, while '27 first half might have some pressures, but FY28,

you are pretty confident, at least you have the right levers to get that 300 bps expansion that you are targeting?

Alok Gupta: Mehul, if you recall, we have increased our guidance. Our guidance was 17% EBITDA margin by FY28. If you would notice, we have increased by 100 basis points to 18%, and we will stay with that guidance.

Moderator: Our next question comes from the line of Dhiraj Mistry from Jefferies.

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Dhiraj Mistry: Sir, my first question is on gross margin expansion. So, the 300-bps gross margin expansion we have seen or roughly ■300 crores of gross profit expansion, what amount would be because of backward integration? And what would be because of the raw material price benefit or, let's say, price hike?

Alok Gupta: For the current financial year, as you know, that only the PET unit, by and large, is operational and the margin expansion on account of that would be about 30 basis poin

ts or so . And balance

is purely on account of price increases, control on our trade spend and, of course, ongoing focus on the state brand mix. So, this is reasonably sustainable. And as the projects keep kicking in, the margin will keep on expanding.

Dhiraj Mistry: Got it. Some of the very, very quick questions are what are the due from Telangana now?

Alok Gupta: You want to share all the questions with me while I put the information out.

Dhiraj Mistry: Got it. Yes. And one is that the ICONiQ White growth is phenomenal, no doubt about it. But when I look at the price point of OC Blue and Sterling Reserve, which is very close to ICONiQ White, I know the product positioning and everything is quite differen t, but in your sense, does ICONiQ White growth cannibalize growth of Sterling Reserve B7 and OC Blue?

Alok Gupta: Okay. So let me respond to this. See, ICONiQ White interestingly operate at a price point between , equal to Prestige and somewhere higher than Prestige . So, it's able to get consumer both from the Deluxe segment and the Prestige segment. That's about 120 million cases. One thing that whenever we are in the retail outlets, we talk to our retail partners, and we ask them what is the source of growth. They consistently and they reaffirm that ICONiQ White continues to grow and get share both from Prestige consumer and from the Semi Premium consumer , but they also qualify it is a younger consumer.

So, I think that is very heartening for us because India is adding about 12 million to 13 million consumers of legal drinking age, of which some of them will take informed choices. And when they will look at what is trending amongst the youngsters and the bra nd ICONiQ should get disproportionate share versus the other brands. So that's really the growth engine of ICONiQ. To your question that is it taking shares away from SRB7, it is taking share away from all brands operating in that segment, including SRB7. So therefore, the way we look at it is that if the segment is about 120 million cases, OC Blue, ICONiQ and Sterling B7 put together, right, we are looking at about 18 million, 20 million cases, and this is 20 million cases of 120 million cases segment.

And in the earlier speech, I said that we're looking at a strategy, which is how through a combination of 3 brands and very specific perhaps geography -led initiatives, how do we continuously get higher market share from this 120 million case segment? There is bound to be some cannibalization, yes.

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Dhiraj Mistry: Yes. So just from the salesperson perspective, when he goes to the market and all, let's say, if he is getting high volume from ICONiQ, is there any differentiation for the salesperson to push OC Blue versus ICONiQ White versus Sterling Reserve?

Alok Gupta: So, I think fundamentally, this is part of our entire budgeting process, which happens at a salesman level. So, at the start of the year, we would know at the salesman level, what's the market potential, what's happened in the segment, what is the competitive intensity.

So, the targets get agreed at a brand level. Therefore, every TSC is aware that what is the target that has been agreed to, the entire incentive structure is aligned to those targets. So, I think there is honestly a great amount of clarity in terms of what needs to be driven, which brand needs to be driven in what market. Like I said, idea has to look at overall aggregate shares.

Dhiraj Mistry: Got it. So, on Telangana due

Alok Gupta: So, Telangana, Q4 FY26 over Q3 FY26 , we are seeing reduction both in the overall receivables and in the overdue receivables.

Amar Sinha: There's nothing pending from the last 2 years, which is FY24 and FY25. There's nothing

pending. They have cleared up the dues. And very soon, the balance will also be clear.

Dhiraj Mistry: Got it. Got it. And sir, my I

ast question is very broad. It's on Premium category strategy. Let's say, we have been quite aggressive on entry level of P&A and mid -Prestige segment. While our product innovation or, let's say, any pipeline to launch in premium strategy where many people, let's say, a market leader are quite aggressive in expanding that market?

Alok Gupta: I'm going to request Amar to take this question to do the future. I think he is best positioned to share his views.

Amar Sinha: Okay. So, can you just repeat the question once?

Dhiraj Mistry: So, in premium Segment where, let's say, Signature, then Blender's Pride and then recently, Radico has launched Morpheus whisky, in those segments, many action has been taking place, while as a company, we are not seeing any product launches in that segment.

Amar Sinha: Okay. So let me say that that's an important segment of more than ~20 million cases. And there have been fairly high degree of success that's been seen with some new brands that have entered.

So, we recognize the potential of this space, and we are also working on a premium brand, and we hope to launch it very soon. I would say, in H2, you will see a launch of a premium brand from the ABD M portfolio.

Moderator: Our next question comes from the line of Karan Kamdar from Choice Institutional Equities.

Karan Kamdar: Congrats on a great set of numbers yet again. Sir, while near-term margin pressures you explained quite well, what I wanted to know is that how are we planning to build into the luxury

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portfolio? And how far out would you see single malt coming out from our end, like a proper premium single malt?

Amar Sinha: Yes. So, I think over the next 3 years, we do see a single malt being launched from our portfolio.

We are working towards it. And it's too soon to share any further details on it. But we are conscious. You see we are setting up a malt plant, which is going to be quite big in its own way.

It's a 12 KLPD plant. And hopefully, you'll see in the next 3 years a good product coming out.

Karan Kamdar: Okay. Okay. Sir, any plans to sort of capture the ₹3,000, ₹4,000 ex Maharashtra price market?

As I understand, that is a huge market with great margins. So, any color on that side of the market? Since we are at it, that is what I understand.

Alok Gupta: You're talking about ₹3,000 to ₹4,000 consumer price?

Karan Kamdar: Retail price yes. Retail ex -Maharashtra.

Amar Sinha: Yes. So first of all, as far as we are concerned, we already have brands within the ABDM portfolio that's going to be playing in that price segment in Maharashtra. We've got Woodburns, which we are going to promote aggressively now. We've launched an Irish whiskey, which is out, that we will promote aggressively. There's a designer whisky, YELLO, that is close to that segment. That's what we're going to be promoting aggressively. And sooner or later, of course, ABD, from its own portfolio, will probably explore launching a brand as well.

Moderator: Our next question comes from the line of Kaustubh Pawaskar from ICICI Direct.

Kaustubh Pawaskar: Congrats for a good set of numbers. Sir, I have just one broader question, which I want to ask about the Prestige & Above brand. So now if you look into the segment, 16.9 million cases volumes what we achieved in FY26. Out of that, 10.7 million cases have been achieved by ICONiQ. So would like to understand like once ICONiQ attains certain scale, which other brands would you like to grow parallelly like ICONiQ, which can be a million aire brand over the period of time. I'm not asking from 1- or 2-year perspective? This is a broader kind of question.

We have done a lot of launches in the recent past. So, we must be having some sense that this brand can attain certain scale and can be a millionaire brand for us and can help us to achieve whatever we

are targeting in terms of Prestige & Above consistently growing in terms of volumes and also in terms of contribution?

Alok Gupta: Thank you, Kaustubh, the segment that you're talking about actually FY25 of the ~420 million cases is about 160 million cases. ~120 million cases are whisky and ~40 million is non-whisky, largely brandy and vodka segment. So, our approach in the 120 million case segment is to leverage ICONiQ, SRB7 and OC Blue and to aggregate drive market share year-on-year. That leaves an opportunity in 40 million cases, which is non-whisky, which is brandy and vodka.

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And I think Amar has already shared that we are planning to launch a Prestige vodka. We already have under a market prototype a brandy. So, looking into medium and long term, the aspiration is to build a successful Prestige brandy and a Prestige vodka because that segment is now voluminous 30 million to 40 million cases . So that we see as the next phase of growth.

Kaustubh Pawaskar: Okay. And I have one bookkeeping question. This year, our inventory days have gone up. So, any particular reason for it?

Alok Gupta: You're talking about increase in inventory? I think there are 2 big drivers there. One is that we have done some proactive buying of scotch, keeping in mind what's happening to the rupee depreciation against pound. We'll still get the duty benefit because we are storing everything under FTWZ, so we pay the duty at the time of debonding. So that's one reason. And ABD Maestro are high NS V product, and they are made in smaller batches. So, these are the 2 reasons why you would see an increase in our inventory.

Moderator: As there are no further questions from the participants, I would like to turn the conference over to management for the closing remarks. Over to you.

Alok Gupta: Thank you very much for taking the time out. I know it's been a busy day for you. You have other calls to jump on. So really appreciate your time and look forward to you guys joining us back for our next quarter.

Moderator: Ladies and gentlemen, on behalf of Antique Stock Broking , that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Notes: 1. This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

2. Figures have been rounded off for convenience and ease of reference .